

Blue Dart Express Ltd. (BLUEDART)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-08-02.

Call: Aug 2022

August 02, 2022

To,

BSE Limited

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Mumbai -400 001

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National Stock Exchange of India Ltd

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NSE Symbol -BLUEDART

Sub: Transcript of analyst/ investors conference call -Disclosure under
Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements)
Regulations, 2015

Dear Sir/ Madam,

We refer to our intimation dated July 25, 2022, notifying on the schedule of 'Investors
Call' organised through M/s. Elara Securities (India) Pvt. Ltd. on Thursday, July 28,
2022, to discuss the corporate performance for the quarter ended June 30, 2022 and
audio recording of the same submitted on July 28, 2022.

Pursuant to requirements of law, please find enclosed herewith, transcript of the
Investors call which is also made available on the Company's website viz;
www.bluedart.com .

Kindly take the same on your records.

Thanking you,

BLUE

ANALYST: BLU

"Blue Dart Express Limited

Q 1 FY2023 Earnings Conference Call"

July 28, 2022

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Ms. ANKITA SHAH -ELARA SECURITIES PRIVATE

LIMITED

MANAGEMENT: MR. ANEEL GAMBHIR -CHIEF FINANCIAL OFFICER -

BLUE DART EXPRESS LIMITED

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Moderator:

Ankita Shah:

Aneel Gambhir: Blue Dart Express Limited

July 28, 2022

Ladies and gentlemen, good day and welcome to Blue Dart Express Limited Q I FY2023
Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder all
participant lines will be in the listen-only mode and there will be an opportunity for you to
ask questions after the presentation concludes. Should you need assistance during the
conference call, please signal an operator by pressing "*" and then "0" on your touchtone
phone. Please note that this conference is being recorded. I now hand the conference over to
Ms. Ankita Shah from Elara Securities Private Limited. Thank you and over to you,
Madam!

Thank you. A very good morning to everyone who has joined to this call. We welcome you
to this Q FY2023 earnings conference call of Blue Dart Express. We have with us the
management represented by Mr. Aneel Gambhir, the CFO of the company and firstly
congratulations Sir on a very good performance and we would like to start with opening
remarks about the quarter's performances and the outlook going forward and post that we
can open the floor for question-and-answer session. Thank you and over to you Sir.
Thank you Ankita and good evening all the investors and analyst community. It is a
pleasure to interact with you. As you have seen of late we made this practice more or less to
interact and to have a discussion and clarity, so happy to be here to discuss about results of

the last quarter where we had a board meeting yesterday that is Q1 of FY2022-FY2023. Before we begin question and answer session as Ankita mentioned, I will just give you a brief from the last quarter ending of financial year to now how the situation is and what are the highlights of the period and also how has been the performance and thereafter we will spend most of the time in question and answer.

Let me begin with the last year's performance. I am sure all of you would have seen after a stellar performance in the FY2021-FY2022, which was a record performance so far in the industry of the company. The situation on the economy side we all know how the geopolitical situation is getting impacted, which is having impact on crude, which has impact on foreign exchange. We all know how dollar has been moving from Rs.75 to Rs.76 to current year close to Rs.80 range. We have seen crude moving from Rs.100 range to Rs.125 or so and then slightly off late pulling down. Then we a

also saw part of the world

getting impacted to pandemic. Somebody called wave four. Somebody says it is just off wave, but in the middle of this, we are seeing the recent quarter for which performance was declared yesterday after the board meeting. There is a good growth on the topline, which is essentially the run which we had in the last quarter that is Q4 of last year almost similar kind of run has been continuing in the current quarter on topline, however, let me also tell you that the current quarter the growth also had some impact of base because last year in the same quarter we had wave two of pandemic whereby because of sporadic lockdown by various state governments had impacted our revenues last year, so there is some impact of

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that. Having said that why I have spoken about the crude and geopolitical situation because we are directly impacted because of crude behavior as we have airline where crude translates into ATF price and the way the crude behaves ATF rates change accordingly and similarly because of the forex, since most of the crude is imported by country so that also plays a role in the ATF price; that is where an impact of high crude prices in this period, which generally we know that when fuel prices go up not only ATF but also diesel and petrol that impacts inflation in the country and inflation has an impact on economy as well as on consumption and also leads to various other issues related to things, which are directly connected with the petrol prices. In light of that, the topline growth has been close to 50%, which is quite healthy very strong growth, but if you discount it for the impact due to base and also due to crude prices, it is still a very healthy growth we have seen in the period. Similarly if one looks on the bottom-line side, bottom line also has shown a healthy growth. If you compare quarter-on-quarter the PBT level is almost three times increase and even similar trend is seen on the profit after tax. Our earnings per share is close to 50 which is 49.38. I am talking standalone numbers which also in recent past has been one of the good growths. While there could be some argument that on quarter-on-quarter if you see performance then probably it may not look similar way, but the fact remains is that ours is a seasonal business, so seasonal business generally should be compared quarter-on-quarter and that is where you will get a better comparison rather than sequential quarters. If you move ahead I think the economic indicators are still pointing towards positive arena and we expect the current scenario would continue unless there is an increase in pandemic situation or rather worsening situation due to pandemic or there is a major impact coming from geopolitical situation, which could be that crude continues to be at high level or further goes up then that could have an impact on the run otherwise from all policy front from the government side or be it Make in India or GDP projection side all of this indicates that for at least foreseeable future subject to his risk, which I spoke about seems to be positive and that is where we have reviewed the situation looking at the current growth and moving forward also taking into account the expected growth a calculated kind of a decision that we are adding capacity not only on ground but also air, I am sure you would have seen the announcement which is there, wherein we have indicated about addition of two 737-800 aircraft, which will add roughly about depending on sectors between 15% to 20% of the capacity expansion on the current level, so currently as you know we have a fleet of six aircrafts 757-200 which gives us a capacity of about 500 tons per night depending on the sectors when we get the aircraft and the demand persisting at that point of time our expectation is that 15% to 20% increase in the capacity would be there, which in a reasonable

timeframe we should be able to fill up. With the practice in the past, we built up some load so same thing is here. We have built up almost about 50% of the capacity of the load for the new aircrafts and we are confident that given the positive economy scenario, we should be able to break even once we got this aircraft may be around two to three quarters or so. With that, I will not take much of time it will be better that we spend more of time

Moderator:

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one question and answer and understanding of the numbers, so will hand it over to Ankita, so that we take question and answer. Over to you Ankita thanks.

Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Alok Deora from Motilal Oswal. Please go ahead.

Congratulations on the good numbers, especially on the topline front. Just wanted to understand on the demand scenario now what we understand is that April and May were very good months and then we saw some bit of slowdown in June and July, so just wanted to understand how are things shaping up on the demand side of it?

As far as demand is concerned, so far there has been a very good demand, which is continuing as I mentioned in the beginning that our expectation is that yes there could be in between small intervals of some softening trend, but going by the broader economic indicators, we feel that the current level of demand could continue and more so because we are heading for festive season, generally we have seen demand during festive season is strong so we believe there is no reason at this point of time for demand to go down unless some disruption comes in the economy.

Sure. Could you just provide some insights on how the e-commerce segment has performed for us in this quarter and what has been the broad mix between ground and Air Express as well?

One of the major verticals is ecommerce and that has been growing in a very healthy phase and we have been having good growth high double digit growth kind of a scenario and as I just mentioned that generally during festive period, the people tend to order more online and shopping and historically if you see the trend of shopping is high especially on the online during this period so we expect that scenario would continue. Having said that, the second part was related to.

Ground and aircraft?

Ground also has been growing strongly which I would say roughly about one third kind of a scenario not actually one third around one third kind of scenario, we are having for ground contribution in the overall pie.

Sure. On this fuel price, so ATF price we saw sharp increase in the recent few months especially in June as well and also in July the recent cut has been very marginal so just wanted to understand like how the margins would look like now going ahead because ATF

Aneel Gambhir:

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Moderator:

Rahul Agarwal:

Aneel Gambhir: Blue Dart Express Limited

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price continues to be near all time high, so how are we placed in terms of passing on the increased cost?

A very good question Alok. As you know that we have a fuel surcharge mechanism, which is in place since more than 20 years now and it has withstood many phased off fluctuations and high fluctuation in fuel prices and we have been successful in passing all these fluctuations to the customers. When you come to the current fuel prices, this is very high. If this continues in the longer run, it could create a problem for economy and a high inflation scenario that is where we expect that the scenario of high crude prices should cool down and should come to reasonable level, which could be around 80 to

85 or so. If it does not

come to that level, we would see major impact of inflation hitting Indian economy and which in turn could impact demand.

We see these margins sustaining going ahead or could it improve any color on the margins? Margins generally we have been trying to look at cost efficiencies wherever possible and that is what has helped us in the last two years or so in improving our margin, so we feel that current level of margin may be plus or minus 100 to 150 basis points, our efforts will be to maintain that kind of margin as we move ahead, but this is not a guidance. This is just sort of a feeling I can share with you.

Sure. I have some more questions. I will come back in the queue. Thank you and all the best.

Thank you. The next question is from the line of Rahul Agarwal from L&T Mutual Fund. Please go ahead.

Thanks for the opportunity. Congratulations on a good set of numbers. I just wanted to understand within your air segment, what would be the mix of traffic between your own planes and may be from the passenger belly cargo?

As I mentioned in the beginning that we have six aircraft 757, which we fly with the capacity of 500 tons overnight and we have capacity utilization of about 90%, which takes care of roughly about two third of the traffic, which we can carry. Almost one third of the traffic we currently move through multi model. Multi model has various options, most of it could be belly space through which we could move and also one of the reasons is that when we built up this capacity as I mentioned that almost 50% of the capacity is already built up for the new aircraft, so that also features part of this one third of the belly space. I hope that answers your question.

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Rahul Agarwal:

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Rahul Agarwal:

Moderator:

Pulkit Patni: Blue Dart Express Limited

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Yes it does, and the capacity addition will be in the second half is that a fair assumption the new aircraft that you will add?

Sorry can you repeat the question capacity addition.

The new aircrafts that you will add freighters that will be more like the second half?

That is expected towards the latter part of the year.

Can you just mention, which are the sectors where you are seeing a decent pickup and going ahead also which are the major sectors that you are expecting to gain traction from?

When you say sector meaning geographical sector.

No. Your end consumers may be ecommerce, Pharma, auto?

This industry verticals basically you are referring to, right?

Correct.

Yes, industry verticals as you mentioned we have e-commerce, electrical, auto spare parts, be it SJ, computer and IT items. Then we have done some Pharma and medical equipments. These are the sectors which are seeing major up take currently.

How much would be e-commerce right now?

Ecommerce close to one fourth kind of.

Would that be one of the fastest growing in our mix right?

Yes, currently these are ground and ecommerce verticals have been growing faster.

Absolutely right.

Great Sir thanks a lot and all the best.

Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Thank you for taking my questions. Directly adding two planes why not go one by one? Are we that optimistic about volumes, just wanted to get your sense how come you are directly two planes right now and then I will follow up with more questions?

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Aneel Gambhir:

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Pulkit Patni: Blue Dart Express Limited

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Sure Pulkit. The idea here is these two plane■ are relatively with the lower capacity as compared to our current fleet, so current fleet each aircraft has a capacity of r

oughly about

30 tons and proposed aircraft which is 737-800 would have capacity of about 18 tonnes and this will help us in moving into tier two and tier three cities and since we have many upcoming cities that is why we thought probably one aircraft would not be able to cover the geographical reach we want to have and that is why we chose to go for two aircrafts at this point of time.

Fair point. Could you also quantify what should be the amount that will get capitalized on our books and impacts on depreciation finance any rough cut numbers you can give us which we can build into start off this?

Roughly for these two aircraft purchase anywhere between Rs.300 Crores to Rs.350 Crores kind of investment would be there.

Investment okay, and these are new planes, slightly old fleet any sense on that?

For cargo business generally it is old fleet, which will be anywhere between 15 to 20 years kind of an old fleet, which is generally used for cargo.

Understood and one last question. Any comments on competition and I am not talking about the e-commerce players only. We heard there are a few other players who are looking at pure cargo operations. Any sense on where we are versus where we were three years back in terms of broader air express completion that would be it from my side?

Thanks Pulkit. There are two different things, which you mentioned. When you talk about Blue Dart we are more into express business and not in cargo while many of the players are in cargo so cargo may not be time definite express products and that is why many of the people when they compare with belly space not the entire belly space is express cargo. Belly space is available throughout the day where cargo can be moved while express business can only use early morning flight, which could be just a window of two hours between 6 to 8 kind of a window through, which one can use the belly space full moving expres■ products, so there is a big difference when you compare with the cargo players versus express players. While we are in express business and if one is to compare with express, not much of additional players have come in the last two years or so baring may be one of the e-commerce players who is trying to enter into express, but not any kind of a material impact on our business from that perspective.

I am trying to understand what IndiGo is trying to do and this new airline called Pahalwan, which inducted one plane; are these not competition to you?

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Pulkit Patni:

Aneel Gambhir:

Pulkit Patni:

Moderator:

Nilesh Dhamnaskar:

Aneel Gambhir: Blue Dart Express Limited

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Pradhaan Air, if you look at their announcements they are planning to use this aircraft for cargo charter operations, which is not express business. At the same time when you talk about IndiGo Endeavour that has always been there with UPS, so earlier that arrangement was through UPS Jetair, which in between was with SpiceJet and now it has moved to IndiGo. It is not that IndiGo Airline which is going to carry this thing. This is UPS International Cargo, which is moving within the country and which earlier was moving through UPS Jetair arrangement will move now through IndiGo arrangement, so this is not a new one. It is only the partner probably they have changed.

Understood. I will take the liberty of one more since I am not being restricted. How should we look at employee cost from these levels, any guidance would be pretty helpful?

Very valid question Pulkit. Currently, there is some situation and also the wage code, which government has been talking about getting differed continuously while wage code will

impact every single industry if the way currently we know and the same format comes unless there are changes in that, but otherwise also there is a high demand for talent from junior to mid level and that is where some kind of challenge we are also facing and that is where we had to revise some mi

nimum wages, which we will pay and that is what is reflecting in this quarter if you compare versus previous year in this quarter, there is some increase in the wage cost. Somewhere around this so maybe slightly higher amount than this could be way forward quarterly cost for us.

Got it. Very useful and good luck.

Thank you. The next question is from the line of Nilesh Dhamnaskar from Invesco mutual fund. Please go ahead.

Thanks for taking my question. I just have one question related to your cost. On employee cost, you elaborated that there was an increase in the minimum wages, but on the other two cost items just out of curiosity has there been any regrouping because I could see that on a Q-o-Q basis the operating expense are up 17%, but the other expense is down quite sharply 15%, Q-o-Quarter? Is there any regrouping first of all?

There is no grouping. I would invite you to look at Q-o-Q number. There is a pattern which you see that generally this course built up over a period of time so Q1 would have a relatively lower cost. The Q3 would have the highest cost; the similar pattern you could see if I am to just give you the number even in the previous year the similar trend was there. Q1 had Rs.58 Crores, Q2 had Rs.76 Crores, Q3 had Rs.94 Crores and Q4 had Rs.82 Crores so now this time it is Rs.69 Crores which needs to be compared with Rs.58 Crores.

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Nilesh Dhamnaskar:

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Aneel Gambhir:

Nilesh Dhamnaskar: Blue Dart Express Limited

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Got it. There is no regrouping but there is some element of these costs which get incurred during certain quarters, but just coming to, you talked about initially that we all know that ATF prices have gone up quite sharply, so which is a pass through at the end of the day from your customer perspective right, is there been a lag because when I see the margin profile, the margin profile looks much lower than what you have been reporting in last few quarters, so just want to know is there a lag in terms of the pass through of the ATF prices during this quarter?

There is a lag of about a month, which generally comes in a cycle so June cost of fuel will get passed on in July so there is about one month lag. Having said that, the margin wise also as I mentioned initially that we have a fuel surcharge mechanism, which is a pass-through mechanism right so when the fuel such as becomes relatively higher so that would optically will reflect in the mathematical formula of dropping the margin. That is one of the reasons, otherwise if you neutralize that impact you will see margins are almost in the similar range. Maybe the only thing is the absolute profitability also since the Y-o-Y quarter is not a representative quarter; the only next best alternative was Q-o-Quarter. I now understand the seasonality, but when I saw that then in the Q-o-Q there is a drop in the EBITDA, so maybe one is explained by the employee cost, but I was wondering that the operating expense has gone up then quite sharply during this quarter, so maybe to some extent the pass through is of the latest month ATF prices probably; does that explain?

Yes partially that explains and second because of high fuel prices obviously when you compare as a percentage to revenue you will find that the percent is going up.

Right correct got it and is there a seasonality to your overall business profile during this quarter wherein generally the margin profile during this quarter wherein generally the margin profile during this quarter is say may be lower than what you generally do from a fully year basis or something like that?

Traditionally, if you look at it this used to be the weakest quarter. Generally, the better margins would be in the festive season quarter, so that is how we have seen in the past, but things are changing, so you never know how the situation tu

rns out on the geopolitical side

probably that is where some risk could be there.

Got it and there is no one off in any of the expense during this quarter?

No.

Okay great. I think that is all for mine. Thanks and all the best. I will back in the queue.

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Moderator:

Krishnendu Saha:

Aneel Gambhir:

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Krishnendu Saha: Blue Dart Express Limited

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Thank you. The next question is from the line of Krishnendu Saha from Quantum AMC.

Please go ahead.

Thanks for taking my question. Most of the questions have been answered. There has not been any normal price increase either because when I am looking at your revenue per tons it is flat on a Q-o-Q basis so even that has not increased. Are we planned to take a normal hike besides the ATF prices also and on the second thing when I am looking at the parcel load is increased again from 3.41 to 3.61 kgs per parcel, so are we doing a lot of road traffic right now because I was under the impression that some amounts of what you call cargo, which is light will come back like papers and all new and exam papers would come back so that does not seem to be there and the 360 will need to come in depreciation or in the ROU so I just want to know that these three questions? Thank you?

What was the last question?

Rs.360 Crores which we are planning for the two aircraft will it come on ROU or it will come as a gross block?

Let me try and give you answer to each one of your questions. The first question was on revenue that you said that you compared per kg or pattern realization which is not attractive so is there any rate hike. There is a rate hike and there is GPI which has been implemented but it is because of product mix because we have different services and different products like you have a courier business, you have air packages, you have ground packages and also international, so as a result because of product mix change when you look at overall basis you are not able to see that impact and that is where you will see that the volume increase is also 50% and revenue increase is also 50%, so there is no impact of fuel as well as of the GPI. While in reality, it is there both of them had impact, but because of your product mix this is not visible when you look at a macro level.

Which product would have been most growing right now for this quarter?

Sorry.

Which product would have been?

Liked I mentioned that ecommerce and ground has been growing much faster products.

That explains the increase in your payload per parcel so 3.6 opposed to 3.41 last quarter is that because the ground has increased?

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Aneel Gambhir:

Krishnendu Saha:

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Moderator:

Krupashankar Nj:

Aneel Gambhir: Blue Dart Express Limited

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When you look at a macro level, you may not get a very clear number. Yes you may get a macro feeling but clear number you will not get because of the mix which is dynamic because of various offerings which we have, so if we focus more on high-dense cargo or high weight shipment then you will find that growth and tonnage will be high and even realization will drop because if it is moving on ground, ground versus air the ratio is one is to four so when you move more of a ground then you will see that per tonne or per kg realization will drop while that may not be the case. IL is because of the product mix you

may get a macro picture that way and similarly if we go more of air and less of ground then you will see that very high improvement in the realization pattern or per kg because air is costlier as compared to ground, so these are the dynamics of the macro picture because of which sometimes it may not give you right visibility.

Right and this Rs.360 Crores investment, will it be shown as a g

ross block or it will be spent as ROU?

Mostly as of now plan is to have this in asset base, let us see by the time we can always take a decision to change it if required to borrowing and show as ROU, but at this point of time we are going ahead with more of this asset sitting in books.

Okay and this will be after 180 days?

Sorry.

It will be after 180 days so we get half appreciation or it can be just on that part so depreciation for the full year or half year?

Half year.

Thanks.

Thank you. The next question is from the line of Krupashankar Nj from Spark Capital.

Please go ahead.

Good evening and thank you for the opportunity, so first of all ground express side just wanted to understand the sequential growth in the ground express how high would have been vis-a-vis Air Express?

Product wise growth is not in public domain, but I can only give you indication that it has been growing at a high double digits. Sequentially also it has been in double digit growth.

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Krupashankar Nj:

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Moderator:

Sandip Bansal:

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Sandip Bansal:

Aneel Gambhir: Blue Dart Express Limited

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Got it and looking at the average growth, it has been double growth on a sequential basis; ground should have been much higher at upwards of in fact (inaudible) 36.23 for the realization to?

I am not able to hear you Krupa clearly because of variation in audio.

I was just ask asking that when looking at the sequential tonnage growth at about 11 % then ground should have been much, much higher than that number for the realization to be flat on Q-o-Q basis? Is my understanding correct Sir?

I will not be able to comment because we are not giving product wise numbers but yes, but logically it should have.

Thank you. We will move on to the next question that is from the line of Sandip Bansal from ASK Investment Managers. Please go ahead.

Good afternoon thank you for opportunity. I had two questions firstly if one third of our belly cargo will move to these new aircrafts, then is it fair to say that the 15% to 20% capacity increase will not lead to a commensurate increase in volumes for us?

You are right because I have mentioned volume is already moving almost half of the capacity utilization volume is already sitting in the base. As I mentioned that we are currently moving from the module through belly space, which will move from commercial or the belly space into our aircraft.

Then this should basically have a larger impact on our margins, which is factored in the broad indication that you are giving that the margins could go up from current levels by 100 to 150 basis points?

No I said plus or minus.

Yes plus or minus right?

It could be other side also. Another thing is for long term, this could and as and when we inducted new capacity it had some impact for a quarter or two because you do not start as I mentioned that it takes two to three quarters to break even, so the extra cost definitely has an impact on the margin but when you talk about longer term maybe year or two that is where I mentioned that this could be the stable kind of margin with plus or minus 150 basis points.

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Sandip Bansal:

Aneel Gambhir:

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Sandip Bansal:

Moderator:

Pritesh Chheda:

Aneel Gambhir: Blue Dart Express Limited

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Right. I just wanted to understand that this 100 to 150 basis points if it is on the positive side, it factors in the fact that the volumes would move from belly cargo to our own planes because if we move from our planes it should be a higher margin right?

Sorry.

If we move volumes in our own aircraft then it should be margin accretive compared to movement by belly cargo?

Why would it be?

Because we would have to pay margins to the aircraft carriers also whose belly space

we

are using?

Okay you are saying from that logic.

Yes.

Then it will not be true. It may not be true because when you fly aircraft there are certain costs which you incur and that is why we generally do not use cargo of the belly space much because it does not suit our timing requirement. A small weight category or low capacity requirement can be made through belly space, but larger requirement cannot be met and when you need to do the entire economics through cargo aircraft then relatively it will be costlier as compared to belly space because belly space generally covers their commercials through passenger aircraft and the belly space is generally icing on cake for them barring the early morning flights, rest of the flights you get very, very cheap in terms of belly space per kg rate.

Got it okay thank you so much sir and all the best.

Thank you. The next question is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

On your comment that 50% of capacity is pre-loaded on the new aircraft so at 50% capacity utilization what is the apex loss that you would have on running these cargos and my second question is on the GM reduction side on your standalone operations we saw that the gross margin is reduced from 37 to 33. We usually take a price hike once a year so does it mean that if the fuel prices stay what they are when we take the next price hike is where the GM start improving or I have to look at it any other way?

What was your first question?

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Pritesh Chheda:

Aneel Gambhir:

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Pritesh Chheda:

Moderator:

Abhishek Ghosh: Blue Dart Express Limited

July 28, 2022

My first question is at 50% operating utilization of two aircraft what is the opex loss?

Generally at around 70% of the capacity utilization we break even; 70% to 75% depending on the sector how you fly right so that is the kind of gap which you have if you are talking about 50% to 55% getting covered so to the extent of around 15% to 20% of the capacity utilization would be the opex loss. Now I am not able to put value to you currently because that is not in public domain and it will be difficult for me to give information which is not

the public information. Having said that on the second part so gross margins per se optically as I mentioned because of pass through fuel surcharge mechanism you may have seen drop, but the moment the fuel prices come to normal levels you will see the margin going back to the same level.

Is it to do anything with volume also or it is just to do with pricing and raw material?

Both play a role in that ultimately because we are a high piece cost model so obviously that gives a leverage when capacity utilization improves more especially of the facilities and the vehicles so volume also plays a role and at the same time pricing also plays a role.

Because you any case have a higher Q2 and Q3 normally as your business, GM expansion will be natural any case without a price increase right?

I will not comment much on that. Actually, it will be like a kind of a giving guidance but the fact remains is that unless and until fuel prices do not cool down you may see a similar situation or rather if it goes up further you may see further optically margin getting skewed towards lower side because the fuel such as component keeps increasing obviously optically it will show the lower margin.

But how about a volume increase and a flat fuel price there?

Yes flat fuel and volume increase definitely gives a number for better gross margin.

Understood. Thank you very much Sir and all the best.

Thank you. The next question is from the line of Abhishek Ghosh from DSP. Please go ahead.

Thanks for the opportunity. Just a couple of things you mentioned the new freighters will typically cater to the new smaller cities, so today given that you have

to depend on belly

cargo, is your growth or presence in these smaller cities constrained so what you are talking about is 50% incremental cargo that can look even much higher if the two freighters kind of come in because you will be able to provide your own service how should one look at that?

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Aneel Gambhir:

Abhishek Ghosh:

Aneel Gambhir:

Abhishek Ghosh:

Moderator:

Poonam Joshi:

Aneel Gambhir:

Poonam Joshi:

Aneel Gambhir: Blue Dart Express Limited

July 28, 2022

You are absolutely right. In fact, this is one of the aim that we are seeing that beyond the seven cities when we expand the market will also expand with a better service quality and that is why we thought rather than going for one big aircraft which may cater to fewer locations we go for two smaller aircrafts covering more cities, so that we are able to offer better service quality and develop newer market and as we know that with metro getting saturated the growth will come from tier one and tier two cities and that is why we are focusing on those areas.

Okay and just one last thing, any sense on the market share gains as far as the third-party e-commerce logistics is concerned? Do you track any matrix where is it kind of indicating that you have gained maintain market share in any sense on that?

Yes, so on air side in fact recent studies showed that we have gained market share, which currently towards the end of 2021 was roughly about 54% market share in air side, which was two years back around 49% so almost 5% market share is gained during the pandemic and maybe till 2021 end. Similarly, we had a good growth but right now study on the ground side has not been conducted. We have gained market share but how much is that gain I am not able to tell you at this point of time because the study probably is underway at this point of time.

Okay great. Thank you so much and wish you all the best. I will come back in the queue.

Thank you. The next question is from the line of Poonam Joshi from Nirmal Bang. Please go ahead.

Thank you for taking my question. I have two questions. The first one how are we targeting to grow revenue share from e-commerce segment say over the next two years and also could you please give some color on the biggest e-commerce players such as Amazon and Flipkart, which owns their own logistics or they have their own internal capabilities to deliver their products end to end so, how are we seeing the demand coming from such big players? My second question is related to the net debt number so what would be the net debt number as on date and any guidance from net debt to equity once we complete the acquisition of two flights? Those are my two questions.

Can you repeat the second question. It was slightly away from mike.

Okay I want the net debt number as on date and any guidance for net debt to equity number once we complete the acquisitions of those two aircraft?

Net debt, I was not able to hear you properly okay. Let me first give you the second question and then come to the first one. As far as net debt is concerned, now if you look at Page 15 of 19

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Poonam Joshi:

Aneel Gambhir:

Poonam Joshi:

Aneel Gambhir: Blue Dart Express Limited

July 28, 2022

from banks borrowing point of view, there is no borrowing for the entire group be it Blue Dart Express or Blue Dart Aviation. We have paid off all the borrowings from bank. We do have Rs.200 Crores borrowing from a group company in Blue Dart Aviation while Blue Dart Express continues to be debt free, but Blue Dart Aviation has a Rs.200 Crores from one of the group companies, which is due towards the year end and that will also be paid off. We are confident that we will pay off that amount towards the end of the year so we should continue to remain debt free. That is what at this point of time the plan is. On the first question on the e-commerce side there is a lot more headroom is available. The reason being if you compar

e our country's spend on ecommerce versus the developed countries where it is about 17% to 18% of the retail being spent on the online e-commerce shipments. We are currently at about 4% so there is a very big headroom available for this expense to increase and when you say that if this much catch up has to happen that means lot more of shipment more have to move through express system and we being part of the express, we feel that since there is a lot of growth opportunities available there will be at least three to four years we could see very high growth. Now in that when you talk about Amazon and the Flipkart, they have their own in-house logistic companies which is Ekart and Amazon Transport, as and when volumes reach to a particular level they take that for in-house servicing of those locations and we believe that could continue so maybe this bigger player would have a lesser opportunity for third-party logistic players but there are many more players who are coming up, which could offer opportunity for growth and that is what currently we are seeing many omni channel players are coming, many new players are coming likes of Tata, Reliance and many others are getting into this business so the five would expand and the opportunity for us to also grow this particular offering would be much higher. That is what we currently believe.

One follow-up question here so what percentage of volume do we carry for this big player if you help us quantify it?

When you say percentage volume meaning.

Let us say the big players have their own in-house capabilities, which help them to deliver the cargo so we are not doing well over here in terms of delivering and we can expand the demand from such players, but as I said so, I just need to know what percentage of let us say if they have 100% of their product which has to be delivered, what percentage are we delivering on their behalf just wanted to know that number?

Okay roughly about 85% to 90% of the volume they do on their own, which is essentially in metro and tier one cities and some of the tier three cities so around 10% to 15% currently these both big players outsource to the third-party players and we get share more especially high-ticket items which generally move through air are moved through Blue Dart.

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Poonam Joshi:

Aneel Gambhir:

Poonam Joshi:

Moderator:

Ash Shah:

Aneel Gambhir:

Ash Shah:

Aneel Gambhir: Blue Dart Express Limited

July 28, 2022

Okay Sir one last question basically you have given guidance not the guidance, but you spoke about the 100 and 150 basis points EBITDA margin and PAT growth expansion we can see, so wanted your understanding and FY2023, what sort of sales turnover one can expect or you can get the sales number from the last year that would be helpful.

Poonam just to clarify I did not provide any guidance. I said long term perspective what could be a feeling right. This is not a guidance. Again I am repeating it is not a guidance point number one. Point number two having said that generally we have not been giving

any guidance be it on topline growth or the bottom-line growth. It was just in the context of the question I mean it could be around that range. Having said that for FY2023 years again I will maintain that company is not in the practice of providing guidance, so I will not be able to tell you that what growth we are looking at but yes definitely I can tell you for your understanding that we should see a high-double digit kind of top line growth.

Okay understood that would be helpful. Thank you.

Thank you. We have the next question from the line of Ash Shah from Elara Capital. Please go ahead.

Good evening. Thank you for the opportunity so for the ground segment particularly apart from the Rs.300 Crores to Rs.350 Crores of capex that we are planning to do, are we doing any particular capex in the ground segment for this year and if yes then what are the initiatives that we are

going to take for it?

Thanks for your Ash, so ground side also we will be expanding. Obviously ground becomes complementary to air as well as also offers opportunity for us to expand our services, so we would be also investing on though generally we operate on a asset-right model, so all our facilities are on lease basis, be it vehicles or be it our warehouses or hubs, so we would continue the same way so to that extent our investment requirement on ground will be lower because all of this will be more on operating these kind of a scenario, but then there would be good amount of capacity would get added both on the network side as well as on the hub expansion side.

Okay and one more question just last one last year you had done a drone testing for the Telangana Government and I had recently read that Swiggy is also planning for drone delivery throughout NCR and Mumbai; are we like seeing that as a next opportunity for Blue Dart Forces like we could expand more into it not right now in the near term but over the next medium like three to five years?

You are absolutely right, probably drone could be one of the avenues for deliveries in future. At this point of time, a number of people are doing experiment by using drone and

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Ash Shah:

Moderator:

Krupashankar Nj:

Aneel Gambhir:

Krupashankar Nj:

Aneel Gambhir:

Krupashankar Nj:

Aneel Gambhir:

Krupashankar Nj:

Moderator: Blue Dart Express Limited

July 28, 2022

also developing commercial models based on that and also watching this space but how it gets evolved over a period of time, so like we did our pilot last year number of times and we would continue to do some more pilots so that we get continue to get insights to see how we can improve our customer experience and yes who knows that maybe in three, four, and five years' time, it could become viable commercially and one could be delivering a shipment through drone. Definitely when it comes to emergency situation drone does come handy and it has a capability to deliver shipment, but then currently from cost point of view probably it is quite cost prohibitive unless until the evolution happens from this front, it will be a little bit difficult at this point but yes going forward there could be an opportunity on this side.

Okay thank you Sir.

Thank you. We have the last question from the line of Krupashankar Nj from Spark Capital. Please go ahead.

Thank you for the opportunity. Just one question that what is your view on ONDC, which was launched today and looking at the growth prospects what you have talked about in the Air Express business?

Krupa your voice is not clear. Can you repeat.

What will be your view on ONDC and also what we are seeing is that are you resetting your opinion that Air Express is going to grow much faster or similar to ground express going ahead?

Okay you are talking about growth on the air versus ground right.

Yes we are adding two aircrafts so just wanted to see that are you seeing that prospects as much as of remedy growth is much faster than air express now?

Yes, as I have been mentioning earlier there will be growth on both the offerings be it air or ground. Yes relatively if you want to understand we expect that growth to be high on

ground and maybe high single digit or close to double digit kind of growth on air, but then ground definitely would be high double digits kind of a growth as we move ahead.

All right Sir. Thank you. Thanks a lot Sir.

Thank you. Ladies and gentlemen that was the last question. I would like to hand the floor back to Ms. Ankita Shah for closing comments. Please go ahead.

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Ankita Shah:

Aneel Gambhir:

Moderator: Blue Dart Express Limited

July 28, 2022

Thank you. We would really like to thank the management for giving us the opportunity to host their call and wishing them all the best for the company quarter. Aneel Sir would like to add any closing comments.

Thank you all for

your active participation and good questions. I really enjoyed interacting with you and maybe soon look forward to having another interaction and of course the next quarter result and thank you Elara for hosting us. Really enjoyed that.

Thank you Sir. Ladies and gentlemen, on behalf of Elara Securities Private Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines. Thank you.

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Call: Aug 2023

August 08, 2023

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort

Mumbai - 400 001

Scrip Code - 526612 To, BLUE DART

EXPRESS LIMITED

Blue Dart Center, Sahar Airport Road,

Andheri (East), Mumbai - 400 099, India

Tel.: 2839 6444

Fax: 28244131

CIN: L61074MH1991PLC061074

www.bluedart.com

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National Stock Exchange of India Ltd

Exchange Plaza, C-1, Block G

Sandra Kurla Complex, Sandra East,

Mumbai - 400 051

NSE Symbol -BLUEDART

Sub: Transcript of analyst/ investors conference call -Disclosure under

Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements)

Regulations, 2015

Dear Sir/ Madam,

We refer to our intimation dated July 29, 2023, notifying on the schedule of 'Investors Call' organised through M/s. Motilal Oswal Financial Services Limited on August 02, 2023, to discuss the corporate performance for the quarter ended June 30, 2023 and audio recording of the same submitted on August 02, 2023.

Pursuant to requirements of law, please find enclosed herewith, transcript of the Investors call which is also made available on the Company's website viz; www.bluedart.com.

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For Blue Dart Express Ltd.

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(\, Tushar Gu'n , , eJia 1Head (Legal compliance) &

-"-Company Secretary

BLUE DART -.I.NL

"Blue Dart Express Limited Q 1 FY24 Earnings

Conference Call"

August 02, 2023

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MANAGEMENT: MR. V AIDHYANA THAN IYER -INTERIM CHIEF

FINANCIAL OFFICER, BLUE DART EXPRESS LIMITED

MR. KETAN KULKARNI -CHIEF COMMERCIAL

OFFICER, BLUE DART EXPRESS LIMITED

MODERATOR: MR. ALOK DEORA -MOTILAL Oswal

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BLUE DART -ia-¥L-Blue Dart Express Limited

August 02, 2023

Moderator:

Alok Deora:

Vaidyanathan Iyer:

Ketan Kulkarni:

Vaidyanathan Iyer:

Alok Deora:

Nirali Gopani:

Vaidyanathan Iyer: Good afternoon, investors. In order to provide some clarifications on our Earnings Results of Quarter I performance, we have organized this earnings investor call and Mr. Alok Deora from Motilal Oswal is facilitating the call. I would request Alok to take it forward.

Thank you so much to the Blue Dart team for giving us an opportunity to host this call. So without much ado, we will request the Blue Dart team to provide some opening remarks from

the 1st Quarter performance and then we can start with the Q&A session. Now I leave the floor to the management. Please go ahead, sir.

This is Iyer from Blue Dart. The quarter as such has been in line with expectations, for us it has been a consolidation quarter where our focus has been on the creation of infrastructure, investment in infrastructure, create capacity creation and we have been focusing on that, so that when the volume start picking up in the second half, capacity is able to support that. So that has been this and all our parameters are showing right trend, so we are quite happy with the performance. Ketan, you would want to say something on the market.

Definitely. Hi, this is Ketan Kulkarni -the Chief Commercial Officer. I think my colleague and CFO, Vaidhyanathan summed it up very well. Totally as per the expectations as we are coming out of the pandemic and entering kind of a normalized situation that was there before the pandemic struck. We are seeing sectors kind of coming back very strongly, some of them supposedly to have come back strongly are also showing not such strong growths, but the best part of our business is that we are equally diversified across sectors, so that gives us a lot of leverage and strength. So that is how we have seen the quarter and now as we have begun this quarter, our expectations also kind of in line of what we are expecting it to shape up. Thank you. Alok, you can request investors to seek whatever queries and clarifications they would like to have.

Thank you for the open

ing remarks and anyone having question can please raise their hand or post their question in the Chat Box below. Sir, we will take first question from Nirali Gopani. Please go ahead.

Sir, my first question is that, our margins were impacted for the few quarters because of the difference in the prices of Brent and ATF and our fuel surcharge mechanism was impacted, so any update that you could share on that part?

That happened in the second and third quarter of last year and continued in the 1st Quarter. Since then, as we updated in the last call also, we have been discussing with the oil companies and they have passed on higher discount or reduced rates which partially or to a large extent address that, but we are still finding some gaps between the crude movement and the final landed price of ATF which we are still in the discussion, but simultaneously we have also approached customers side of where we had given some concessional fuel surcharges to customers. So that we can get some more recovery from the customer side. So between the two we have been able

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BLUE DART -117.HL Blue Dart Express Limited

August 02, 2023

Nirali Gopani:

Ketan Kulkarni:

Nirali Gopani:

Vaidhyanathan Iyer:

Nirali Gopani:

Vaidhyanathan Iyer:

Nirali Gopani:

Vaidhyanathan Iyer:

Nirali Gopani:

Vaidhyanathan Iyer:

Ketan Kulkarni:

Nirali Gopani: to address the issue and since 2023, this issue has been fairly resolved and it is going on fairly okay.

Ketan, your view, this will not impact any of the coming quarters, right?

That is right.

And sir, once this new aircraft reach optimum utilization, what kind of sustainable margin do you see for the business?

The margins would be, as a normalized way, pre-pandemic what was in the longer term, we will continue to be except for 1 or 2 quarters when the induction and stabilization of additional capacity would happen, otherwise we should be in that same range.

So 15% at the standalone level, right?

They were 15% on a normalized, it would be more towards 11.5%-12%.

On a standalone level?

That is right.

And once we add this new capacity, you are optimistic about the overall environment, the competitive pricing pressure has eased out, so at the revenue level can we see a growth of 15% over the next 2-3 years?

Growth of 15%, see the capacity induction will not determine the growth. The growth will determine the capacity requirement. Growth will determine, so we will grow in line with the market, maybe try to grow a little better than the market and try to improve up our market share. but I think commercial can add to that. We don't generally give a forward looking statement,

but we can only say that as the market grows we would always be trying to aim as better than the market growth.

Thank you, Vaidyanathan for specifying that and definitely growth, Nirali, higher than the growth of the segments and the markets we operate in. You know the logistics industry and especially express logistics where we operate works at a multiplier to the GDP. So the industry works at a 1.2% multiplier on the GDP, the entire express industry and we will always grow faster than the market. We will improve our market shares. So those are the milestones that we measure ourselves against and we are very clear that we have grown much better than competition and in a space that we would always like to be.

So ground will be growing much faster than the air, right, because of this multiple addition that we have done, pin codes you are adding a lot of capacity on the ground side also, so is it right that the ground will be growing faster?

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Ketan Kulkarni:

Moderator:

Pramod Dangi:

Vaidyanathan Iyer:

Pramod Dangi:

Vaidyanathan Iyer:

Pramod Dangi:

Vaidyanathan Iyer:

Pramod Iyer: Blue Dart Express Limited

August 02, 2023

Nirali, if you look at any syndicated market research study, you will see that the ground express market will grow much faster than the air

express market. The air express market will grow in single digit whereas the ground market will grow in double digit. That is what every kind of analysis and study done on the express industry generates those kind of numbers. We have also seen the entire ecosystem for ground improve over the last half a decade, of course with a little speed bump during the quarter, but we have improving infrastructure on road, so the trucks are moving faster, the average running time and productivity is improving. We have seamless flow through of goods after the GST and three-way bills have come in, the governments programs to seriously now put a lens on the logistics industry and acknowledge it as the enabler of growth and a facilitator of growth both these areas, a lot of private and public investment, so I think on a very strong wicket, the entire express industry and yes, Nirali, within that ground faster than air.

Thank you so much. Sir, we take the next question from Mr. Pramod Dangi. Please go ahead.

Just couple of questions. One is, as you said that our ground express is going to grow faster than the air express, what is the composition as of now, within the ground and air express for the last financial?

Yes. see. we normally don't give breakup of the air and ground. We can only say that ground is growing faster. The mix will keep improving as compared to the air. That is the way it will be.

And in the new capacity which we had added, what is the utilization timeline we have because earlier we have said that we already have 50%-55% of the volume paid on the third party capacity, so we already have that, however timeline is there on the capacity utilization?

See, what we do normally before we put in them additional capacity, we start building lots of commercial and that goes on to serve the additional capacity. What was the balance left out, we initially fill it with airport to airport lesser premium cargo loads and we keep building up our express load and that keeps replacing the airport to airport. So what essentially would happen is your utilization as such in terms of tonnages we will keep. in the initial days itself, we will try to see no spaces wasted and it is filled and then you keep increasing the express loads, so your revenue realization from the flight starts increasing. That is how it will move. And we expect that in two quarters, we should get the ideal mix we want.

Two quarters for the ideal mix, right?

Yes.

Coming to this quarter's number, while we have seen a good growth in the segment and that is commendable given last year also, we had a very good recovery almost 30% growth year-on-year in the segment last year. On top of that, this year we have the 90% shipment growth, even our tonnage was positive, but our revenue went down by 4.5%, so is it because of the mix change; is it because of some pass of the lower ATF price or is it because of the competition?

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Vaidyanathan Iyer:

Ketan Kulkarni:

Pramod Dangi:

Vaidyanathan Iyer:

Moderator:

Kashyap Jhaveri:
Vaidhyanathan Iyer:
Kashyap Jhaveri: Blue Dart Express Limited
August 02, 2023

No, there are a couple of things. I will start with and then I will ask Commercial to handle the question. Last year, we had international charters because the pandemic was still on, so which in the current year that international charters as a line of business has come down or it is not there. The second part is when your mix of air to ground keeps changing ground growing faster, your revenue if you look at revenue realization, it is a function of your yields and the component of ground being higher, you will see as if your overall revenue per unit coming down, but when you actually look at the breakup and each growing in a different manner, your overall revenue realization is in line with expectations. So you want to add something?
I can add I think, Vaidhyanathan kind of covered it very well. Charters being sucked out, one cha

pter is one shipment essentially for us, but a lot of revenue, multiples of that shipment. Secondly, the sector profile also changed. We have seen tremendous growth in sectors that give us low weight shipment, such as e-commerce, BFSI, so that was the only reason, but as you rightly pointed out, Pramod, a strong shipment growth and positive tonnage growth and with the results that are kind of coming out of the logistics industry we just had one yesterday. You will see that this is a very strong performance.

And despite as you said in the opening remarks, we have seen the correction of the ATF price in the last 3-4 months, but our freight and handling cost and overall cost, especially the direct cost remain very high and that is in line with what we have seen in the last 4 quarters. so is that there is a delay in. so that this is not making. we are not able to understand that?

The freight and handling cost have got multiple components in that. One of the reasons would be the ATF, though we are saying that realization of fuel surcharge and mechanism works fine that part of it is handled on the revenue side. On the cost side, if the ATF price increases the cost would increase. So you would have, the cost side of it showing that that increase because of the ATF increasing over the last year similar quarters prices plus you have capacity creations for future. We would have some cost being incurred possibly a little ahead for getting ready for the subsequent volume getting picking up plus your aircraft induction which we have inducted in the quarter, April to June. Initially. the flight was in test run because this is a new type of aircraft and only towards the end of June it became active for with the loads being carried and all that. So those costs are sitting there. In the subsequent quarters, you will start getting the benefits. Thank you so much. Sir, we take next question from Mr. Kashyap Jhaveri. Please go ahead. Sir, one clarification I wanted, to one of the earlier question you replied that the margins could look will now trend towards the pre-COVID margins which are about 12%-12.5% kind of number, the margins that we were referring were PBT margins or?

EBDIT.

And when you compare that with 12% that is like pre-IndAS kind of number where the rent is before or is included in operating cost rather than in the below operating profit line because last about say post pandemic, our EBITDA number had been looking significantly higher?

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BLUE DART -ZIIIL .. Blue Dart Express Limited

August 02, 2023

Vaidhyanathan Iyer:

Kashyap Jhaveri:

Vaidhyanathan Iyer:

Kashyap Jhaveri:

Vaidhyanathan Iyer:

Kashyap Jhaveri:

Vaidhyanathan Iyer:

Moderator:

Nilesh P:

Vaidhyanathan Iyer:

Nilesh P: Because pandemic was a special occasion, the pandemic period cannot be compared because the demand and the realizations were quite different. We had interest charters and so those are all one-off type of business. So that is why we are talking of pre-pandemic. You are right that there will be some changes because of the new standard of ROU asset and some of it going below the line. So there could be some difference, but it would be more in the range of 12% kind of thing. So when you say pre-pandemic EBITDA. that is comparable to more like post-pandemic EBT margins. right? Is that something you are referring to because when I look at pre-COVID EBT margins, they were like about 12%-12.5% kind of a number which is why I am asking?
Pre-COVID EBT margins, it will not be 12%, operating margins would be in that range.
And second question is on this quarter, this reduction of aircraft, in terms of our freight and related costs are about Rs. 700 crores, Rs. 720 crores kind of number, would you be able to

highlight what would be the number related to the new aircraft out of this for which there was no commensurate revenue?

See, the investment on the aircraft are owned by us. it is about Rs. 450 crores. W

hat would hit

us as an operating would be the depreciation interest and of course.

I am asking in this quarter in the freight and other expenses of Rs. 720 crores, you know there will be overall charges and parking charges related to the new aircraft also, right?

That is what I am trying to cover. Because you start operating you would have to have the pilots in place. this being a new type of aircraft, the engineers are in place. So those cost start ticking over this. Because it is a new type of aircraft, the regulatory required test slides for these for a longer time and only by June 20th it was released for carrying live shipments. So the last 10 days we did carry loads which was what we were carrying in the commercial aircraft, moved into this one plus additional loads started travelling in this. So it was only 10 day kind of a benefit we got on the capacity being available. When you start operating on live run, the operating cost increases as well as the benefit from operations flows through. So there would be some amount of fixed cost which anyway we would incur, that hit us in May and June full month. The benefit started, operating cost started hitting us in the last 10 days and we started getting the benefit in the last 10 days.

Thank you. Sir, we take next question from Mr. Nilesh P. Please go ahead.

Just to clarify. so basically the newly inducted planes, the costs and revenues are reflective of about 10 days for the quarter?

Correct.

And just my question was more on the demand and the competitive environment, though I understand that you have had a high base quarter, but broadly when we see on a Y-on-Y basis

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BLUE DART -6'..H'L■ Blue Dart Express Limited

August 02, 2023

Ketan Kulkarni:

Nilesh P:

Ketan Kulkarni:

Nilesh P:

Ketan Kulkarni:

Nilesh P: your volume trends, I think they have been decelerating, so what according to you, I mean what is driving that. is the demand environment weak or what is it?

I don't quite know what numbers you are referring to in terms of volume growth becoming weak.

If you kind of remove the two years of COVID which is 2020 and 2021, you will see between for 2018 and 2019 we were operating at a revenue level of about Rs. 3,000 crores per year at an average between the 2 years and the PAT was about Rs. 114 crores at an average over the 2 years. We are coming out of the COVID and in 2022-2023, my revenue has now gone up to Rs. 4,800 crores at an average between these 2 years which is a 60% jump and the PAT is at Rs. 371 crores which is near the 220% up without the COVID years. So I think we are on a very strong pitch. We move about 1.2 million shipments a day which is about in our 8-hour work day shift that is about 30 shipments in a second, I think the Blue Dart performance if you remove the 2 COVID years and compare against that is really commendable as to how we have kind of fought against all those headwinds that we had and as Iyer said in this opening remark, very buoyant about the entire express business. Hence, the investments in the aircrafts, to Boeing 737s with a new station Guwahati being added. We have recently come out of two very important projects with the large 4, one on tech and automation and the other on infrastructure and network governance in the country. So I think I have kind of answered you in terms of what you

24.22.

Partially, yes. So I completely agree that, I think as compared to what your performance was about 3 years back pre-pandemic normalized environment., from there you have done phenomenally well. My point was, in the recent quarters, I will tell you what number I am referring to, the tonnage data which you give every quarter, so if I were to see on a Y-on-Y basis, the growth in tonnage, so that maybe Q2 FY23 the growth was 26, then in Q3 it has become 16, Q4 it has become 10 and the recent quarter it has become 3%. So that is what I was asking, there has been a deceleration in the trend

and that is what I was referring to?

Entirely appreciate, Nilesh, what you are referring to. As we kind of covered earlier in the call that our business is split between air and ground and we are seeing a lot of acceleration in certain sectors of the industry that kind of give us lightweight shipment which would not convert into tonnage. So if you correlate the shipment growth versus the tonnage growth and triangulate that versus the revenue growth you will see that the picture is a little different rather than just concentrating on one aspect.

Correct, I agree, so shipment growth has been relatively better, no denying that?

And if you triangulate that against the revenue, the picture becomes much more holistic and that is how I would rather look at it, Nilesch, very nice insight.

And just one thing, the current demand environment according to you, how is that vis-a-vis what you are seeing maybe a couple of quarters back, in terms of the e-com, the air documents you ship, any broad color you could give on the demand environment as we stand?

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Ketan Kulkarni:

Nilesch P:

Ketan Kulkarni:

Nilesch P:

Vaidhyanathan Iyer: Yes, the broad color we generally give basis the deep dive into data, again we do conduct a total market sizing exercise every year again with one of the top 4. that gives us directions over the short, medium and long term and as I said earlier air markets to grow in single digit and ground markets to grow in double and basis that then we plan our playbook on how we are going to strategize, how we are going to execute and ultimately stay ahead of that growth that the market is kind of throwing up.

And my second question was on the competitive environment. so we don't get too much about, but from whatever we have been reading, we have heard that Indigo has been inducting dedicated planes for freight business, I think I presume they have about two currently, Amazon Air had also announced that they will be expanding their dedicated freight in India, so in context of that could you give us a sense on how the capacity for air industry has been on the freight side and the pricing discipline, I mean we would want to understand that a bit more?

So if you look at the entire air freight cargo market in the country that has been a little flat. But we are not in the air freight business which Indigo would operate through their belly space. We are in the air express market. The air express market means a door-to-door pickup and a door to-door delivery, so that kind of differentiates us. We use the Indigo aircraft for our shipments also when Iyer explained to you earlier in the call about commercial uplift these are the belly spaces of Indigo. of Air India of Air Akasa Asia Air and everybody. those are the belly spaces we will use. So it is a complementary to our business and as and when we hear that the induction of higher belly space is going to happen in the industry over the next 5 or 10 year horizon, we hear the news that 500 more aircraft will come in. etc., that only kind of encourages us that more belly will be available. Blue Dart with its express service can reach more tier 2, tier 3 towns. More airports will come into the realm of air express, so really very buoyant with that. Amazon Air through aircraft essentially being used for the Amazon captive loads, Amazon is also working with us very closely. We have worked with Amazon since they have come into the country, so it is a very complementary kind of business and we are kind of in a happy space there. In terms of pricing again as I told you we are the air express operators, the others are airport to airport. so there is a pricing differential that we have over all the others who operate airport to airport. The most differentiating aspect of factor in express is that pick up from door and that deliver to door. Air is just my middle mile.

And th

e last question was just the new planes from what we have been given to understand you would be deploying, I think North East is one of the routes which you would have already deployed, so in this business, the return load economics also play an important part, so how are you assessing that aspect because especially from that corridor?

This aircraft, the additional aircrafts will touch Guwahati as one station which is the North East, but it also service the capacity requirements of growth for the other metro section, so it will be servicing both. As far as Guwahati is concerned, we believe that has got a good potential loads into Guwahati is not an issue at all. Growth loads out of Guwahati is also being developed and for us we feel that there is a good potential there and we can, once we start gh ing good qualil)

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Ketan Kulkarni:

Moderator:

Saurav Patwa:

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Ketan Kulkarni: Blue Dart Express Limited

August 02, 2023

transit times and good turnaround from there, the market is adequately there. Ketan can add further on it.

No, I think you covered it pretty decently well, Vaidhyanathan and as Vaidhyanathan earlier

said, we kind of balance it out with the commercial load that we currently carry in and out of Guwahati, over the next two quarters we reach the yield balance that we want to achieve and I think when we look at the numbers we think we will be able to do that much earlier than what is planned in the books.

Thank you so much. Sir, we take next question from Mr. Saurav Patwa. Please go ahead.

Sir, just harping on the same question which you clarified it on a bit especially on the margin part, when you highlight that we should go to pre-COVID EBITDA numbers. but when we see that, if we could have done that, then actually this quarter number should have been much weaker, right because this had a higher expense, still our PBT margin is 6.5%, isn't that right number to see the PBT margin because after post IndAS due to lease rental the interest part as a depreciation has gone up at 3x, so rather we should continue to measure on the EBITDA margin which were pre-COVID because assuming that would have been the case, are this quarter numbers would have been much weaker if we go by the pre-IndAS operating EBITDA margins, is there something which we are missing?

No, when we talk about pre-COVID EBITDA margins, it is on the longer period specifically.

Sir, I have looked in from March 13, 14, 15, 16, 17, 18, so for like 5-year period our PBT margins were average for around 8% and this quarter also, I am talking about the PBT margin, I am talking PBT because I don't want the IndAS has made the interest as in efficient 3x compared to that number, so that the PBT margin is something where the interest, whether it comes above EBITDA or below EBITDA it makes no difference then we look at PBT and this also coincide with the current quarter number, this might being a higher cost due to the induction of new air planes, we still need PBT margin of 6.5%, so had it been the 12% EBITDA then this number would have been much lower sir, so I am just trying to understand?

You are right that when you are looking at pre-COVID EBITDA at the old accounting where it was the lease rental and subsequently it will come under the new IndAS could sit under depreciation, so when you look at PBT per say, PBT is in more or less 1%-1.5% here or there and that is what we are saying the performance has been good and we will come back to the same percentage as pre-COVID.

That is for PBT?

Yes, at the PBT level and for the aircraft related cost, the fixed cost of inducting the aircraft has been there since May and June. the operating cost which is the larger part of the cost is there only for 10 days. So the benefit of the capacities also only for 10 days, so what would happen in the subsequent quarter is your operating cost will be for the full qua

ter, your benefit of the

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BLUE DART -1a■L-Blue Dart Express Limited

August02,2023

Saurav Patwa:

Ketan Kulkarni:

Moderator:

Nimesh Shah:

Ketan Kulkarni:

Nimesh Shah:

Vaidhyanathan Iyer:

Ketan Kulkarni:

Moderator:

Rakesh:

Vaidhyanathan Iyer: capacity also will be for the full quarter, the challenge would be for us how we can turnaround the low yield airport to airport loads faster by replacing it with express loads and that will give us a better margin and flow through.

But once this at some point, may be like 2 quarter, 3 quarter, 4 quarters, the sustainable margin at PBT level would be something which were there pre-COVID on a normalized basis, whether it barely reaches to 10% or it stays at 8.5-9 it is something which will depend on how we improve. but the PBT margin pre-COVID is something which one should factor, right?

That's what we are saying.

Thank you so much. Sir, we take next question from Mr. Nimesh Shah. Please go ahead.

Sir. I had a question. you mentioned that ground will keep growing faster than the air, so just in terms of unit economics, so should we focus on absolute margins and is it fair to say that absolute margins in both the segments will be similar for us because if I have to just extrapolate and just see the realizations per ton basis, then it will distort the entire picture for us given that ground is a lower realization business for us, is it fair to say on an absolute margin basis. they will both be making similar kind of profits for us?

The margins in all the products, in all the type of services will be in a similar range, may be 100 basis points here or there, but it would be, the reason been we only focus on profitable growth.

We don't go for volume gains. So our endeavor would be to protect the margins.

So also is it fair to say that our top line growth that is revenue growth will be much going forward,

revenue growth will lag our volume growth or we will kind of makeup and when we say double digit growth in the ground and single digit growth in the air, it is on the revenue front and not at the volume front?

The volume versus revenue would always depend on the mix, if your ground is growing faster, so the revenue would grow as such the resultant revenue growth would be lower than the volume growth because your ground is growing faster. So those are things which is bound to happen unless, Ketan you would want to add anything further on that.

No, I think Vaidhyanathan you covered it pretty well.

Thank you. Sir, we take next question from Mr. Rakesh. Please go ahead.

Sir, just wanted to know what is the average realization per shipment via air and via surface, in general what is the price difference between if our products are shipped via air and via surface? In air and surface also we have multiple kinds of services which are there and each of the realization would be whether if it is a document of parcel, heavy parcel versus light parcel, so they are all different price bands and different realizations.

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Rakesh:

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Ketan Kulkarni:

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Ketan Kulkarni: Blue Dart Express Limited

August 02, 2023

But any color further on that like it is what we have traded, air express is 3x costlier than the surface, is that understanding correct?

You are saying air is 3x costlier than the surface, is that your question?

Yes.

Yes, more or less that should be.

And in the earlier participant question, you mentioned the margins will be similar, so if the share of surface increases further, so maybe the volume growth will be higher, but the total revenue growth will be lesser and the EBITDA will be lesser, is the understanding correct?

When you talk about product mixes and EBITDA and all, it can be confusing but what we are saying is we would always try to grow profitably and our margins would be as a percentage to revenue the EBITDA or EBT m

argins would be generally in a similar range, may be 100 or 150

basis points here or there, but we will never be the volume gain where we will lower the prices and try to capture the market that will not be our area.

Sir, the client that you have, have you seen the customers coming to you. those who were shifting earlier via air, but now because the road connectivity has improved, the time lag has also come down, are they shifting to route before like air?

Rakesh, as I kind of covered earlier in the call, if you compare over the years without the COVID, you will see the revenue growth at about 60% which is essentially a mix of new customers that are coming to the business which is current customers shipping more which is a product mix change that is happening, a geographic mix change that is happening, so there are various kind of points and within those how we balance our business as Vaidhyanathan said earlier in terms of volume and revenue we balance our business in terms of going after customers and lanes and geographies that are more profitable, how we keep the mix, so that all the areas of revenue growth, tonnage growth, shipment growth kind of result in a very strong EBITDA margin, all this has happened over the past many years and we believe this will happen going ahead too.

That is how in fact Blue Dart has been successful over the years in terms of understanding trends, being agile to those trends, reading trends much earlier than others can read them and that is how we have been able to build the business that consistently delivers on topline, bottomline and all the metrics that kind of measure the performance on those.

Sir, one last question from my side, recently two companies have announced that they foray into B2B Express, one is Ekart, one is Maersk. Globally, Maersk has also announced to enter into B2B Express, just wanted to know your thoughts on the competition because Maersk has announced Rs. 50 per package if I am not wrong, \$1 per package anywhere in India, so your thoughts on that?

Rakesh. I will have my thoughts on that. but I would refrain from commenting on e<n:.,pctition. '\n You will have to excuse me for that.

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[BLUE DA•T -ii711L-Blue Dart Express Limited

August 02, 2023

Moderator:

Sarika Thorat:

Vaidhyanathan Iyer:

Moderator:

Pramod Dangi:

Vaidhyanathan Iyer:

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Vaidhyanathan Iyer:

Pramod Dangi:

Vaidhyanathan Iyer: Thank you. Sir, we take next question from Sarika Thorat. Please go ahead.

Sir, regarding the revision of the customer contact you communicated last time that additional fuel charge as well as the annual hike has been taken after March, so what is the status on that, it is pretty much accepted by the clients or it is yet to reflect in our numbers in the subsequent quarters?

The price increases happen every year. so those are normal. What we spoke about was the fuel surcharge some changes which we did. That has been accepted, so it is already priced in the result.

Thank you. Sir, we have a follow up from Mr. Pramod Dangi. Please go ahead.

Sir, just wanted some clarification, as you said that this year's cost including some aircraft induction cost for the May and June month, so if you can quantify that amount if you can give some sense on that how much would be that cost?

Don't think we can give you a number to that. but since in a large setup this cost of the induction will not be very significant that it will distort the number, they are small because you already operate 6 aircraft, so that cost is already sitting there. This is only the fixed element of the depreciation and interest and manpower is sitting, so that will not be a very large cost.

But I just noticed that the depreciation quarter-on-quarter and year-on-year is almost the same as earlier. so will the depreciation go up going forward for the two aircraft?

We have two compa

nies, the Blue Dart Express and then the subsidiary Aviation. the aircraft induction happens in the Aviation setup, so when you look at the consolidated results, you will find the depreciation. Standalone result do not sit as the depreciation, it will sit as aircraft under freight handling cost.

Sir, I am looking at the consolidated number only, that is only I am saying?

There, you will see that depreciation impacts coming in the subsequent quarters.

And just to, although you are not giving the actual numbers. was there any price reduction in any like to like if I look at whether in air express or the ground express, was there any price reduction or that realization drop is just because of the product mix?

It is the product mix, primarily driven by the product mix.

No price reduction compared to product to product or the service to service business?

I don't think we can make a general statement because what also happens within the product is different customers are at different price point in a particular business and lanes, so (eograph) ,

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Alok Deora:

Vaidhyanathan Iyer:

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Ketan Kulkarni:

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Vaidhyanathan Iyer:

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Vaidhyanathan Iyer: Blue Dart Express Limited

August 02, 2023

so all that is a weighted average, so you can't make a sweeping comment like that, but primarily driven by the product mix.

Thank you. Sir, we have some questions in the Q&A box, so I will just quickly read out. Does the blended realization in 1 Q reflect the Q-o-Q decline in ATF prices?

Yes, it reflects Q-o-Q decline in the ATF prices.

What is the expectation of the e-commerce industry as Amazon choosing a dedicated freight had impacted Blue Dart volumes in anyway?

So I think I answered that, we work very closely with Amazon, you also know that Amazon has its own dedicated logistic service and the major part of their shipments move through that service. A small part of their business is outsourced through players like Blue Dart and others. We are kind of in a position where we are not too kind of disturbed with what volumes we are

getting from Amazon and also my portfolio is much more balanced than most others across sectors rather than being skewed towards a particular one to kind of eliminate any risk that we would have from a particular sector and more so from a particular customer.

Sir, one question is related to the 1st Quarter performance, so the volume growth has been around 3%. so any sector which performed below par, any end-use segment which performed below par during the quarter and what is the outlook on some of the key segments we cater to for FY24 and FY25?

Rather than telling you which kind of underperformed, I would rather tell you which kind of performed well, so we had Lifesciences, Healthcare, we had Consumer Electronics. Durables. E-commerce, Banking and Financial Services, Automotive performed very well. We are also as you know as I said earlier factor of the GDP is the Express industry and so are these sectors. They have all kind of triangulated their growths also to how the GDP will grow. If you are in the services sector, it is the subset of the services GDP or the manufacturing GDP. The manufacturing GDP last quarter was in single digit, so when we kind of look at our numbers and do the algorithms versus the sectors we see that our growth in sectors or the volumes and shipments that are coming from the sectors is in a very strong position as of today.

I think just last couple of question in the Box, I will quickly read out, if the blended realization reflect ATF price movement, is Blue Dart getting kind of raw end of the deal while pricing is dependent on crude movement based on fuel surcharge, but benefit of ATF has to be passed on immediately, so that is the kind of question where we are getting pricing based on fuel surcharge, but whatever the ATF price is coming down we are passing it off immediately?

That is a cycle. What happens

is crude prices could reflect that in the ATF in the subsequent month or 1 or 2 months later depending on how the local suppliers import, refine and price it in their products. So as a cycle, it will always reflect immediately or in the next one or two months, but one should not be bothered in the longer run if the mechanism is working fine and we are EV

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Alok Deora:

Vaidhyanathan Iyer:

Alok Deora:

Saurav Patwa:

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Saurav Patwa:

Ketan Kulkarni: able to observe the increases by passing it onto the customer or give the benefit to the customers when the prices go down, the mechanism is working fine.

Sir, just the last question in the box, so I think this was asked previously, but I will just, similar question, leading competitor is running operations at around Rs. 65 for parcel for e-com shipment, so do you think this number is sustainable and if not then what would be the sustainable number here?

Sorry, I missed, I am reading it out, our leading competition is running operations at 65 per parcel in ground logistics, do you think this kind of number is sustainable if not what would be a good number? The anonymous attendee if you are referring to Maersk, I believe that number is Rs. 80 per shipment.

Thank you. We have the next question from Mr. Saurav Patwa. Please go ahead.

Sir, just for next 3 to 5 years, what kind of a blended growth you foresee obviously there can be quarterly variation here or there, but given the kind of environment we are, the way the manufacturing is going in India and we have beginning to be a sort of auto hub where precision parts may be required, pharma part may require to move here and there, consumer demand is so strong. so given all these factors, what kind of a blended it may happen to express?

Saurav, of course Vaidhyanathan will definitely come in, but as I told you earlier, we are factored to GDP growth. If you have seen the global GDP, if it is growing at 2% or 3% India's GDP generally grows at 6% or 7%. If the global GDP jumps up to 3% to 4%. India's GDP growth suddenly jumps up to 7% and 8% and I told you we will always be a factor of the GDP, we will facilitate trade and we will grow faster than how the market, where we play gross.

That should be factors nominal GDP or real GDP because your realization would be linked to nominal GDP because inflation do factor in for your kind of business?

Yes, it will be nominal GDP.

It will be nominal, so 13%-14% is what one should factor in?

No.

And the nominal GDP for India has been for 30 years, 40 years has been in that industry?

What is the nominal GDP growth?

Sir, real growth plus inflation that is

Excellent, what is the growth that you have in mind this year?

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Saurav Patwa:

Ketan Kulkarni:

Alok Deora:

Ketan Kulkarni:

Vaidhyanathan Iyer:

Ketan Kulkarni: I am just asking sir, what is the factor of that nominal GDP growth you would grow for, whether it is 1 x, whether it is?

Yes, that is what I told you, the Express industry is at 1.2% factor on GDP. That is the Express industry.

Thank you. So I think we are done with the Q&A session. I would like to thank the management from Blue Dart, Mr. Iyer and Mr. Ketan Kulkarni for giving us opportunity to host the call and for any follow up questions you would reach out to the IR team. Thank you so much sir for letting us hosting the call.

Thank you, Alok for organizing the call and thank you everybody for your very directional questions. Over to you, V aidhyanathan.

Thanks. and it was quite apt.

Thank you. Have a good evening everybody.

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Call: Aug 2023

August 08, 2023

To,

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NSE Symbol -BLUEDART

Sub: Transcript of analyst/ investors conference call -Disclosure under

Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements)

Regulations, 2015

Dear Sir/ Madam,

We refer to our intimation dated July 29, 2023, notifying on the schedule of 'Investors Call' organised through M/s. Motilal Oswal Financial Services Limited on August 02, 2023, to discuss the corporate performance for the quarter ended June 30, 2023 and audio recording of the same submitted on August 02, 2023.

Pursuant to requirements of law, please find enclosed herewith, transcript of the Investors call which is also made available on the Company's website viz; www.bluedart.com.

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For Blue Dart Express Ltd.

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(\, Tushar Gu'n , , eJia 1Head (Legal compliance) &

-"-Company Secretary

BLUE DART -.I.NL

"Blue Dart Express Limited Q 1 FY24 Earnings

Conference Call"

August 02, 2023

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MANAGEMENT: MR. V AIDHYANA THAN IYER -INTERIM CHIEF

FINANCIAL OFFICER, BLUE DART EXPRESS LIMITED

MR. KETAN KULKARNI -CHIEF COMMERCIAL

OFFICER, BLUE DART EXPRESS LIMITED

MODERATOR: MR. ALOK DEORA -MOTILAL Oswal

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BLUE DART -ia-¥L-Blue Dart Express Limited

August 02, 2023

Moderator:

AlokDeora:

Vaidhyanathan Iyer:

Ketan Kulkarni:

Vaidhyanathan Iyer:

Alok Deora:

Nirali Gopani:

Vaidhyanathan Iyer: Good afternoon, investors. In order to provide some clarifications on our Earnings Results of Quarter I performance, we have organized this earnings investor call and Mr. Alok Deora from Motilal Oswal is facilitating the call. I would request Alok to take it forward.

Thank you so much to the Blue Dart team for giving us an opportunity to host this call. So without much ado, we will request the Blue Dart team to provide some opening remarks from

the 1st Quarter performance and then we can start with the Q&A session. Now I leave the floor to the management. Please go ahead, sir.

This is Iyer from Blue Dart. The quarter as such has been in line with expectations, for us it has been a consolidation quarter where our focus has been on the creation of infrastructure, investment in infrastructure, create capacity creation and we have been focusing on that, so that when the volume start picking up in the second half, capacity is able to support that. So that has been this and all our parameters are showing right trend, so we are quite happy with the performance. Ketan, you would want to say something on the market.

Definitely. Hi, this is Ketan Kulkarni -the Chief Commercial Officer. I think my colleague and CFO, Vaidhyanathan summed it up very well. Totally as per the expectations as we are coming out of the pandemic and entering kind of a normalized situation that was there before the pandemic struck. We are seeing sectors kind of coming back very strongly, some of them supposedly to have come back strongly are also showing not such strong growths, but the best part of our business is that we are equally diversified across sectors, so that gives us a lot of leverage and strength. So that is how we have seen the quarter and now as we have begun this quarter, our expectations also kind of in line of what we are expecting it to shape up. Thank you. Alok, you can request investors to seek whatever queries and clarifications they would like to have.

Thank you for the open

ing remarks and anyone having question can please raise their hand or post their question in the Chat Box below. Sir, we will take first question from Nirali Gopani. Please go ahead.

Sir, my first question is that, our margins were impacted for the few quarters because of the difference in the prices of Brent and ATF and our fuel surcharge mechanism was impacted, so any update that you could share on that part?

That happened in the second and third quarter of last year and continued in the 1st Quarter. Since then, as we updated in the last call also, we have been discussing with the oil companies and they have passed on higher discount or reduced rates which partially or to a large extent address that, but we are still finding some gaps between the crude movement and the final landed price of ATF which we are still in the discussion, but simultaneously we have also approached customers side of where we had given some concessional fuel surcharges to customers. So that we can get some more recovery from the customer side. So between the two we have been able

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Nirali Gopani:

Ketan Kulkarni:

Nirali Gopani:

Vaidhyanathan Iyer:

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Nirali Gopani:

Vaidhyanathan Iyer:

Ketan Kulkarni:

Nirali Gopani: to address the issue and since 2023, this issue has been fairly resolved and it is going on fairly okay.

Ketan, your view, this will not impact any of the coming quarters, right?

That is right.

And sir, once this new aircraft reach optimum utilization, what kind of sustainable margin do you see for the business?

The margins would be, as a normalized way, pre-pandemic what was in the longer term, we will continue to be except for 1 or 2 quarters when the induction and stabilization of additional capacity would happen, otherwise we should be in that same range.

So 15% at the standalone level, right?

They were 15% on a normalized, it would be more towards 11.5%-12%.

On a standalone level?

That is right.

And once we add this new capacity, you are optimistic about the overall environment, the competitive pricing pressure has eased out, so at the revenue level can we see a growth of 15% over the next 2-3 years?

Growth of 15%, see the capacity induction will not determine the growth. The growth will determine the capacity requirement. Growth will determine, so we will grow in line with the market, maybe try to grow a little better than the market and try to improve up our market share. but I think commercial can add to that. We don't generally give a forward looking statement,

but we can only say that as the market grows we would always be trying to aim as better than the market growth.

Thank you, Vaidyanathan for specifying that and definitely growth, Nirali, higher than the growth of the segments and the markets we operate in. You know the logistics industry and especially express logistics where we operate works at a multiplier to the GDP. So the industry works at a 1.2% multiplier on the GDP, the entire express industry and we will always grow faster than the market. We will improve our market shares. So those are the milestones that we measure ourselves against and we are very clear that we have grown much better than competition and in a space that we would always like to be.

So ground will be growing much faster than the air, right, because of this multiple addition that we have done, pin codes you are adding a lot of capacity on the ground side also, so is it right that the ground will be growing faster?

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Ketan Kulkarni:

Moderator:

Pramod Dangi:

Vaidyanathan Iyer:

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Vaidyanathan Iyer:

Pramod Iyer: Blue Dart Express Limited

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Nirali, if you look at any syndicated market research study, you will see that the ground express market will grow much faster than the air

express market. The air express market will grow in single digit whereas the ground market will grow in double digit. That is what every kind of analysis and study done on the express industry generates those kind of numbers. We have also seen the entire ecosystem for ground improve over the last half a decade, of course with a little speed bump during the quarter, but we have improving infrastructure on road, so the trucks are moving faster, the average running time and productivity is improving. We have seamless flow through of goods after the GST and three-way bills have come in, the governments programs to seriously now put a lens on the logistics industry and acknowledge it as the enabler of growth and a facilitator of growth both these areas, a lot of private and public investment, so I think on a very strong wicket, the entire express industry and yes, Nirali, within that ground faster than air.

Thank you so much. Sir, we take the next question from Mr. Pramod Dangi. Please go ahead.

Just couple of questions. One is, as you said that our ground express is going to grow faster than the air express, what is the composition as of now, within the ground and air express for the last financial?

Yes. see. we normally don't give breakup of the air and ground. We can only say that ground is growing faster. The mix will keep improving as compared to the air. That is the way it will be.

And in the new capacity which we had added, what is the utilization timeline we have because earlier we have said that we already have 50%-55% of the volume paid on the third party capacity, so we already have that, however timeline is there on the capacity utilization?

See, what we do normally before we put in them additional capacity, we start building lots of commercial and that goes on to serve the additional capacity. What was the balance left out, we initially fill it with airport to airport lesser premium cargo loads and we keep building up our express load and that keeps replacing the airport to airport. So what essentially would happen is your utilization as such in terms of tonnages we will keep. in the initial days itself, we will try to see no spaces wasted and it is filled and then you keep increasing the express loads, so your revenue realization from the flight starts increasing. That is how it will move. And we expect that in two quarters, we should get the ideal mix we want.

Two quarters for the ideal mix, right?

Yes.

Coming to this quarter's number, while we have seen a good growth in the segment and that is commendable given last year also, we had a very good recovery almost 30% growth year-on-year in the segment last year. On top of that, this year we have the 90% shipment growth, even our tonnage was positive, but our revenue went down by 4.5%, so is it because of the mix change; is it because of some pass of the lower ATF price or is it because of the competition?

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Vaidyanathan Iyer:

Ketan Kulkarni:

Pramod Dangi:

Vaidyanathan Iyer:

Moderator:

Kashyap Jhaveri:
Vaidhyanathan Iyer:
Kashyap Jhaveri: Blue Dart Express Limited
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No, there are a couple of things. I will start with and then I will ask Commercial to handle the question. Last year, we had international charters because the pandemic was still on, so which in the current year that international charters as a line of business has come down or it is not there. The second part is when your mix of air to ground keeps changing ground growing faster, your revenue if you look at revenue realization, it is a function of your yields and the component of ground being higher, you will see as if your overall revenue per unit coming down, but when you actually look at the breakup and each growing in a different manner, your overall revenue realization is in line with expectations. So you want to add something?
I can add I think, Vaidhyanathan kind of covered it very well. Charters being sucked out, one cha

pter is one shipment essentially for us, but a lot of revenue, multiples of that shipment. Secondly, the sector profile also changed. We have seen tremendous growth in sectors that give us low weight shipment, such as e-commerce, BFSI, so that was the only reason, but as you rightly pointed out, Pramod, a strong shipment growth and positive tonnage growth and with the results that are kind of coming out of the logistics industry we just had one yesterday. You will see that this is a very strong performance.

And despite as you said in the opening remarks, we have seen the correction of the ATF price in the last 3-4 months, but our freight and handling cost and overall cost, especially the direct cost remain very high and that is in line with what we have seen in the last 4 quarters. so is that there is a delay in. so that this is not making. we are not able to understand that?

The freight and handling cost have got multiple components in that. One of the reasons would be the ATF, though we are saying that realization of fuel surcharge and mechanism works fine that part of it is handled on the revenue side. On the cost side, if the ATF price increases the cost would increase. So you would have, the cost side of it showing that that increase because of the ATF increasing over the last year similar quarters prices plus you have capacity creations for future. We would have some cost being incurred possibly a little ahead for getting ready for the subsequent volume getting picking up plus your aircraft induction which we have inducted in the quarter, April to June. Initially. the flight was in test run because this is a new type of aircraft and only towards the end of June it became active for with the loads being carried and all that. So those costs are sitting there. In the subsequent quarters, you will start getting the benefits. Thank you so much. Sir, we take next question from Mr. Kashyap Jhaveri. Please go ahead. Sir, one clarification I wanted, to one of the earlier question you replied that the margins could look will now trend towards the pre-COVID margins which are about 12%-12.5% kind of number, the margins that we were referring were PBT margins or?

EBDIT.

And when you compare that with 12% that is like pre-IndAS kind of number where the rent is before or is included in operating cost rather than in the below operating profit line because last about say post pandemic, our EBITDA number had been looking significantly higher?

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Vaidhyanathan Iyer:

Kashyap Jhaveri:

Vaidhyanathan Iyer:

Kashyap Jhaveri:

Vaidhyanathan Iyer:

Kashyap Jhaveri:

Vaidhyanathan Iyer:

Moderator:

Nilesh P:

Vaidhyanathan Iyer:

Nilesh P: Because pandemic was a special occasion, the pandemic period cannot be compared because the demand and the realizations were quite different. We had interest charters and so those are all one-off type of business. So that is why we are talking of pre-pandemic. You are right that there will be some changes because of the new standard of ROU asset and some of it going below the line. So there could be some difference, but it would be more in the range of 12% kind of thing.

So when you say pre-pandemic EBITDA. that is comparable to more like post-pandemic EBT margins. right? Is that something you are referring to because when I look at pre-COVID EBT margins, they were like about 12%-12.5% kind of a number which is why I am asking?

Pre-COVID EBT margins, it will not be 12%, operating margins would be in that range.

And second question is on this quarter, this reduction of aircraft, in terms of our freight and related costs are about Rs. 700 crores, Rs. 720 crores kind of number, would you be able to

highlight what would be the number related to the new aircraft out of this for which there was no commensurate revenue?

See, the investment on the aircraft are owned by us. it is about Rs. 450 crores. W

hat would hit

us as an operating would be the depreciation interest and of course.

I am asking in this quarter in the freight and other expenses of Rs. 720 crores, you know there will be overall charges and parking charges related to the new aircraft also, right?

That is what I am trying to cover. Because you start operating you would have to have the pilots in place. this being a new type of aircraft, the engineers are in place. So those cost start ticking over this. Because it is a new type of aircraft, the regulatory required test slides for these for a longer time and only by June 20th it was released for carrying live shipments. So the last 10 days we did carry loads which was what we were carrying in the commercial aircraft, moved into this one plus additional loads started travelling in this. So it was only 10 day kind of a benefit we got on the capacity being available. When you start operating on live run, the operating cost increases as well as the benefit from operations flows through. So there would be some amount of fixed cost which anyway we would incur, that hit us in May and June full month. The benefit started, operating cost started hitting us in the last 10 days and we started getting the benefit in the last 10 days.

Thank you. Sir, we take next question from Mr. Nilesh P. Please go ahead.

Just to clarify. so basically the newly inducted planes, the costs and revenues are reflective of about 10 days for the quarter?

Correct.

And just my question was more on the demand and the competitive environment, though I understand that you have had a high base quarter, but broadly when we see on a Y-on-Y basis

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Ketan Kulkarni:

Nilesh P:

Ketan Kulkarni:

Nilesh P:

Ketan Kulkarni:

Nilesh P: your volume trends, I think they have been decelerating, so what according to you, I mean what is driving that. is the demand environment weak or what is it?

I don't quite know what numbers you are referring to in terms of volume growth becoming weak.

If you kind of remove the two years of COVID which is 2020 and 2021, you will see between for 2018 and 2019 we were operating at a revenue level of about Rs. 3,000 crores per year at an average between the 2 years and the PAT was about Rs. 114 crores at an average over the 2 years. We are coming out of the COVID and in 2022-2023, my revenue has now gone up to Rs. 4,800 crores at an average between these 2 years which is a 60% jump and the PAT is at Rs. 371 crores which is near the 220% up without the COVID years. So I think we are on a very strong pitch. We move about 1.2 million shipments a day which is about in our 8-hour work day shift that is about 30 shipments in a second, I think the Blue Dart performance if you remove the 2 COVID years and compare against that is really commendable as to how we have kind of fought against all those headwinds that we had and as Iyer said in this opening remark, very buoyant about the entire express business. Hence, the investments in the aircrafts, to Boeing 737s with a new station Guwahati being added. We have recently come out of two very important projects with the large 4, one on tech and automation and the other on infrastructure and network governance in the country. So I think I have kind of answered you in terms of what you

24.22.

Partially, yes. So I completely agree that, I think as compared to what your performance was about 3 years back pre-pandemic normalized environment., from there you have done phenomenally well. My point was, in the recent quarters, I will tell you what number I am referring to, the tonnage data which you give every quarter, so if I were to see on a Y-on-Y basis, the growth in tonnage, so that maybe Q2 FY23 the growth was 26, then in Q3 it has become 16, Q4 it has become 10 and the recent quarter it has become 3%. So that is what I was asking, there has been a deceleration in the trend

and that is what I was referring to?

Entirely appreciate, Nilesh, what you are referring to. As we kind of covered earlier in the call that our business is split between air and ground and we are seeing a lot of acceleration in certain sectors of the industry that kind of give us lightweight shipment which would not convert into tonnage. So if you correlate the shipment growth versus the tonnage growth and triangulate that versus the revenue growth you will see that the picture is a little different rather than just concentrating on one aspect.

Correct, I agree, so shipment growth has been relatively better, no denying that?

And if you triangulate that against the revenue, the picture becomes much more holistic and that is how I would rather look at it, Nilesch, very nice insight.

And just one thing, the current demand environment according to you, how is that vis-a-vis what you are seeing maybe a couple of quarters back, in terms of the e-com, the air documents you ship, any broad color you could give on the demand environment as we stand?

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Ketan Kulkarni:

Nilesch P:

Ketan Kulkarni:

Nilesch P:

Vaidhyanathan Iyer: Yes, the broad color we generally give basis the deep dive into data, again we do conduct a total market sizing exercise every year again with one of the top 4. that gives us directions over the short, medium and long term and as I said earlier air markets to grow in single digit and ground markets to grow in double and basis that then we plan our playbook on how we are going to strategize, how we are going to execute and ultimately stay ahead of that growth that the market is kind of throwing up.

And my second question was on the competitive environment. so we don't get too much about, but from whatever we have been reading, we have heard that Indigo has been inducting dedicated planes for freight business, I think I presume they have about two currently, Amazon Air had also announced that they will be expanding their dedicated freight in India, so in context of that could you give us a sense on how the capacity for air industry has been on the freight side and the pricing discipline, I mean we would want to understand that a bit more?

So if you look at the entire air freight cargo market in the country that has been a little flat. But we are not in the air freight business which Indigo would operate through their belly space. We are in the air express market. The air express market means a door-to-door pickup and a door to-door delivery, so that kind of differentiates us. We use the Indigo aircraft for our shipments also when Iyer explained to you earlier in the call about commercial uplift these are the belly spaces of Indigo. of Air India of Air Akasa Asia Air and everybody. those are the belly spaces we will use. So it is a complementary to our business and as and when we hear that the induction of higher belly space is going to happen in the industry over the next 5 or 10 year horizon, we hear the news that 500 more aircraft will come in. etc., that only kind of encourages us that more belly will be available. Blue Dart with its express service can reach more tier 2, tier 3 towns. More airports will come into the realm of air express, so really very buoyant with that. Amazon Air through aircraft essentially being used for the Amazon captive loads, Amazon is also working with us very closely. We have worked with Amazon since they have come into the country, so it is a very complementary kind of business and we are kind of in a happy space there. In terms of pricing again as I told you we are the air express operators, the others are airport to airport. so there is a pricing differential that we have over all the others who operate airport to airport. The most differentiating aspect of factor in express is that pick up from door and that deliver to door. Air is just my middle mile.

And th

e last question was just the new planes from what we have been given to understand you would be deploying, I think North East is one of the routes which you would have already deployed, so in this business, the return load economics also play an important part, so how are you assessing that aspect because especially from that corridor?

This aircraft, the additional aircrafts will touch Guwahati as one station which is the North East, but it also service the capacity requirements of growth for the other metro section, so it will be servicing both. As far as Guwahati is concerned, we believe that has got a good potential loads into Guwahati is not an issue at all. Growth loads out of Guwahati is also being developed and for us we feel that there is a good potential there and we can, once we start gh ing good qualil)

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Ketan Kulkarni:

Moderator:

Saurav Patwa:

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Ketan Kulkarni: Blue Dart Express Limited

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transit times and good turnaround from there, the market is adequately there. Ketan can add further on it.

No, I think you covered it pretty decently well, Vaidhyanathan and as Vaidhyanathan earlier

said, we kind of balance it out with the commercial load that we currently carry in and out of Guwahati, over the next two quarters we reach the yield balance that we want to achieve and I think when we look at the numbers we think we will be able to do that much earlier than what is planned in the books.

Thank you so much. Sir, we take next question from Mr. Saurav Patwa. Please go ahead.

Sir, just harping on the same question which you clarified it on a bit especially on the margin part, when you highlight that we should go to pre-COVID EBITDA numbers. but when we see that, if we could have done that, then actually this quarter number should have been much weaker, right because this had a higher expense, still our PBT margin is 6.5%, isn't that right number to see the PBT margin because after post IndAS due to lease rental the interest part as a depreciation has gone up at 3x, so rather we should continue to measure on the EBITDA margin which were pre-COVID because assuming that would have been the case, are this quarter numbers would have been much weaker if we go by the pre-IndAS operating EBITDA margins, is there something which we are missing?

No, when we talk about pre-COVID EBITDA margins, it is on the longer period specifically.

Sir, I have looked in from March 13, 14, 15, 16, 17, 18, so for like 5-year period our PBT margins were average for around 8% and this quarter also, I am talking about the PBT margin, I am talking PBT because I don't want the IndAS has made the interest as in efficient 3x compared to that number, so that the PBT margin is something where the interest, whether it comes above EBITDA or below EBITDA it makes no difference then we look at PBT and this also coincide with the current quarter number, this might being a higher cost due to the induction of new air planes, we still need PBT margin of 6.5%, so had it been the 12% EBITDA then this number would have been much lower sir, so I am just trying to understand?

You are right that when you are looking at pre-COVID EBITDA at the old accounting where it was the lease rental and subsequently it will come under the new IndAS could sit under depreciation, so when you look at PBT per say, PBT is in more or less 1%-1.5% here or there and that is what we are saying the performance has been good and we will come back to the same percentage as pre-COVID.

That is for PBT?

Yes, at the PBT level and for the aircraft related cost, the fixed cost of inducting the aircraft has been there since May and June. the operating cost which is the larger part of the cost is there only for 10 days. So the benefit of the capacities also only for 10 days, so what would happen in the subsequent quarter is your operating cost will be for the full qua

ter, your benefit of the

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Saurav Patwa:

Ketan Kulkarni:

Moderator:

Nimesh Shah:

Ketan Kulkarni:

Nimesh Shah:

Vaidhyanathan Iyer:

Ketan Kulkarni:

Moderator:

Rakesh:

Vaidhyanathan Iyer: capacity also will be for the full quarter, the challenge would be for us how we can turnaround the low yield airport to airport loads faster by replacing it with express loads and that will give us a better margin and flow through.

But once this at some point, may be like 2 quarter, 3 quarter, 4 quarters, the sustainable margin at PBT level would be something which were there pre-COVID on a normalized basis, whether it barely reaches to 10% or it stays at 8.5-9 it is something which will depend on how we improve. but the PBT margin pre-COVID is something which one should factor, right?

That's what we are saying.

Thank you so much. Sir, we take next question from Mr. Nimesh Shah. Please go ahead.

Sir. I had a question. you mentioned that ground will keep growing faster than the air, so just in terms of unit economics, so should we focus on absolute margins and is it fair to say that absolute margins in both the segments will be similar for us because if I have to just extrapolate and just see the realizations per ton basis, then it will distort the entire picture for us given that ground is a lower realization business for us, is it fair to say on an absolute margin basis. they will both be making similar kind of profits for us?

The margins in all the products, in all the type of services will be in a similar range, may be 100 basis points here or there, but it would be, the reason been we only focus on profitable growth.

We don't go for volume gains. So our endeavor would be to protect the margins.

So also is it fair to say that our top line growth that is revenue growth will be much going forward,

revenue growth will lag our volume growth or we will kind of makeup and when we say double digit growth in the ground and single digit growth in the air, it is on the revenue front and not at the volume front?

The volume versus revenue would always depend on the mix, if your ground is growing faster, so the revenue would grow as such the resultant revenue growth would be lower than the volume growth because your ground is growing faster. So those are things which is bound to happen unless, Ketan you would want to add anything further on that.

No, I think Vaidhyathan you covered it pretty well.

Thank you. Sir, we take next question from Mr. Rakesh. Please go ahead.

Sir, just wanted to know what is the average realization per shipment via air and via surface, in general what is the price difference between if our products are shipped via air and via surface? In air and surface also we have multiple kinds of services which are there and each of the realization would be whether if it is a document of parcel, heavy parcel versus light parcel, so they are all different price bands and different realizations.

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Rakesh:

Vaidhyathan Iyer:

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Ketan Kulkarni: Blue Dart Express Limited

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But any color further on that like it is what we have traded, air express is 3x costlier than the surface, is that understanding correct?

You are saying air is 3x costlier than the surface, is that your question?

Yes.

Yes, more or less that should be.

And in the earlier participant question, you mentioned the margins will be similar, so if the share of surface increases further, so maybe the volume growth will be higher, but the total revenue growth will be lesser and the EBITDA will be lesser, is the understanding correct?

When you talk about product mixes and EBITDA and all, it can be confusing but what we are saying is we would always try to grow profitably and our margins would be as a percentage to revenue the EBITDA or EBT m

argins would be generally in a similar range, may be 100 or 150

basis points here or there, but we will never be the volume gain where we will lower the prices and try to capture the market that will not be our area.

Sir, the client that you have, have you seen the customers coming to you. those who were shifting earlier via air, but now because the road connectivity has improved, the time lag has also come down, are they shifting to route before like air?

Rakesh, as I kind of covered earlier in the call, if you compare over the years without the COVID, you will see the revenue growth at about 60% which is essentially a mix of new customers that are coming to the business which is current customers shipping more which is a product mix change that is happening, a geographic mix change that is happening, so there are various kind of points and within those how we balance our business as Vaidhyathan said earlier in terms of volume and revenue we balance our business in terms of going after customers and lanes and geographies that are more profitable, how we keep the mix, so that all the areas of revenue growth, tonnage growth, shipment growth kind of result in a very strong EBITDA margin, all this has happened over the past many years and we believe this will happen going ahead too.

That is how in fact Blue Dart has been successful over the years in terms of understanding trends, being agile to those trends, reading trends much earlier than others can read them and that is how we have been able to build the business that consistently delivers on topline, bottomline and all the metrics that kind of measure the performance on those.

Sir, one last question from my side, recently two companies have announced that they foray into B2B Express, one is Ekart, one is Maersk. Globally, Maersk has also announced to enter into B2B Express, just wanted to know your thoughts on the competition because Maersk has announced Rs. 50 per package if I am not wrong, \$1 per package anywhere in India, so your thoughts on that?

Rakesh. I will have my thoughts on that. but I would refrain from commenting on e<n:.,pctition. '\ You will have to excuse me for that.

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[BLUE DA•T -ii711L-Blue Dart Express Limited

August 02, 2023

Moderator:

Sarika Thorat:

Vaidhyanathan Iyer:

Moderator:

Pramod Dangi:

Vaidhyanathan Iyer:

Pramod Dangi:

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Pramod Dangi:

Vaidhyanathan Iyer:

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Vaidhyanathan Iyer:

Pramod Dangi:

Vaidhyanathan Iyer: Thank you. Sir, we take next question from Sarika Thorat. Please go ahead.

Sir, regarding the revision of the customer contact you communicated last time that additional fuel charge as well as the annual hike has been taken after March, so what is the status on that, it is pretty much accepted by the clients or it is yet to reflect in our numbers in the subsequent quarters?

The price increases happen every year. so those are normal. What we spoke about was the fuel surcharge some changes which we did. That has been accepted, so it is already priced in the result.

Thank you. Sir, we have a follow up from Mr. Pramod Dangi. Please go ahead.

Sir, just wanted some clarification, as you said that this year's cost including some aircraft induction cost for the May and June month, so if you can quantify that amount if you can give some sense on that how much would be that cost?

Don't think we can give you a number to that. but since in a large setup this cost of the induction will not be very significant that it will distort the number, they are small because you already operate 6 aircraft, so that cost is already sitting there. This is only the fixed element of the depreciation and interest and manpower is sitting, so that will not be a very large cost.

But I just noticed that the depreciation quarter-on-quarter and year-on-year is almost the same as earlier. so will the depreciation go up going forward for the two aircraft?

We have two compa

nies, the Blue Dart Express and then the subsidiary Aviation. the aircraft induction happens in the Aviation setup, so when you look at the consolidated results, you will find the depreciation. Standalone result do not sit as the depreciation, it will sit as aircraft under freight handling cost.

Sir, I am looking at the consolidated number only, that is only I am saying?

There, you will see that depreciation impacts coming in the subsequent quarters.

And just to, although you are not giving the actual numbers. was there any price reduction in any like to like if I look at whether in air express or the ground express, was there any price reduction or that realization drop is just because of the product mix?

It is the product mix, primarily driven by the product mix.

No price reduction compared to product to product or the service to service business?

I don't think we can make a general statement because what also happens within the product is different customers are at different price point in a particular business and lanes, so (eograph) ,

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Alok Deora:

Vaidhyanathan Iyer:

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Ketan Kulkarni:

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so all that is a weighted average, so you can't make a sweeping comment like that, but primarily driven by the product mix.

Thank you. Sir, we have some questions in the Q&A box, so I will just quickly read out. Does the blended realization in 1 Q reflect the Q-o-Q decline in ATF prices?

Yes, it reflects Q-o-Q decline in the ATF prices.

What is the expectation of the e-commerce industry as Amazon choosing a dedicated freight had impacted Blue Dart volumes in anyway?

So I think I answered that, we work very closely with Amazon, you also know that Amazon has its own dedicated logistic service and the major part of their shipments move through that service. A small part of their business is outsourced through players like Blue Dart and others. We are kind of in a position where we are not too kind of disturbed with what volumes we are

getting from Amazon and also my portfolio is much more balanced than most others across sectors rather than being skewed towards a particular one to kind of eliminate any risk that we would have from a particular sector and more so from a particular customer.

Sir, one question is related to the 1st Quarter performance, so the volume growth has been around 3%. so any sector which performed below par, any end-use segment which performed below par during the quarter and what is the outlook on some of the key segments we cater to for FY24 and FY25?

Rather than telling you which kind of underperformed, I would rather tell you which kind of performed well, so we had Lifesciences, Healthcare, we had Consumer Electronics. Durables. E-commerce, Banking and Financial Services, Automotive performed very well. We are also as you know as I said earlier factor of the GDP is the Express industry and so are these sectors. They have all kind of triangulated their growths also to how the GDP will grow. If you are in the services sector, it is the subset of the services GDP or the manufacturing GDP. The manufacturing GDP last quarter was in single digit, so when we kind of look at our numbers and do the algorithms versus the sectors we see that our growth in sectors or the volumes and shipments that are coming from the sectors is in a very strong position as of today.

I think just last couple of question in the Box, I will quickly read out, if the blended realization reflect ATF price movement, is Blue Dart getting kind of raw end of the deal while pricing is dependent on crude movement based on fuel surcharge, but benefit of ATF has to be passed on immediately, so that is the kind of question where we are getting pricing based on fuel surcharge, but whatever the ATF price is coming down we are passing it off immediately?

That is a cycle. What happens

is crude prices could reflect that in the ATF in the subsequent month or 1 or 2 months later depending on how the local suppliers import, refine and price it in their products. So as a cycle, it will always reflect immediately or in the next one or two months, but one should not be bothered in the longer run if the mechanism is working fine and we are EV

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Alok Deora:

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Saurav Patwa:

Ketan Kulkarni: able to observe the increases by passing it onto the customer or give the benefit to the customers when the prices go down, the mechanism is working fine.

Sir, just the last question in the box, so I think this was asked previously, but I will just, similar question, leading competitor is running operations at around Rs. 65 for parcel for e-com shipment, so do you think this number is sustainable and if not then what would be the sustainable number here?

Sorry, I missed, I am reading it out, our leading competition is running operations at 65 per parcel in ground logistics, do you think this kind of number is sustainable if not what would be a good number? The anonymous attendee if you are referring to Maersk, I believe that number is Rs. 80 per shipment.

Thank you. We have the next question from Mr. Saurav Patwa. Please go ahead.

Sir, just for next 3 to 5 years, what kind of a blended growth you foresee obviously there can be quarterly variation here or there, but given the kind of environment we are, the way the manufacturing is going in India and we have beginning to be a sort of auto hub where precision parts may be required, pharma part may require to move here and there, consumer demand is so strong. so given all these factors, what kind of a blended it may happen to express?

Saurav, of course Vaidhyanathan will definitely come in, but as I told you earlier, we are factored to GDP growth. If you have seen the global GDP, if it is growing at 2% or 3% India's GDP generally grows at 6% or 7%. If the global GDP jumps up to 3% to 4%. India's GDP growth suddenly jumps up to 7% and 8% and I told you we will always be a factor of the GDP, we will facilitate trade and we will grow faster than how the market, where we play gross.

That should be factors nominal GDP or real GDP because your realization would be linked to nominal GDP because inflation do factor in for your kind of business?

Yes, it will be nominal GDP.

It will be nominal, so 13%-14% is what one should factor in?

No.

And the nominal GDP for India has been for 30 years, 40 years has been in that industry?

What is the nominal GDP growth?

Sir, real growth plus inflation that is

Excellent, what is the growth that you have in mind this year?

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BLUE DART -.1114.-Blue Dart Express Limited

August 02, 2023

Saurav Patwa:

Ketan Kulkarni:

Alok Deora:

Ketan Kulkarni:

Vaidhyanathan Iyer:

Ketan Kulkarni: I am just asking sir, what is the factor of that nominal GDP growth you would grow for, whether it is 1 x, whether it is?

Yes, that is what I told you, the Express industry is at 1.2% factor on GDP. That is the Express industry.

Thank you. So I think we are done with the Q&A session. I would like to thank the management from Blue Dart, Mr. Iyer and Mr. Ketan Kulkarni for giving us opportunity to host the call and for any follow up questions you would reach out to the IR team. Thank you so much sir for letting us hosting the call.

Thank you, Alok for organizing the call and thank you everybody for your very directional questions. Over to you, V aidhyanathan.

Thanks. and it was quite apt.

Thank you. Have a good evening everybody.

Page 15 of 15

Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: Feb 2024

February 02, 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort
Mumbai – 400 001
Scrip Code - 526612

To,
National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
Bandra Kurla Complex, Bandra East,
Mumbai – 400 051
NSE Symbol - BLUEDART
Sub: Transcript of analyst/ investors conference call - Disclosure under
Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements)
Regulations, 2015

Dear Sir/ Madam,
We refer to our intimation dated January 24, 2024, notifying on the schedule of
'Investors Call' organised through M/s. Motilal Oswal Financial Services Ltd. on January 30, 2024 , to discuss the corporate
performance for the quarter and nine
months ended December 31, 2023 and audio recording of the same submitted on
January 30, 2024.

Pursuant to requirements of law, please find enclosed herewith, transcript of the
Investors call which is also made available on the Company's website viz;
www.bluedart.com .
Kindly take the same on your records.

Thanking you,

Yours faithfully,
For Blue Dart Express Ltd.

Tushar Gunderia
Head (Legal & Compliance) &
Company Secretary

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Jul 2024

(no extractable text — likely a scanned image PDF)

Call: Nov 2024

November 20, 2024

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort

Mumbai -400 001

Scrip Code -526612 To, BLUE DART

EXPRESS LIMITED

Blue Dart Center, Sahar Airport Road,

Andheri (East), Mumbai - 400 099, India

Tel.: 022 -69756444

CIN: L61074MH1991PLC061074

www.bluedart.com

communications@bluedart.com

National Stock Exchange of India Ltd

Exchange Plaza, C-1, Block G

Sandra Kurla Complex, Sandra East,

Mumbai -400 051

NSE Symbol -BLUEDART

Sub: Transcript of analyst/ investors conference call -Disclosure under

Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements)

Regulations, 2015

Dear Sir/ Madam,

We refer to our intimation dated November 08, 2024, notifying on the schedule of 'Investors Call' organised through Mis. Motilal Oswal Financial Services Limited on November 13, 2024, to discuss the corporate performance for the quarter and half year ended September 30, 2024 and audio recording of the same submitted on November 13, 2024.

Pursuant to requirements of law, please find enclosed herewith, transcript of the Investors call which is also made available on the Company's website viz; www.bluedart.com.

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For Blue Dart, ■■■ess Ltd.

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■ ";) en Tushar ■■■■?

Head (Legal" & ' Compliance) &

Company Secretary

"Blue Dart Express Limited

Q2 FY'24 Earnings Conference Call"

November 13, 2024

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MANAGEMENT: MRS. SUD HA PAI -CFO -BLUE DART EXPRESS LIMITED

MR. SAGAR PATIL- HEAD- CORPORATE ACCOUNTS - BLUE DART EXPRESS LIMITED

MR. TUSHAR GUNDERIA -HEAD (LEGAL & COMPLIANCE) & COMPANY SECRETARY -BLUE DART EXPRESS LIMITED

MODERATOR: MR. ALOK DEORA- SENIOR VICE PRESIDENT, INSTITUTIONAL EQUITIES -MOTILAL OSWAL FINANCIAL SERVICES LIMITED

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Alok Deora:

Tushar Gunderia:

Sudha Pai:

Tushar Gunderia:

Alok Deora:

Amit Dixit:

Tushar Gunderia:

Amit Dixit:

Sudha Pai: Blue Dart Express Limited

November 13, 2024

So, good afternoon everyone and welcome to the interaction with the management of Blue Dart Express. So, firstly I would like to thank the management for giving us the opportunity to host the call. So, today we have with us Mrs. Sudha Pai, CFO -Blue Dart Express, Mr. Tushar Gunderia, I lead (Legal & Compliance) & Company Secretary -Blue Dart Express and Mr. Sagar Patil, Ilead of Corporate Accounts -Blue Dart Express. So, I would now hand over the call to the management team to provide some opening remarks on the Q2 performance and then we can start with the Q&A session. Thank you and over to you, sir.

I lello, good afternoon everybody. Thank you, Alok and good afternoon all. A very wann welcome to all of you into the Quarter 2 Financial Year '24 Earnings Call of Blue Dart Express Limited. As you arc aware, the Board of Directors of the company approved the second quarter financial results in its meeting held on 1 lth November 2024 and company declared its financial results for the quarter and a half year ended 30th September 2024, wherein the com pan)' posted profit alter tax of INR608 million for the quarter ended 30th September 2024.

Revenue from operations stood at INR 14,485 million. Blue Dart known for its exceptional service quality)', stn:ngthem:d by advanced automation and technology remains a cornerstone for its operations, providing customers with the simplest one-stop solution for all their logistics needs. The results have already been uploaded on the stock exchanges and also posted on the website of the company in accordance with the provisions or stock exchange listing obligations. 1 now hand over the call to Sudha Pai, CFO and also Sagar Patil. Head -Corporate Accounts for further proceedings. Thank you.

Thank you, Tushar. You have already summarized the results for the quarter and half year ended. We can straight away go into the 4questions. Over to you.

So we will start with the Q&A session. So anyone who has a question can please raise their hand or pose the question in the chat box below. So first question we'll take from Amit Dixit, please go ahead.

Yes. Hi. good evening. everyone. And thanks for the opportunity. I have two questions. The first one is on our database question. Ir you can let us know the number of parcels and tonnage that was carried'?

Amit, if you don't mind. be little louder please.

So the first question is more of a bookkeeping question. If you can let us know the tonnage and number or parcels that were carried in this quarter'?

So in this quarter that the} just carried. it's --you know, in terms of the shipments, it is 96.6 million and in terms of the weight --and in terms of weight. it is 343,676 million overall weight.

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IBLUE DART -1D114. - Blue Dart Express limited

November 13, 2024

Amit Dixit:

Sudha Pai

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Sudha Pai:

Alok Deora:

Sudha Pai:

Alok Deora:

Sudha Pai:

Alok Deora: Okay. The second question is on the new jets. So just wanted to understand, what is the current utilization level? And have we achieved break even what was the performance of these jets in this quarter?

Utilization on the new aircralls, you're saying. right?

Yes, yes, on the new aircraft.

Utilization on the new aircrafls has improved versus the previous quarter --and just a moment.

Our utilization on the new aircraft has increased from the previous quarter. The fixed expense, the unutilized expense that was there in the last quarter was around INR 11 crores and now it's somewhere around INR8 crores. So definitt:ly, there is an improvement in the utilization.

And have these aircraft achieved break even?

Y cs, had achieved break even. The break even had happened even in the past quarter. It was just

that we needed a better utilization.

Okay, fine. So if you don't mind. can you let us know the utilization in terms, can you quantify it? Let us know in terms of numbers, what is the utilization level in percentage or something?

You can get that, but it's somewhere around like 82 percentage to 83 percentage whereas the ideal being 90 percentage to 92 percentage.

Okay, ma'am. Thank you so much and all the best.

Thank you. Thank you, Amit.

Thank you. Anyone, any question. can please raise their hand or post in the chat box below. So, sir, there are, there were a couple of questions from investors who couldn't join.

One was on actually, what's the growth outlook now in terms of tonnage for this year? Have we seen a strong build-up for the festive season of Q3? And also how it has been. how it, how the outlook is for Q4 in terms of tonnages because there are some mixed signals that there have been some sectors which are seeing slowdown and some are doing well. Just your thoughts on that?

So we generally do not give a forward-looking statements here. But the outlook is definitely, as you said it's a festive season. One of the month of the quarter has already passed October and it's a festive season and we definitely expect it to be better than the previous quarter.

Sure. And just one question was related to the new aircraft only. So this 80%, 82%. which the utilization has already happened that --how that 90-95% utilization, when can be expected to achieve?

We expect as it's a festive quarter and we expect it to be best utilized from this quarter or perhaps into the next quarter at least.

Sure. Just a reconfirmation on the tonnage number. It is 343676 for this quarter?

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BLUE DART _;,,1114,,_ Blue Dart Express limited

November 13, 202../

Sudha Pai:

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Sudha Pai:

Anshul:

Alok Deora:

Pulkit: Okay. The shipment is 96.60 million and the weight is 343676 tons.

We'll take one question from the call log. So we'll take a

question from Mr. Anshul Agarwal.

Please go ahead.

Hi, thank you for the opportunity. Question on margins, ma'am. So why are our console margins not improving despite volumes growing over the last two, three quarters? I believe with the volume numbers that have given us. volumes have grown almost by 11%, Y-o-Y? But margins have been, margins have been --console margins have been around 15%, 15.1 % versus last year, the same number was around 17%. So is it because of increasing contribution from surface or what is it that is leading to margins not improving despite growth coming in'?

So, I mean, you rightly gauged there, Anshul. It's the product mix change. We are growing more on the ground than versus the air. that's one of the reasons. Plus we have invested into air, that is reason number two. Plus, we have made some IT investments and one of the investment into this: facility in north region, like for which we are having a cost currently. So these are the broad reasons for margins to be at a lower side as far as versus the last year.

Got it. And incrementally, ma'am, we would expect surface to keep growing faster than air. right? So margin profile would sort remain similar?

Yes. I mean, if we take out this investment part, what I mentioned which is into the aircraft and which is into this: new facility, our margin would be roughly around like 6.6 percentage versus the 6.6 percentage year, I'm saying at a EBIT level at a. yes. EBIT level and then that's where like that should be different. Unless something great major dynamics in the marketplace happens. This is the trend that we expect to continue.

Sure. Just a follow up on that, ma'am. I think if I recollect correctly, we were targeting a EBIT margin history of around 8%. and 8.5%. Would that number, as you mentioned, stand corrected or stand changed for the full year or the next year'1

We expect the festivities to help us --to improve our margins there. And ideally, we should hit that budgeted level of margins of around 8%.

Got it. And if possible, could you give us a ballpark revenue mix for our business right now, segmented into say B2C, surface, air?

I'm sorry, we don't give the product level and within the ground and air information in the public domain.

All right. Thank you. I'll come back in the queue. Thank you so much.

We'll take next question from Mr. Pulkit. Please go ahead.

Thank you for taking my question. And ma'am, I think there's been a lot of confusion because a couple of quarters back you spoke about the two planes. their utilizations going up, the cargo

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BLUE DART _,,,1;r4._ Blue Dart Express limited

November 13, 2024

Sudha Pai:

Pulkit:

Sudha Pai:

Pulkit:

Sudha Pai: mix being higher yield. and as a result of it, margins likely to be better. But in the last quarter, as well as this quarter, you're saying that margins are expected to be in this range.

So if you could just clarify that as a combination of one, your air to surface move, which is margin dilutive. and offset by higher utilization, then better yield on the two aircrafts. What is the rough cut margins that we should be baking in, taking both of them together? That's question number one.

So if I understand your question much better. you're saying that. or perhaps can you help to rephrase your question. please?

Okay. ma'am. I'll try it again. One. you're seeing this shift. which is more in favor of surface. which is putting pressure on margin. That's one dynamic that's playing out. and probably continues to play out. I don't know. right? The other dynamic is that the two planes, which are today deployed, which are the new planes. you had mentioned that initially, your objective is to just fill those planes.

Over time, you would look at improving yields once the traffic builds up, and that is going to be margin aggregative. But my question is. if I look at both these factors together. then

what is

the kind of margins that we can bake in, in the next live, six quarters for the company? That's the question.

The thing is that. we do not make any of this forward-looking statements, but ideally with the quarter-on-quarter improvement in the utilization. as well as with the festive quarter coming in, we expect our margins to improve, and that's exactly what, one of the questions which was recently asked that you. which was just now asked that. whether 8% looks realistic. We aim that one to be achieved. like.

Sure. ma'am. The second, yes. the second question is generally on the outlook. I mean, we've seen no" almost seven. eight quarters. where while our revenue has been inching up slightly. our EBITDA has been in the INR220 crores to INR220 crores kind of a range. Just based on the kind of business that you are developing, the kind of conversations you are having with your customers, etc do we see this number improving from here on. or is the business outlook such that we are likely to remain in the current range?

And I'm not asking for a guidance. I'm just asking for feelers on what you are seeing or your business is seeing in terms of overall growth outlook for you?

So. definitely it is driven by the festive spirit, which is important that we are in. plus the growth that we are seeing in the surface business. And lastly it depends on the market dynamics, how the growth outlook in the market for the domestic demand, is like. I mean. the feelers are that, we have to improve on quarter-on-quarter. of course, we have our annual budgets to be achieved.

And that's definitely a stretch during the festive quarters. like. it's normally 10 to --I would say that 7% to 8% higher than the previous quarters. So. we definitely expect that we should improve

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BLUE DART ■,41;4'4, _ Blue Dart Express Limited

November 13, 2024

Pulkit:

Sudha Pai:

Pulkit:

Sudha Pai:

Alok Deora:

Achal:

Sudha Pai:

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Sagar Patil: from this quarter onwards, much better into the next quarter. And that's something, I can share it the most like.

Maybe, ma'am, I'll take the liberty of asking one more. Can you comment on those two planes? I low's the current utilisation there? I low's the traffic developing there? Any colour on that would be helpful.

So, our utilisation. as I said in one of the responses, our utilisation has gone better then.. Ideally, we had a fixed expense of INR11 crores in the previous quarter. This quarter, it is at around like INR8 crores, INR8.1 crores. INR8.2 crores. So, definitely the utilisation has gone better. My aggie capacity cost has lowered from the previous 4quarter to this quarter.

And we are expecting that, one of the lanes, one of the smallest lanes that we are facing a challenge is. inbounds from Guwahati. outbounds from Guwahati to Delhi lane. There we expect, utilisation to get better. Yes, this would be few updates on this aircraft, two new aircrafts that has been deployed.

Sure, ma'am. Thank you. Thank you for that.

Thank you.

Thank you so much. We take next question from Mr. Achal. Please go ahead.

Yes. good evening, ma'am. Thank you for the opportunity. Ma'am. I first wanted to understand if you could comment on the market share. Is there any way you can comment on the market share, whether for the quarter, for the first half or on trailing basis, whatever fashion you want to give. whether we are maintaining, improving market share in both the segments, air as well as surface?

Market share information. we don't --we don't really talk about it. Achal. I'm sorry.

No problem. Ma'am, the second question, at least from an industry growth perspective, how do you see, both the segments growing? What kind of industry growth you're looking at? And specifically, if you talk about surface transport, how do you look at this particular segment in terms of capital deployment?

Yes, so from industry growth

point of view. we are servicing within niche areas, especially the express products, whereas the industry will be driven by a much larger perspective. As we have seen, and we do also see that in future, the e-commerce. which has been growing faster, will continue to drive our growth.

And also, as far as surface B2B is concerned, there also we are trying, we are. that has been our growth engine. And we see, and we are also not the biggest player, but we see that is one avenue where we have some room for better growth. And that is continuing in last few part that we are seeing.

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IBLUE DART _;a■■■, Blue Dari Express limited

November 13, 2024

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Sagar Patil:

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Alok Deora:

Kripashankar:

Sudha Pai: Right. Any quantification, sir, with respect to these segments, what is the industry growth? Is it sub 10%? Is it 10%, or 12%?

Normally. by segmented, we do not comment. But yes, we have seen the surface growing at around 14% plus. And we see that the growth can continue or be even better around those lines.

Right. And have you seen pricing pressure in case of e-com or it is pretty much stable or any improvement there?

That always is the case with this market, with number of players and different segments when it comes to the weight break or the lanes. So that's the part of life. Yes, we do see competitive pressure and we are also very active participant in that.

Right. And I recall earlier. we used to kind of indicate e-com somewhere around 24%, 25% of revenue. Has that inched up? Has that remained pretty much in the similar fashion. sir?

Similar fashion. no major change. I mean, we do not really talk about the segmented one, but yes, e-com remains the growth driver as well along with the surface.

Understood. And one more question, if I may, with respect to the capital expenditure, if you could guide about what is it that you're looking at for FY '25 and FY '26 and in what segments or which side of the business?

It will continue to be in the range that we have spent between INR 50 crores. INR 250 crores. which will be more of a renewal and expansion combined. because we are already there in most of the parts of the market and the country.

Right. And aggregate capacity utilization for both surface and air, would it be possible to get that sense?

It is optimum. I mean, we do not own any of the vehicles. which are market driven, we do not put capex over there. And the warehouses also, since we are express product, it is a fairly distributed case to case, there are number of facilities. number of locations. So. it is a business as usual when it goes to the expansion of those facilities.

So, this INR 250 crores, is there anything going for a freighter or anything on those. like what the split here in terms of surface and air in this capex?

We have these surface facilities, no specific about the aircraft or anything at this point of time.

Understood. Thank you. I will follow back in the queue, sir. Thank you for the answers.

Thank you. We will take next question from Kripashankar. Please go ahead.

Thank you for the opportunity. Sorry, I joined a little bit late. Can you probably repeat what would have been the tonnage for the quarter and number of shipments. if you can?

The shipments are 96.6 million and the tonnages are 3.43.606.

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IBLUE DART - 'D4' Blue Dart Express limited

November 13, 2024

Kripashankar:

Sudha Pai:

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Sudha Pai:

Kripashankar: Okay. Thank you. My question was more or more to do with on the, in the markets, newer markets, which we have taken up on e-commerce as such, for example, taking with the platform like shiprocket and so on. Just wanted to get a sense, is e-commerce going to be the fastest growing segment, sub-segment, followed by surface express? Is that understanding correct?

face express? Is that understanding correct?

Yes. That's a trend, at least what we are also witnessing.

All right. So given that, generally we are seeing that there has been some challenges relating to your yields on e-commerce as well, which you have said that it is quite competitive right now. Where do you think the buck stops? I think after a certain point, it becomes unviable to go below a certain level.

So is there any thought process around what the management thinks that probably if the value or the shipment is X. we should assign a particular logistics cost range and that is where it has to be the lowest logistics cost. Is that something which you guys do as an assessment?

Well, from financial aspect. definitely that's one of the things that we keep on --keep on pushing to ensure that we have a profitable growth. I however, we have to, also Blue Dart is known for its, timeliness in delivering the shipment. That remains the key line. So nothing comes at the cost or compromise on the quality. So quality comes first and then comes the cost. And then we ensure that we have a profitable growth as well.

Thank you. So is it very fair to assume that the pricing ban for Blue Dart versus the rest of the industry would have that premium disparity which we have seen in the Surface Express? Is that something which we should consider going ahead?

Well, it depends on various criteria like what lane we are looking at or which you I mean, it depends on various criteria then. So not really sure that what you just mentioned would be the, yes. sorry.

Right. Yes, I understand. So probably, let me rephrase it in a different manner. Specific, probably where growth avenues. let's take like Tier 1. Tier 2 City, where the growth has been substantially higher, but the market has become quite intense over there. We would choose to price our services according to the competitive environment, but whereas areas where the niche is still existent with respect to a requirement of a quality fast service. And that is something wherein the pricing disparity may continue. Is that, is it a fair assessment?

Well, yes could be, could say that yes. Yes.

Sure. In that context, the why I'm driving this part is this, just to understand that the pricing hike. which we have announced starting in from January. that the volume growth generally for the industry is facing a lot of challenges, be it on e-commerce or surface express. The pushback would be quite high from a customer standpoint.

And given the inflationary part is eating up on our margins. how confident are we with respect to the price hikes over the next coming in from January onwards? That's something which I wanted to pick your brain on?

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BLUE DART -a4'4'.- Blue Dart Express Limited

November 13, 2024

Sudha Pai:

Kripashankar:

Sudha Pai:

Kripashankar:

Sudha Pai:

Kripashankar:

Alok Deora:

Sudha Pai: As I rightly said that the inflationary trends are at a very rampant speed. And we expect again, like to have our price increases as per the annual calendar, which is Jan to December. And I guess there has been a Press Release as well. Confirming the GP! percentage somewhere between 10%, 10% to 12%. So that's what we are having for next year as far as GP! and the price increases.

Sure. So it's very fair to assume that as an industry, there will be certain price hikes coming in irrespective of tonnage growth. Is that something which you're picking based on your conversation with the probably your customers?

We. sorry'. I didn't get that question. Can you say that again, please?

Sorry. So what I was trying to highlight is that your peers have also communicated from January onwards, there'll be cost hikes. But as an industry as a whole is it, is it fair to assume that irrespective of the volume growth coming in the next financial year, there should be price hikes taken just to offset the inflationary pressures?

Is that something which is

well understood by the customer? Because the pushbacks typically are quite strong, which defers a large portion of price hike. So just wanted to get a sense that now the industry has taken a stern view. the Express Logistics industry has taken a stern view with respect to pricing. Is that a feeling which you're getting with your interactions with customers? They are ready to, say, give up that hike?

Well, say it's a short-term or in the longer term, that would be the phenomena, because somewhere the cost increases, the rental increases, the minimum wage increases, the increase in the fuel prices these all things somewhere maybe a month later or a quarter later and so on. It has to be passed on to the customers, like, and that would be an industrial trend as well.

So we expect that we do have a challenge with the customers explaining them the reason for the increase in the cost and so on. But then overall, looking at looking at the service quality, looking at the timeliness, which Blue Dart is known for, somewhere we are able to convince the customers to accept this hike.

Okay. Thank you for answering my questions and all the best.

Thank you so much. So, one question was on the, what was, when was the last price hike taken and were we able to pass it entirely?

So, the price hike we have our annual GP! exercise. I know, for certain customers where contractuality they fall within a quarter or within the second quarter of the year and so on, we accordingly have a negotiation and discussion with the customers and it's an ongoing exercise. Like, it's not that we start off in January and close in January or like close within the Q 1. It happens, it flows continuously throughout the year, like, depending on the customer contract. Although the intention is that, yes, we have our all GP!s and it's a desirable thing as well to have all the GP!s frozen right in the quarter one itself, at least for the contracted and regular customers.

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BLUE DART -P-4. Blue Dart Express limited

November 13, 2024

Alok Deora:

Amit:

Sudha Pai:

Amit:

Sudha Pai: Sure, we'll take the follow up question from Mr. Amit, please go ahead.

Yes, thanks for the opportunity again, just pushing further on this price hike. Do we foresee some resistance from the customers considering the operating environment we are in? And do you think that this price hike, if accepted, initially can come at the cost of volumes because of the volumes have grown quite a bit in if you compare Y-o-Y or Q-o-Q. So in Q4, do we see volumes coming under pressure if this price hike is accepted or vice versa?

See, overall, there is an overall if there is a great boost in the domestic demand, like and if the industry trend is that the cost increases or the GP! for most of the competitors, as well as the chances between 8% to 9% to 10%. Maybe there may be for a shorter period of time, there may

be, the volume of challenge.

But overall, if you look at how the overall economy has to work, like the price hikes cannot be evaded. Can we say a no to our minimum wages, we can't say. Can we say no for a rental increases? No. We try to defer it. We try to ensure that minimum wages are something which we can't even defer it.

So similar would be the outlook on the GP part with the customer. Maybe there would be a deferral, maybe they would accept it, the volumes would go lower and so on. But then overall, looking at what is the USP of Blue Dart, like it's a timeline. Considering that factor, we expect that the volume would trend equally along with the price increases. That's at least the expectation.

Okay. The second one is essential on Air Express, since we are seeing that Surface Express share, while we don't know, I mean, qualitatively or quantitatively, how much is the share. But we know for sure that from the discussions we have had, that it is increasing. Now, in this scenario, do we see that some, how do you actually, how do you see

the competition from large

e-commerce players having their own logistics ecosystem and airlines also utilizing their belly cargo for Air Express?

How low is the competition evolving over there? And do you see that because of the low yields that we are getting now, some of these guys ultimately could actually give it to third parties like you or something like that?

See, those challenges do continue to trend in our boardroom discussions with the new airports coming in, with the more of a belly space being available and the trend that we may not have a dominant position as we were having in the past on the Air part. Those discussions do continue and do dominate the discussions. But ultimately what we have so far noticed that with this commercial network space and so on, while it's an opportunity, but ultimately Blue Dart has its own network. It has invested again into two aircrafts to make its network more robust.

So service quality is something where we are currently able to hold on because of these investments. And yes, I mean, there would be a bit of ups and downs but the current trend is like our network investment into network helps us to maintain the service quality, like, and ultimately the customers.

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IBLUE DART -1DB'L Blue Dart Express Limited

November 13, 2024

Amit Dixit:

Sudha Pai:

Amit Dixit:

Sudha Pai:

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Sudha Pai:

Amit Dixit:

Sudha Pai:

Alok Deora:

Anshul:

Sudha Pai:

Anshul:

Sudha Pai:

Alok Deora:

Anshul: See, one more, if I can squeeze it, that the freighters, when initially they were contemplated, we thought that we will serve the Northeast market because it was quite attractive, some of the tier two cities. So does that thesis still hold or after a while you find that the market is no longer as attractive as we thought it to be, or maybe because of the overall slowdown, we are seeing that maybe what kind of potential we contemplated might just come, but it is deferred for the time being.

So our utilization, as I mentioned in few of the earlier responses, our utilization has improved on these two networks that we have invested into, which means that our investment in Northeast continues to, continues to improve. Of course, the pace at which our expectation is that it should improve versus the pace at which in reality it is trending. Maybe there is a bit of a gap there. However, currently we intend to stick to our laid down network, which includes investment into Northeast.

Okay. Now, since we have reached already 80% to 83% utilization and 90% to 92% is ideal, which you said that we might see it getting achieved in Q4, is there any plan to go for new freighters at this point in time?

For the new9

New freighters, yes.

No, no. Not currently in the pipeline.

Okay. All right. Thank you so much and all the best.

Thank you.

Thank you so much. We'll take next question from Mr. Anshul. Please go ahead.

iii. thank you for the opportunity again. My question is on the capex spends that we envisage for this year. the next year, and you alluded that it's on, it's majorly on Surface facilities or Surface Express. Now, considering the asset-light in the segment. would you be able to shed. throw some light on where exactly these spends will happen? Some broad color?

Those investments would be mainly on the hubs and the service center that we would need for ensuring that we have better auto sorters. which improves the speed of servicing to the customers. Like that would be the broad investment that we are planning on the Surface part. I hope that answers your question.

Clear. thanks.

Thank you.

Thank you. We'll take next question from Mr. Anshul. Please go ahead.

Yes. Thank you for the follow up opportunity. ma'am. If you could help us understand the extent of fixed costs at the company level on a quarterly basis. Is there any way to know that?

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Sudha Pai:

Anshul:

Sudha Pai:

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Sudha Pai:

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Anshul:

Sudha Pai: Blue Dart Express limited

November 13, 2024

We generally do not publish any further breakdown of the cost, which is into semi variable, variable or fixed cost. We do keep it as our internal in my review. I'm really sorry for that.

No, no problem. I was just referring to the INR 1 crores and INR 8 crores number, what you had mentioned if you have a similar number at the company level. I think you mentioned that for the particular freighter.

Yes, this is particularly to give our investors an overview about in terms of utilization, because that's one of the key question that we get that how are our two aircrafts that we have invested in different, which is why we give that information. But overall, at a fixed cost level it would be roughly as a percentage of the total cost base, we can say that it's around 50% of my total cost base. And I hope this helps Anshul

It is very subjective. Because the cost that is fixed from a monthly perspective, must be so fixed from a quarterly perspective or yearly perspective. So in the long run, everything is variable. So it's a very subjective interpretation. But yes, month-on-month when you look at it. 50% broadly, is what we see. But then that can always be a variable because you can always move the manpower. the contracted vehicles out and in depending on how the volume comes in.

No, no, fair point. Where I was coming from. like in terms of employee cost, I presume when you're saying 50% of the cost. you're excluding the freight and servicing cost. Are you including everything in that total cost?

Total cost. yes.

Including the freight and servicing cost?

Yes.

Understood. Ma'am second question I had was with respect to the white space. So like you mentioned Northeast, we intend to continue investment in the Northeast pocket. Are there any more such white spaces left where we still have to kind of invest? And if yes, what is the quantum and where?

No. we do not see any major white spaces even in terms of Northeast. It's not that we have entered those markets. It's only that we have improved the service quality by having, extending our own network so that we have some service timeline from 48 hours to 24 hours. So it's more of improving the services. but no major white spaces where we are looking for.

Understood. And just last question, if I may, is it possible to get some sense about the mix in terms of various industries for us. FMCG. pharma, governments, et cetera?

No, we generally do not.

Understood. Thank you, ma'am. Wish you all the best.

Thank you, Anshul.

Alok Deora:

Sudha Pai:

Alok Deora:

Sudha Pai:

Alok Deora:

Dhruv Jain:

Sudha Pai:

Dhruv Jain:

Sudha Pai:

Dhruv Jain:

Sudha Pai: Thank you. Anyone having questions, can please raise their hand. So we'll take a couple of questions which were there in the chat box earlier. So one was, what has been the growth in the air segment and how has the industry grown? One is how the company has grown in the air segment and how was the industry grown or one is how the company is growing in the Air and what about the overall industry?

We generally avoid giving details on Air versus Ground segment-wise information.

Just, I think one last question from the chat box. So a lot of the other companies are talking about pretty slo,..., volume growth in 111 and even they are also mentioning about the price hikes is kind of not possible in the current environment. So while we have announced the price hike from January onwards, what's the probability that we might not be able to take the price hike in an entire way or the price hike might be delayed? Any comments on that?

Yes, I mean, it really depends on how the demand for the market is, how is the overall economic scenario. While we also intend that the price hike should materialize as has be

en communicated,

but it really depends on a lot of other factors as well. But we are optimistic that the price hikes that we have communicated will translate into the reality.

We'll take one question from Mr. Dhruv Jain. Please go ahead.

Yes, thanks for the opportunity. I had one question with respect to margins. So obviously, we've been in a weak operating environment with respect to volume growth, but assuming that Sa) about two quarters from now, if double digit growth for the industry as well as for Blue Dart comes through, what is the peak EBIT or EBITDA margin, whatever number you are comfortable with that you can get to?

I mean, if you're not comfortable giving an exact number, if you could just give us a directional number in terms of how much improvement that we can see, given the fact that you've already invested in a lot of freighters and all the other assets. Thanks.

Blue Dart, per se, to look at this: past trends, had been consistently and being very conservative, we've a single digit margin. We expect to remain within the same range between 7% to 8% to 9%. That's this: outlook that we are having.

But would there not be any scope for operating leverage to play out? for the, sorry, operating?

So, in the sense that, would it not be the case that your costs don't grow as fast as your revenue growth? I know you have to invest some bit of it in your business again, but would there not be some scope for operating leverage in terms of margins improving for you from where you are currently?

Well, we do have, we do keep a tab on the operating leverage and to ensure that the margins improve. I however would be investing into the surface facilities as a part of our capex spend which would again keep us our -keep our annual the margins at the single digit level.

Dhruv Jain:

Sudha Pai:

Sudha Pai:

Dhruv Jain:

Sudha Pai:

Alok Deora:

Tushar Gunderia:

Alok Deora:

Tushar Gunderia: You are talking about EBIT margin ma'am or .. ? EBITDA margin. EBIT margin.

Yes.

Oh, thank you so much.

Thank you. Blue Dart Express limited

November 13, 2024

Thank you. As there are no further questions, I would now hand over the call to the management

for an; closing comments.

So, nothing specific from our side further. I mean, if there are no questions, we can close the call.

Sure, so, thank you so much for giving us the opportunity to host the call and thanks everyone for joining in.

Thank you.

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Call: Feb 2025

February 04, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort
Mumbai – 400 001
Scrip Code - 526612

National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
Bandra Kurla Complex, Bandra East,
Mumbai – 400 051
NSE Symbol - BLUEDART
Dear Sir/ Madam,

Sub: Transcript of analyst/ investors conference call - Disclosure under
Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements)
Regulations, 2015

We refer to our intimation dated January 22, 2025, notifying schedule of 'Investors Call' organised through M/s. Motilal Oswal Financial Services Ltd. on January 31, 2025, to discuss corporate performance for the quarter and nine months ended December 31, 2024 . The audio recording of the same was submitted on January 31, 2025.

Pursuant to requirements of law, please find enclosed herewith, transcript of the Investors call which is also made available on the Company's website viz; www.bluedart.com .

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For Blue Dart Express Ltd.

Tushar Gunderia
Head (Legal & Compliance) &
Company Secretary

Call: May 2025

June 04, 2025

To,

SSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort

Mumbai -400 001

Scrip Code -526612 To, BLUE DART

EXPRESS LIMITED

Blue Dart Center, Sahar Airport Road,

Andheri (East),

Mumbai • 400 099, India

Tel.: 022 -69756444

CIN: L61074MH1991PLC061074

www.bluedart.com

communications@bluedart.com

National Stock Exchange of India Ltd

Exchange Plaza, C-1, Block G

Sandra Kurla Complex, Sandra East,

Mumbai -400 051

NSE Symbol -SLUEDART

Sub: Transcript of analyst/ investors conference call -Disclosure under

Regulation 30 of the SEBI (Listing Obligations & Disclosure

Requirements) Regulations, 2015

Dear Sir/ Madam,

We refer to our intimation dated May 26, 2025, notifying on the schedule of 'Investors Call' organised through M/s. Motilal Oswal Financial Services Limited on May 29, 2025, to discuss the corporate performance for the quarter and year ended March 31, 2025 and audio recording of the same submitted on May 29, 2025.

Pursuant to requirements of law, please find enclosed herewith, transcript of the Investors call which is also made available on the Company's website viz; www.bluedart.com .

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For Blue Dart Express Ltd.

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"Blue Dart Express Limited Q4 & FY25 Earnings Conference Call"

May 29, 2025

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MANAGEMENT: MR. SAGAR PATIL- INTERIM CHIEF FINANCIAL OFFICER, BLUE DART EXPRESS LIMITED

MODERATOR: MR. TUSHAR GUNDERIA- HEAD OF LEGAL AND COMPLIANCE AND COMPANY SECRETARY, BLUE DART EXPRESS LIMITED

MR. ALOK DEORA- MOTILAL OSWAL FINANCIAL SERVICES

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BLUEDAIT

Alok Deora:

Tushar Gundcria:

Sagar Patil:

Alok Deora: Blue Dart Express Limited

May 29, 2025

Clood afternoon. everyone. and welcome to the interaction with the management of Blue Dart Express. So firstly. I would like to thank the Management for giving us the opportunity to host the call. So toda) we have \■ith us Mr. Sagar Patil -Intc::rim CFO: and Mr. Tushar Gundcria - I lead (Legal & Compliance) & Company Secretary.

I would now hand over the call to the managcmmt team to provide some opening remarks on the performance, and then we can start with the Q&A s.:ssion. Thank you. and over to you. sir. Yes. Thank you. Alok. And good alkrnoon. evc;;rybody. A very warm welcome to all of you into

this Q4 and year ending Financial Year '25 Earnings Call of Blue Dart Express Limited. As you are all aware, the Board of Directors of the company approved the Financial Results for the 4th Quarter and year ended 31 March, '25, in its Board meeting held on 26 May 2025 and the Company declared its Financial Results for the Quarter and Year Ended December 31, '25, wherein the company posted revenue from operations of Rs. 57,202 million, and profit after tax of Rs. 2,446 million for the year ended 31 March, '25. Revenue from operations stood at Rs. 14,173 million, and profit after tax of Rs. 532 million for the quarter ended 31 March, '25. In the fiscal year gone by, Blue Dart Express was recognized for its excellence across key areas including customer service, sustainability, compliance, and brand loyalty. The company continued to be recognized as a Great Place to Work for, and one of the best organizations for women employees. Additionally, Blue Dart Express was awarded for its customer-centric approach and culture, operational excellence in logistics, and trusted brand reputation. It was also acknowledged for its strong legal compliance practices and sustainable business approach. The results have already been uploaded on the stock exchanges, and also posted on the website of the company. I now hand over the call to Mr. Sagar Patil, Interim CFO, for further proceedings. Thank you. Thank you, Tushar. And good afternoon to all. I know, Alok. So as Tushar mentioned, in this financial year

, as well as in this quarter, in the turbulent times, the company has delivered a positive growth not only in terms of revenue absolute, but also in terms of volumes. And the significant investments that we have done in the last year has also been very well operationalized. It has come to its normal level of operations by the end of Q4 rather than previous quarters itself. So that facing the case, we look forward as the economy grows further to improve the numbers both on top-line and bottom line.

Thank you. We can go to the Q&A session.

Thank you so much, sir. So anyone has any questions can either raise their hands or post in the chat box below. Yes sir, so as questions come in then, were some questions which had been posted in the Chat. One was on the volume data, if you can provide the data on the volume for this quarter.

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Sagar Patil:

Alok Deora:

Sagar Patil:

Alok Deora:

Sagar Patil:

Alok Deora:

Saurabh:

Sagar Patil:

Saurabh:

Sagar Patil: Yes, sure. For the quarter, right?

Yes. Blue Dart Express Limited

May 29, 2025

So in terms of the shipments, we had 91.94 million shipments for the quarter, and the weight 3,31,101 tonnes.

Sure. And also the margins have actually come off quite a bit in this quarter as compared to the third quarter, so any particular reason which you would like to highlight here?

Yes. So typically, as you know, the third quarter is characterized by the volumes on account of festive season. So we have good uptick on our volumes typically in the October to December. And then that to some extent, tapers down in the first quarter of the month. So that's the reason why, as compared to last quarter, there would be a lower revenue as well as margin. Even as compared to last quarter, typically, since we operationalize our aircrafts in the first quarter of the last year, that is towards the end of January '24. So there were no fixed costs related to those aircrafts in the full first or the last quarter of last year. Whereas, in this year that incremental cost of the aircraft is there, though it is completely operational, and at the normal capacity, but with the service improvement the typical unit cost per kg would be higher there. So that investment is playing its role in this quarter.

We will take a question from the queue from Mr. Saurabh. Please go ahead.

Hello, sir. And congratulations for a good year. Sir, my question is; what would be the outlook for growth and EBITDA margin? And can you give some specific highlights that why the EBITDA margins were down, particularly 8.3%? You explained that the investments were coming, but the same EBITDA margins were 10.5% in whole fourth quarter of last financial year. And what will be the growth outlook for EBITDA margins for bottom line, top-line, volumes? Thank you.

Yes. So as I said, this investment that we have done in last year comes at a cost. So while this, volumes we are able to get, the pricing also we will develop as the customers also realize the

All right, sir. Sir any guidance with regard to how much CAPEX v.ill be undertaken? And how the net-Guwahati huh will be used for our growth trajectory'!

In terms of CAPEX, our CAPEX is largely into either replacement or upgradation or expansion of the capacities now that we are present all across the country. So there would be replacement in terms of servicing of the aircraft through the subsidiary Blue Dart division. or replacement with increased size. And as far as Guwahati is concerned, the loads going to Guwahati have always been there. So we are utilizing our aircraft mainly for that. And the volumes emanating from Northeast has also significantly improved, helping us to utilize the aircraft.

rcran effectively. But

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Saurabh:

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Anshul Agrawal:

Sagar Patil: Blue Dart Express Limited

May 29, 2025

having said that, in last call also we mentioned that it is just one of the legs. So the aircrafts that we added mainly take care of other metro or existing lanes that we used to otherwise carry through commercial airline. And utilizing the aircrafts for these existing lanes help us to control or have a better control on our loads as we carry them across the country.

Ciot it. sir. Got it. Thank you, sir. I will come back in the gm;ue.

Thank you, Saurabh.

We will take next question from J\`nshul Agrawal. Please go ahead.

iii. Thank you for the opportunity. Great. A few questions on the new freighters, Sagar sir. I believe, please correct me if I am wrong. We had acquired these freighters in Q4 FY '23. They would have been operationalized fully by Q4 FY '24, right? So in the base quarter also, the cost to operationalize these aircrafts would have been present or am I missing something? The cost was, yes, some part of cost did start. But then typically for aircraft, a good portion of depreciation is also based on their running hours. Be it engine or the aircraft itself. And also, while the aircrafts were in place, we also had to comply with approvals for making them airworthy, starting the scheduled airline. So, again, the Guwahati facility came towards end of 2023. So effectively the full-fledged cost started when we started operating the aircraft as a scheduled or a daily flight, which was towards the end of January.

But these costs would be below the EBITDA line item, right? They wouldn't be impacting our gross cost, right? Our gross margins have contracted almost by 100 basis points in '04. So, unclear about this whether this is the cost of sort of operating the aircraft or is this something else?

So if you look at the standalone, then since these aircrafts are operated by our subsidiary, the standalone will have EBITDA cost net of the depreciation because it's all inclusive cost, including depreciation that gets charged. If you look at our consolidated, then the margins would be higher by about 1 to 5% to 6%.

No, sir. I am not mistaken, even in standalone numbers I think gross margins have gone down from 31 % odd to 29% odd. And similarly for EBITDA, as the previous participant pointed out. EBITDA margins have gone down from 10.5% to 8.3%¹⁰. Is it that because we are doing more surface this has happened? Or something that is a one-off in this quarter other than these aircraft points that you mentioned?

So main reason is the incremental cost of these aircrafts. Typically, when you move the loads on commercial versus the aircraft, the full-fledged cost of the aircraft would come in. So, in the first phase we have been able to, without diluting much on the yield, but we have been able to garner the weights. We have improved the transit times from 48 to 72 hours, to now 24 to 48 hours across from Guwahati, or towards the farthest part of Northeast.

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Anshul Agrawal:

Sagar Patil:

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Sagar Patil:

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Sagar Patil:

Alok Deora: Blue Dart Express Limited

May 29, 2025

Whih: we have taken some, we can say. lhc yidd improvement for that lane, there is a better scope 10 realize the value otherwise what customers arc getting. So to that extenl, it will have some impact or it has some impact as ofno'A. Rut then as we go along, we will be able to recover this rnst more. There is no impad on account of the ground as far as profitability is concerned, because while the yield might be low, as far as margins arc concerned, they would be comparable with the air from a percentage to the top-line point of view.

Okay. So if I got this correct, sir. surface ma

rgins are not dilutive in nature to our consol lvel,

to our consol margins, did 1 get that correct?

Yes, yes.

Okay. And second!> sir if I may, our lh:ightcrs arc operating now at optimal utilizations, you

bt:lieve9 Or there's scope to grow these utilizations. which will also lead to margin benefits?

Rccausc I think we have been guiding that our freighters have reached optimal utilizations over the last one or two quarters, and hcnc margins were also stable. But just wanted to check on this point.

Yes. So the freighters arc hcng utilizcd at the, now level at which the earlier six freighters were operating. In a network kind oforganization you will always have some weak lanes, some closed lanes which arc related to positioning. So that thc nc1 aircrafts have also come to the same lc::vel of utilization. as we mentioned carlier, between 85% to 90% as compared to the ovrall llcct that we have.

Ciot it, sir. And any signs or any wcakncss in surface growth, last 4quarter you gave us a breakup between your B2C and B2B volumes in terms of growth, would it be possible to share the same for this quarttr or the full-year?

So as both the product lines arc improving, the ratio would mon: or less remain the same. I would say thc ground part, though we do not have segmented results as such, but generally what we scd as in terms of or differentiate in terms of transit times and not the mode of transport, therc would be increase of 2% in the share of the slower or the ground transit time is what I can say. Got it. But the last quai1cr I think you had shared B2C volume growth numbers and B2B volume growth numbers. If that is handy that will be useful for us to note.

So in terms of B2C, if you say from a wdght point of view, B2B growing at 10%, B2C growing at about 1 9% for the quarter.

<iot it. Thank you. I will fall back in qucue.

Thank you, Anshul.

We will take next question from Mr. Mukcsh. Please go ahead.

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Mukesh:

Sagar Patil:

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Sagar Patil: Blue Dart Express Limited

May 29, 2025

Yes. Thank you for the opportunity. My Jirsl question is again on the surface husiness. we arc starting to see competitive intensity go up. Some of the other players have reported nov. strong volume growth. hut some hav:n't. So. if you could kind of give us some sense on the competitivi: intensity on surface that you an: seeing right now?

On surface, so surface hoth on B2B as well as thee-com part of it remain our drivers of growth. while we do hem: lhat thi: c-com as an industry has slowcd down a hit But we are not a very big player here. We have a niche, and wherever we get good realization of our service quality. we do enter into those businesses. And we do sec the growth remaining high for this segment. And the pricing as wel I has kind of remained stable for you?

Yes. Now some amount of consolidation also probahly is starting or happening. We do see a pricing position. We have taken successful pri<.:c increases with hoth big and small players. So

we do remain in a strong position then:.

Okay. So the general price hike that you had announced in January, I think before that you had announced that any customers that sign up in October to December period will not be seeing that general price hike. And so now that we are in say May, now what kind of pricing have we been able to pass through to the customers? An) sense that you can give on that across both air and surface?

Difficult to quote a general or average price, but there is no differentiation in terms of even the size of the customer depending on how we see the profitability pans for individual lanes or the product portfolio that we get. we do offer or agree on that pricing accordingly. So even that can be a big customer --Y cs, Mukesh)

Sorry. Picasa: go ahead.

Yes. And again the customers signed up in say October to

November are not subjected to price

increase, which also means that they would be offered price as per the normal pricing guidelines that we have. So, they would not fall immediately due for price increase within six months of joining or signing up.

Right. Okay. So we do see that we can, I mean, the second half of this year we can still see some more price hikes with those customers?

No that's not what I said. I am saying October to December. the new signups would anyway come at a new pricing.

Okay. They would have come at a new pricing.

So they would not be due for price increase in the normal course.

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Mukesh:

Sagar Patil:

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Sagar Patil:

Alok Deora:

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Sagar Patil:

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Sagar Patil:

Achal: Blue Dart Express Limited

May 29, 2025

Right. understood. And just lastly. back to that question on freighter utilization. I think past few quarters, I think three or four quarters we have kind of commented that we are yet to see the optimum utilization. If you could, I know you did allude to it now in one of the answers, but if you could kind of give us some sense on how much more time do you think we can take to achieve this. on both, inbound and outbound, the utilization rates?

So I mentioned the utilization has reached optimum level.

But this is on both sides, sir? Because I think you had mentioned earlier that on one of the sides we are seeing optimum, but not on the outbound especially, from say, Guwahati kind of.

Yes. So, so as far as Guwahati is concerned, even the outbound going from or originating from Guwahati station has gone to close to optimum levels now. But overall load is of course optimum as compared to the other freighters. But even the ex-Guwahati lane is something that we started at a very, very low level when we started the operations without diluting much on the rates.

Otherwise load would have been available right from day one, but we are not let the price get diluted there and we have reached at a good level of utilization there.

Okay. Great sir. Thank you. I will fall back in queue.

Thank you Mukesh.

We will take next question from Achal. Please go ahead.

Yes. Good afternoon, sir. Thank you for the opportunity. Sir, just on the volume growth. You mentioned about 4Q for 132C and B2B, if you could indicate for the FY '25 as well, what has been the growth trend then:?

Sure. For 132B and B2C you mentioned, right?

Yes.

Yes. So for B2B. again, the growth has been at about 11 % in weights, and B2C for the full year has been at about 11 % again. same.

Okay. Understood. So, if I look at the gross margins, again, I am coming back to the question about what was asked earlier. if I look at 4Q FY '24 gross margin, 43.2%, I am talking from consolidated numbers. sir. And 4Q '25 is 41.4% despite the price increase. So, if you could help us understand what has driven this gross margin contraction at consol level.

And number two, in terms of: is there any mix related impact or commodity related impact? And how much of the customers are linked with the crude, given the crude has fallen? Ideally, the

margin should have seen some improvement. So if you could elaborate a little bit on the same, sir.

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Okay. So two questions. One, with respect to the structure. If you note our volumes, the growth in the kilos is higher than the growth in shipments. So that will have an impact in the construct of the margin for this quarter. Second was, son-y, I missed your second. What was the next point? See, in terms of the pricing structure, how many customers have the pricing estimation or indexation with crude or ATF price?

Yes. So reduction in crude will not result in improvement in margin. because our prices do have fuel surcharge. So in case if there is a drop

in the crude, our fuel surcharge also comes down.

So, yes, there is auto mechanism over there. I mean, it helps us to protect from the price increases in the crude. But at the same time, we give up that. we do not also benefit significantly. There is no big difference with the crude going up or down.

And this would be largely for the air freight business. right, which would be 50%, 60% of our total revenue? Like, is it applicable for all customers, or is it only for the air cargo we are talking about, sir?

Then, are two mechanisms. So, as far as air is concerned, there is a Bunker Adjustment Mechanism. As far as diesel is concerned, the ground product, there is a Diesel Linkage Mechanism. Since there are no changes for last number of years on the local prices of diesel, there is no big impact there. I understood. And sir, we have written in our press release with respect to continued investments. if you could elaborate a little bit in terms of what kind of investment are we looking at in terms of quantum or division or specific aspects?

So last year we did, I mean, last couple of years, aircraft of course was a big investment. We have also opened in the last I think first quarter of the Financial Year '24-'25, big integrated facility with autosorters near Delhi airport at Bijwasan. We also have similar, larger consolidated facilities to come up in the next few quarters in different parts of the country, including in West, in South. So, yes, and these will be largely the leased assets. So there will be some, of course. CAPEX, but the addition you will find more in the Roll assets. Roll, the right of use, yes, leased assets.

Right. I understood. So, would that help in terms of margin improvement or it is only to improve the competitiveness of business?

No, that is also expected to help in margin improvement because many of these will help on automation as well as consolidation of facilities. So, not expected to have a negative impact or significant impact, even for the quarterly results for that matter.

Understood. And just one more question, if I may sir, in terms of the industry growth for surface and for the air, how has been the industry growth? Is it in sync with this, or is it lower than that? I have you gained market share? I have you just maintained? I have you improved? If you could give some sense, how are you looking at your own market share from last full year perspective, FY '25?

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So, as far as air is concerned, the market share, we are already at a very good market share over there, being probably the only express cargo. So, I am not aware of any very recent market study that our commercial rivals have done. But I think we are gaining the market share as far as

surface is concerned, and also in the B2C e-tail business that is outsourced. Maybe it may not be very significant, we are still not a very big player there. But if you look at the growth in volumes, we should be gaining or keeping the market share stable...

Understood. And do we see that in terms of the mix changing in favor of surface, let's say over next three to four years. a meaningful shift or it will be broadly in sync with what happens with air cargo?

We see with the ground mode becoming more and more efficient, and also a variable model for us, we do not own assets over there in terms of the trucks. There is also a good variability or scalability there. We see probably the ground should increase in terms of share, not dramatically, but yes. there will be incremental 1%, 2% being added over as we go along.

Understood. I have more questions, but I will fall back in the queue. sir. So thank you so much.

Yes. Thanks.

So we will take some questions from the Q&A section. So, one is on the ROCE. So ROCE is

almost

almost at a decadal level. excluding the COVID year. So how do we see this moving ahead in terms of: either we would see margins moving up or can you comment on the pricing power at the industry level. the pricing power is coming down. any comments on that?

To some extent. ROCE will have impact due to the owned assets that we have got in last few years. Also. you cannot compare with the last two. three years which were post-COVID years. So the differentiator versus pre-COVID years would be the incremental investment that we had in our own assets, whereas versus the post-COVID years there will be a post-COVID impact that will be there.

So after the post-COVID years, we are focused on improving our service efficiency. service quality. and also building up for the future, including the region like say Northeast, maybe a little ahead of the curve. which now we see as we go along improving our realization as well as the value the customers see. So. I mean. it would be forward-looking, but optimistic statement, it would sound like that, Yes, from here on we should only improve our returns as well as the return on capital employed.

Sir, one question is on the mix of B2B and B2C in the current revenue pie. What would be the current mix sir. if you could share that. in the fourth quarter and for this full-year?

For the full year, B2C is 27%, whereas B2B is 73%.

In terms of revenue?

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In terms of revenue. yes. And for the quarter, quarter is also similar number, 72.6% and 27%. so 73% and 27%. That's also because when we say the ground road network is the growth driver, it is in both ground B2B as well as B2C is where we are growing well. So the ratio in last I think number of quarters has always been like 70:30.

Got it. Also if you could provide this mix in terms of air and surface?

Air and surface. I do not have available readily, because normally these are our modes or transit times, or not necessarily the modes as such. So now the mix would be more like 65:35, 65% would be air. and 35% would be surface with Dart Plus or the e-tail going faster on surface. which earlier used to be around 70:30 again there. and now it is more of 65:35.

Got it. So. sir. I also just wanted to understand. I mean. if you look at the last few quarters. the margins were more than 9% on the standalone basis, and just this particular quarter it has come below 8.5%, right? So I mean. the investments and all those things which you have done was being done since almost seven. eight quarters now. and which already we had reached a 9.5% plus kind of margins. So just wanted to understand what really happened in this particular quarter, and is it more like a one-off

or is this margin like a new normal with gradual

improvement from here? Some color on that, because this quarter. particularly the margins have come off quite a lot.

Yes. All I can say that we will work towards improving this. otherwise it would be more or a forward-looking statement.

No, no. So I was asking. from this quarter perspective only, what actually happened in this particular quarter that the margins came down quite a lot as compared to 3Q or 2Q, or the previous two, three quarters?

To an extent, I mean. the number of business days this quarter were lower than as compared to the last year same quarter, with last year also being a leap year. So, while it may look like only one. this is more like a 1% impact on the business days while the cost remain for one quarter, where you have a though variable but for a month it becomes more like a fixed capacity. So that also has an impact to some extent on the numbers.

Sure. And just one last question in the question queue. I mean, just wanted to understand from the growth perspective now, so road logistics have been kind of weakish in the last few quarters

where. I mean, we have still done better than many other players. So what is the growth outlook now on the volume side there, if we look at FY '26 and FY '27? Is it more like a mark of a double-digit volume growth rate, or would it be more like a high single-digit growth rate in an environment with certain price increase which we generally take as a CPI? Yes, if you can just comment on that. Maybe, for the industry level you can comment. and yes. just some comment would be helpful here.

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Yes. So for Blue Dart. irrespective of how the economy or the industry is going. we have seen consistent high single or low double-digit growth quarter-on-quarter or year-on-year. sorry, when I say quarter-on-quarter versus last year quarter. subject to the seasonalities that we have in the festive seasons or the sale. the quarter-end discounts. So we expect it will remain consistent. with of course the focus on improving service quality at optimized cost and with a better utilization or realization of yields from the market.

We will take one question from Achal. Please go ahead.

Yes. Thank you once again. sir. In terms of the pricing scenario. if you could talk a little bit on the air cargo part, given we have seen the passenger lines actually, number of players reducing, and I would imagine even the capacity as well. So, how the pricing behavior has been by the competition? I have you seen some improvement there? And what is the price premium we enjoy versus our next competitor in air cargo and also in the surface?

Not very directly comparable at an overall level. When you say talk about air. we do have a very large number of documents that we have, both from BFSI as well as non-BFSI, not only documents but also small packages that we carry. And yes. Blue Dart is typically seen at a premium. but with respect to the type or network that we carry, a captive network, it calls for that kind of price increase.

This other side of the air is also, say, the parcel business which is B2B parcel. we see that remaining on a steady growth. So we do not see any impact of any ups and downs, we see that growth being steady. When it comes to e-tail there is always pull and push between the ground speeded, ground network and the air network because the difference in transit time is not more than, say, 24 hours to at the most 36 hours as such. So, again, it all depends on how the customer looks at the type of the commodity that he intends to ship through us.

So we do have both the options for the same set of customers. a customer may for some of his shipments prefer a ground network or air network. So, again. within the two products there is a competition within Blue Dart for these two sets of businesses as such.

So there is no direct data point, I am sorry. But as the ground network is becoming more and more efficient, I mean, right not only from the infra improvement point of view. also the GST. so the transit time on the road permit. etc. is not there anymore. We see on both sides, so there is at times stretch on the air price. but at the same time with the improved service quality offset the last-mile that we have, we are also able to fetch good price on the ground. so the yields also kind of compete with each other. So it depends on how customer sees. And given the large number of verticals of customers that we have. everybody has a different way of perceiving the value and paying for it.

Right. But is it fair to say sir. like you said. road is becoming more efficient. And with the GST. do you see basically shift from air to road? And that bringing down the pricing or the cost to the customer. and revenue for us, and hence the absolute margin? While the percentage margin may

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still be similar. the absolute margin per kg or per parcel is actually lower, is that a fair assessment?

It's both ways. So in spite of road becoming efficient, if the customer still has need to send something on air for those criticalities, then the customer also would be willing to pay more there. And it's not that we have increased or we are increasing capacity very significantly. Even when we bought the new freighters, it was not a fresh capacity created, but more like we replaced our variable capacity with passenger airlines with our own captive capacity as such.

So, while there may not be a very dramatic growth in air from volumes point of view, but at the same time the premium we are still able to generate on air. So, we do not see that kind of stretch, as you say, coming either on capacities. Even today, we do ship a good share of our air volumes on the commercial airlines, not only on the lanes where we are not present. I mean, we service only distant stations, but even for those air stations we do carry a lot on commercial airline load, which may not be good enough for our own aircraft. But then from a commercial airline load perspective, passenger airlines, we do have a significant amount of load then.

Okay. And one more question, if I may, sir. With respect to freighter specifically, like how do you make that judgment with respect to addition of freighter? What is the ROCE threshold you look at? Given you said it doesn't really change in terms of pricing for us, but if I look at it actually brings down the ROCEs, given it sits as part of the capital base?

So the decision to put own freighter would require a consistent amount of load, not only on one or two lanes, but across the lanes where we are able to upgrade or introduce a new network. So, prior to introducing these two aircrafts, we saw a significant amount of loads going on passenger airlines within the metro stations, within the existing stations or Blue Dart. And among the non Blue Dart stations, Guwahati was the biggest lane. the loads getting into Guwahati were very high.

So, primarily the new freighters service our existing lanes. of course, when it replaces the passenger airline, the cost is higher initially. But then we also have added a small leg, I would say, in terms of Guwahati, so that we also garner or generate fresh loads over there. So, by the time customers realize and look at the value and then ultimately pay for that higher quality, there would be some gaps. So that's what we saw in the first couple of or three quarters of the last financial year. And as we go along, we will be able to get better realization on those lanes. And any plans to add more freighters anytime soon, sir? Like how soon do we need to add, like is it in a year, two year, three year, five year?

We continuously keep on looking at those options. And yes, very difficult to forecast from that point of view as to not only the addition, but also changing of the network plan that we have for the existing freighter. So, yes, there is no such definite plan that we are zeroing in on at this point or time.

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Understood. And just a clarification on that, in terms of what is the CAPEX which goes into one freighter typically, and what ROCE typically it adds to? Like one of the question earlier was with respect to decline in the ROCE is what we have seen in last three years, right? So, if you could help us understand the economics of a freighter, what capacity, what revenue, and what ROCEs it typically generates on full utilizations?

So, very difficult to identify the ROCE from a freighter point of view because it only adds up into the existing network, it's just one block in the entire network. There is no

economics related

to a specific freighter. So, primarily the decision gets taken based on the service quality, if we are falling short of the capacity, and if you find more instances of our loads getting offloaded. And those getting offloaded are enough to also justify a full freighter. then so more on operational and service quality parameters is what the freighter gets decided. But when the freighter comes in, it supports the entire network, it doesn't flow only on the declined lanes, but it goes to different stations.

And at the same time, when the customer signs up, so if a customer signs me up, he would sign

up for this: all India loads, including even local loads for that matter. So, even if the loads may not go from say Delhi to Mumbai, but if the customer is giving loads because of that agreement from Delhi to Lucknow, or Kanpur which might go actually on the road at times, it will be correct or incorrect to include that as a revenue accretion on account of freighter. So, it's the overall business network profitability that we look at. And freighter plays a role more as a capacity addition, and not as a fresh investment that gets the fresh revenue.

Understood. This is very helpful, sir. And in terms of, if I see the overall numbers, just to make an overall assessment. basically it's a business as usual, there is no one-off in terms of the cost. revenues, etc. And we are looking at a steady performance even in the coming quarters. In fact, margins could see further improvement with the operating leverage. Have I understood it right? Yes, you can say that. Yes.

Perfect sir. This is very, very helpful, sir. Thank you so much.

Thank you.

We will take next question from Rajashree. Please go ahead.

Yes, hello. Yes, thanks for the opportunity. So, question is regarding your air freight volume.

So, let's say, if you move 100 tonnes in your freighter planes, how much is outsourced? So other than the 100 tonnes, let's say, that we move in your planes, how much is outsourced to these passenger carriers as belly cargo? What would be that number, on average?

I mean. depending on the periods, yes, it can move as much as between 20% to 40%. But yes. 20% to 40%. Okay.

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Rajashree:

Alok Deora:

Sagar Patil:

Alok Deora:

Tushar Gunderia:

Alok Deora:

Tushar Gunderia:

Sagar Patil:

Tushar Gunderia: Yes.

Ok, . That's helpful. Thank you. Blue Dart Express Limited

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Thank you. Just the last couple of questions we will take from the chat box. Why has the volume growth not translated into revenue? So. basically on the net realization, is it like the price hikes have not been absorbed across the board or any other particular reason?

Yes. So as we mentioned, from this year is impacted by this improvement in the utilization as we started the new routes with the new aircrafts. Yes. the price realization has started improving. and it is expected to improve further, continue to improve.

Sure. So I think we are almost out of time now and we have dived with the questions also. So I will now hand over the call to the management for any closing comments.

So nothing special. I mean unless you have, Alok, or any other investors have.

Sure. I think, yes. investor questions have been answered, so any follow-up questions we will directly connect with you. sir. Thank you so much for allowing us to host the call, and I look forward to host you again.

Thank you, Alok, for organizing. Thank you so much.

Thank you so much, Alok. Thank you all.

Thank you all. Thank you.

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Call: Nov 2025

November 10, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort
Mumbai – 400 001
Scrip Code - 526612

National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
Bandra Kurla Complex, Bandra East,
Mumbai – 400 051
NSE Symbol - BLUEDART
Sub: Transcript of analyst/ investors conference call - Disclosure under
Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements)
Regulations, 2015

Dear Sir/ Madam,

We refer to our intimation dated October 29, 2025, notifying on the schedule of 'Investors Call' organised through M/s. Motilal Oswal Financial Services Limited on November 03, 2025, to discuss the corporate performance for the quarter and half year ended September 30, 2025 and audio recording of the same submitted on November 03, 2025.

Pursuant to requirements of law, please find enclosed herewith, transcript of the Investors call which is also made available on the Company's website viz; www.bluedart.com.

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For Blue Dart Express Ltd.

Tushar Gunderia
Head (Legal & Compliance) &
Company Secretary

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"Blue Dart Express Limited Q2 FY 2026 Earnings
Conference Call"
November 03, 2025

MANAGEMENT : MR. SAGAR PATIL – CHIEF FINANCIAL OFFICER --
BLUE DART EXPRESS LIMITED
MR. TUSHAR GUNDERIA -- HEAD OF LEGAL AND
COMPLIANCE AND COMPANY SECRETARY -- BLUE
DART EXPRESS LIMITED
MODERATOR : MR. ALOK DEORA – MOTILAL OSWAL FINANCIAL

SERVICES

Blue Dart Express Limited
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Alok : Good afternoon everyone and welcome to the interaction with management of Blue Dart Express. So firstly, I would like to thank the management for giving us the opportunity to host the call. So today we have with us Mr. Sagar Patil, CFO and Mr. Tushar Gunderia, Head of Legal and Compliance and Company Secretary. I would now hand over the call to the team to provide some opening remarks and then we can start taking the questions. Thank you and over to you, sir.

Tushar Gunderia: Yes, thank you Alok and welcome all investors for this earnings call and good afternoon everybody. A very warm welcome to all of you. As you are aware, the Board of Directors of the Company in its meeting held on 28th October 2025 approved the financial results of the company for the quarter and half year ended 30th September 2025 .

The company declared its financial results for the quarter and half year ended 30th September 2025, wherein the company posted revenue from operations of INR15,493 million and profit after tax of INR795 million for the quarter and half year ended 30th September 2025 respectively. Blue Dart's quarterly performance reflects resilience in a dynamic and evolving environment reinforcing the strength of our business model and our agility in responding to market shifts.

As part of the strategic growth agenda, Blue Dart recently announced two significant initiatives, viz; the launch of a Digital Account Opening platform enabling businesses of all sizes to onboard and start shipping in under 10 minutes and also the unveiling of a flagship green integrated ground lab at Pataudi , Haryana designed to boost the company's express network with sustainable technology enabled infrastructure.

Together, these initiatives reflect Blue Dart's ongoing investments in digitization, green logistics and customer centric solutions, thus cementing its role as the preferred logistics service partner for India's growth journey.

The results have already been uploaded on the Stock Exchanges last week and also posted on the website of the company. I now hand over the call to Mr. Sagar Patil, CFO for further postings.

Sagar Patil: Thank you, Tushar . Good afternoon all. So , we have closed this quarter with positive revenue growth and also improvement in the debit margin with the improvement actions by management both on yield as well as on the cost front.

With that backdrop, I would request for the Q&A sessions. Thank you.

Alok : Sir, we take the first question from Kripashankar . Please go ahead.

Kripashankar: Yes. Good afternoon, sir. And thank you for the opportunity. So, my first question would be on the housekeeping questions. What would have been the tonnage and parcels for the quarter?

Sagar Patil: Yes. So , the shipments were 106.28 million shipments and the tonnage was 3 ,63,974 tons for the quarter.

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Kripashankar: Yes. So, what I was saying is that the margin is a function of operating leverage or would you like to point out the sustainability of these margins in the upcoming quarter?

Sagar Patil: So, this quarter, we had a growth of 10% in number of shipments and 5.9% in the weight. So , the number of lighter shipments would have grown faster. In terms of operating leverage, our aircraft as well as on -road capacity of vehicles has continued to be good.

There has been both yield as well as cost improvement in the areas where the management has seen the scope for improving, but it is largely, attributable to the favorable change in the mix, both customers, products, the profile of the shipments as well as lanes that has helped us to improve the margin for this quarter.

Kripashankar: So sir, what would have been the B2C growth this quarter, given that the average weight on the shipment has come down? You want to throw any

light on that?

Sagar Patil: B2C growth would have been close to about 17 plus percent for the year-on-year same quarter compared to last year.

Kripashankar: Also sir, with respect to your air business, the mix of air versus ground, is it stacking growth in ground? Is it becoming much more resilient in comparison to air and what is the mix right now?

Any guidance you want to share, given that you're adding a lot of infrastructure on the ground side? So anything you can share on the expectations on ground?

Sagar Patil: So the products as such, what we call as ground, primarily more ground, continue to grow faster as has been for last few quarters, both on B2B as well as B2C, while air continues to grow faster.

Kripashankar: Right, but you've added a lot of infrastructure also, at another place you've added another ground hub. And this comes on the heels of the Delhi infrastructure, which you had added during start of this year starting. So just getting more sense around, what exactly is the expectation on ground?

Are we upping our service levels or are you planning to launch any new services in the ground category, which is where the infrastructure requirement has come up materially? Or is there any other thought process behind the infrastructure? What is the further expectation on infrastructure expansion? If you can highlight on that also, it will be helpful.

Sagar Patil: Yes, so last couple of years, we added mainly in north in Delhi, one Bijwasan, which has been more of an air hub. And last quarter, we also have launched a ground surface hub facility again in Gurgaon - Pataudi. This is a combination of both replacement or consolidation of a few multiple facilities. So, it's more of a consolidation cum expansion cum automation.

Of course, when we add, there is also a better build up for the volumes to grow in the foreseeable future. But lastly, it's an ongoing expansion. And when we do that expansion, it's automation as well as consolidation, keeping that in mind, not for any significant or a new service to be added or a new specific product or that kind of opportunity. It's more of an organic growth, but keeping an eye on improvement in the efficiency that helps the both service quality as well as the cost efficiency.

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Kripashankar: Got it. I had also asked on what would have been the mix between air and ground this quarter or what would have been the growth in the ground business? Anything you can highlight on that, sir?

Sagar Patil: Ground continues to be the main contributor to the growth. As far as the ground B2C is concerned, that is continuing to grow at a healthy rate, there has been almost 30% increase in the e-commerce that moves on ground, as well as the B2B surface that we call ground that also continues to grow.

And for this quarter also, the shipments have grown by 23%, a bit of profile change over there where we have also moved a large number of small shipments over there. So as the increase in sales over there, it will be close to 3.5 % to 4%. So that remains a prime mover or the growth driver. Even on air, B2C this time has grown by almost 10%. So while both air and ground are growing, the prime growth driver is ground.

Kripashankar: Understood, sir. Thank you. I'll get back in the queue.

Alok: We'll take next question from Sushil Parekh. Please go ahead.

Sushil Parekh: Yes, hi. So sorry, I have not covered the company earlier, but I have gone through the previous conference call transcripts. In light of that, I would like to understand that in 2023 earnings calls, we had mentioned that there are some new customer acquisition engines that we have deployed.

So, I just wanted a follow up on that, that what is it that we have started to do differently since 2023? And what are the results that we have seen since then?

Sagar Patil: So, this has been more of

an automation or the expedition of the customer additions, keeping not big customers, but primarily for the smaller customers, where a customer can sign up, open the account online by submitting their KYC, by choosing certain prepaid plans leading to a very fast way of onboarding the customer and start shipping.

We have seen even earlier this year, in the last quarter itself, we have launched a Digital Account Opening platform and we saw a very good response. 2023, when you talk about it, it was a launch of prepaid customer where a customer could, without waiting for the credit verification, upload KYC documents, load a wallet and start shipping within a couple of days at the most.

Sushil Parekh: Okay, so was it more related to customer onboarding versus customer acquisition, if that's the case?

Sagar Patil: Yes, it was. All we can say it was customer acquisition through faster onboarding.

Sushil Parekh: Okay, great.

Sagar Patil: Primarily easing the way customer would get onboarded rather than waiting for moving the documents to and fro on the email, customer could upload the documents. We also had launched a digital signature of the customer agreements in 2023, besides the prepaid, so it was more of customer onboarding, but that helped us in faster acquisition of customers.

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Sushil Parekh: Okay, I understand. And if I have to understand how the margins move, so I think we have also mentioned earlier that the variable margins goes up and down because of change in the mix between surface, air, but not the actual margins go up and down. So I think this was in the previous call itself. So, what is this actual margin that we are talking about? And how do we think when we are pricing our products, is it on cost plus basis in absolute terms or it's like cost plus some percentage basis when it comes to our pricing?

Sagar Patil: So the pricing, every time you add a customer, it is not by looking at the cost because in our network, we carry a very diverse nature of or diverse types of shipments from documents to very heavy ones from air to ground. And we also try and maximize the efficiency of our facilities or network by combining wherever possible, all types of products without compromising on the transit time for the service quality being promised to the customers.

So that being the case, the costs are largely allocated when you look at the profitability for the internal purposes. However, the pricing is not typically on a cost plus basis. If we try to do that, given the large amount of origins and destination, the number of pin codes that we handle, the cost of servicing those pin codes will differ significantly depending on not only the distances, but also type of network that we have.

The density of the shipments that we have. So, to keep the pricing relatively easy and simple for the customer to plan their shipments, it is based on a pricing matrix. And then depending on how the product mix or the shipment mix, both in terms of not only the mode of the transport, but also the shipment profile, whether it is very light or very heavy, the variability of cost may go up and down during the month.

So, the effort in order to ensure that we are agile in terms of ensuring our profitability, the effort is always to variabilize the cost as much as possible, because we are already sitting on a very large base of fixed network, be it the facilities, the aircrafts or the network, the committed network. So, for example, from a month to month point of view, a good portion of the cost may become fixed.

However, as we move say beyond a quarter or so, we can look at the trends, we can look at the seasonality, our forecast of how our major customers or the customers at large may move. And we may try and variabilize some of the cost by reducing the runs or even reducing at times the service provided

ers, the feed on the ground, depending on how the volumes pan out.

So, the pricing is not based on looking at the cost on a case to case basis, but yes, as we move along during the year, we look at how the business parameters across different levels move and then try and both correct the pricing where required or the cost or variabilize the cost wherever possible.

Sushil Parekh: Okay. So this is very helpful, sir. Just on this particular point itself. So when we have spoken about fuel surcharge, we have a similar system on the surface transport as well, right? And not only air cargo?

Sagar Patil: Yes, we do have a fuel surcharge on the surface network as well, Yes, product as well.

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Sushil Parekh: All right, clear. Thank you. I'll get back in queue.

Sagar Patil: Thank you.

Alok: We'll take next question from Achal, please go ahead.

Achal: Yes, good afternoon, sir. Thank you for the opportunity. Sir, wanted to check first on the sectoral mix. Is there any way you could give us some sense in terms of like the end user industries, whether it is pharma or industrial or ready-made garments, textiles, etc. Any colour you could give in terms of the sectoral mix for us on an annual basis?

Sagar Patil: Not exactly. I would say we would get impacted by a major shift in any sector. Of course, except for the e-commerce, which remains a specific or a sector that relies a lot on the express network that we operate on.

As far as other sectors are concerned, for example, auto or electronics or pharma, the customers would typically rely on a mix of full truckload, part truckload, freight shipment that may have a bulk volume where express may not be always an economical way of moving, but wherever there is a part truckload or smaller express shipments which need to be carried across large number of consignees or destinations or in case of auto, for example, if there are critical parts that need to be moved on priority.

So Express is something that we provide services to the customers primarily and that may or may not always depend on the seasonal industry growth. It depends on the customers and how critical their shipment needs to be carried on express because express typically as compared to a normal transportation or freight industry will carry a more price sensitivity than the cost and the price sensitivity. That's where it will depend on the needs of the customers and may not move with the vertical growth or that industry growth in a linear kind of manner.

Achal: Fair point, sir. But just for our understanding from Blue Dart perspective, what is the sector that will mix for us?

Sagar Patil: So, we do have presence in a number of sectors critical for us being electronics besides retail.

Also, when we say electronics, not only the mundane in form of our servers, but also the mobile phones, farm as well as automotive. And, yes, garments, mainly from e-commerce perspective, a smaller portion on a B2B kind of movement.

So, where we carry from warehouse-to-warehouse. But yes, the supporting movement or the supporting to the retail sector when they move from one warehouse to another warehouse or from a vendor to warehouse, those are the cases where we come more as a B2B movement of the shipments supporting the retail.

So, I mean, this is mainly from the point of view of parcel movement. Of course, we also have a big focus on the document's movement. So BFSI is a big segment that we focus on. And given the presence all across supported by a dedicated fleet of aircraft, we're able to maintain a good amount of service quality irrespective of the geography that we service in.

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So BFSI remains a big sector, but besides all the other industrial verticals where express shipments in a relatively lesser kilo per shipment

not, not a freight movement, but more of an express freight movement is where we cater to all the industries.

Achal: Got it. So, when you say documents, how large would documents be as a percentage of our revenue?

Sagar Patil: It would be close to -- so again, depending on the cycles of car renewals, debit cards, credit cards

Achal: On an annual basis, if you would, sir?

Sagar Patil: It would be close to 25 % to 30%.

Achal: And that would be predominantly on air? Would that be a fair assessment?

Sagar Patil: Yes. So, depending on say, for example, if you were to carry a document from Mumbai to Pune, then we may not physically carry on air, but yes, it's a part of priority segment. So, wherever air is the faster mode of movement, it goes on air. Wherever ground is even faster than air, depending on the aircraft or the weekend seasonality, it may also go on ground. But it's an express product primarily on air.

Achal: Understood. So, E-com would be what? 25 %, 30% of our revenue, sir?

Sagar Patil: Yes, close to 30%.

Achal: So, these put together is about 55 % to 60% of our revenue. Is that understanding right, sir?

Sagar Patil: Yes.

Achal: Okay. Got it. So just a couple of clarifications. Is there any one-off or reversals of expenses in this quarter? I mean, I'm just asking from A, the gross margin perspective. If I look at, there is almost 200 basis points of improvement. And particularly, I was under the impression that the surface transport, which has grown faster is slightly lower margin on a gross basis. So, if you could clarify on that?

Sagar Patil: No, there are no one-offs or there are no extraordinary elements in this quarter.

Achal: Understood. So, if we were to sustain this kind of a revenue size or the mix, the margins can sustain at the current 7% PBT level. Would that be a fair assessment, sir?

Sagar Patil: Yes. As I said, it's a question of the mix of customer lanes. So yes, if favorable or better conditions or mix prevails, there can be favorable movement or sustenance of these margin limits.

Achal: Got it. And any benefit of the early festival season you could quantify in this quarter?

Sagar Patil: There would be some element, but it's a mix of both early festival as well as the GST related movement that could also come. Difficult to quantify, frankly.

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Achal: Understood. And just last question, in terms of number of employees, the 18,000 number, what you mentioned in the presentation is that the permanent employees on the payroll and what would be the quantum of contractual employees for us?

Sagar Patil: So the contractual employees, we don't call them, but these are the employees of the service providers. That number would go as much as 30,000.

Achal: Okay. Apart from the 18K what we have on our payroll, is that right?

Sagar Patil: 18K -- if you include product aviation as well, it will be close to 13,000 plus.

Achal: Okay. Got it. So 13K plus 30K. Have I understood right, sir?

Tushar Gunderia: Not exactly. You can say 13K because it varies from month-to-month. So you can say 12,000 to

13,000 and around 20,000 to 30,000 in that range.

Sagar Patil: That service provider employees is quite a fluid number depending on how the seasonality, the number of shipments significantly can go up and down by a few thousands.

Achal: Depending on the season. Yes. No fair point. I was just trying to understand what is the extent of fixed cost? Is there any quantification from a quarterly cost perspective? How large is the fixed cost proportion for us, including whether it is the infrastructure cost or people cost put together?

Sagar Patil: Fixed cost becomes a relative concept. So typically for a month, you can say 60% of the cost should be fixed. However, as you go longer than a quarter, another 10% -- 10% to 15% can be variable in addition to that

Achal: Got it. That's super, sir. Thank you so much. I'll fall back in the queue for follow-up, sir. Thank you so much.

Alok: We'll take the next question from Mr. Nirmal. Please go ahead.

Nirmal: Thank you for the opportunity. Sir, we have achieved a growth in e-commerce of about 30%. I just wanted to know, was this on account of festive demand or is it like a seasonal growth that we get in Q2? And the second part of the question is, what sort of growth are we expecting in H2?

Sagar Patil: So, 30% is the growth in the ground e-commerce. And as the industry grows, we can look at playing a bigger role, but it will be difficult to assign any numbers from a future projection point of view.

Nirmal: Is this a seasonal growth that we get during Q2 in e-commerce?

Sagar Patil: Typically, this is the last, I mean, September, October, every year are a part of increase in the shipments, retail-related shipments, as well as the B2B supporting peak season. So, there will be some element of seasonality in this, as happens every year.

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Nirmal: What sort of growth was there in e-commerce in Q1? What sort of growth did we achieve in Q1 in e-commerce segment, if you can share that?

Sagar Patil: In Q1?

Nirmal: Yes, sir.

Sagar Patil: Q1 also, the surface light, we had about 30% plus 32%, in fact, in June quarter.

Nirmal: Okay, thank you, sir.

Alok: We'll take next question from Mr. Dhruv, please go ahead.

Dhruv: Yes, hi, sir. Thanks for the opportunity, sir. My first question is around the split of the B2B and B2C segment. So, if you could give the split for this quarter and also just if you could tell us, what's the growth individually in B2B and B2C?

Sagar Patil: Between B2B and B2C, it remains for this quarter 70-30, 70% B2B and 30% B2C.

Dhruv: Okay, answer growth for this quarter?

Sagar Patil: Growth for this quarter, overall, B2C will be 18%, B2B about 2.5%.

Dhruv: Okay. And sir, this 2.5% growth in the B2B segment, I'm guessing that the lower growth will be owing to the air express business and documents business, and incrementally, how we should look at the growth trajectory for the industry here? Will it continue to be less than 5% or do you think that this industry can show some uptick?

Sagar Patil: It depends on overall how the economic growth of the country, the reliance on the express with the B2C has a growth driver for some time, so that remains while the B2B is growing positive.

Dhruv: Okay, sir. And sir, incrementally, how should we think about your margin? So, you've reported a 7% PBT margin in this quarter. In the next two years or three years, if you could just guide us, is like a 200 basis points margin expansion possible or will Blue Dart hover around this number?

Sagar Patil: All the effort will be to improve the margins from the current level.

Dhruv: But I mean, a critical part would be mix or are there operating leverage levers available where Blue Dart is working on?

Sagar Patil: So, it won't be based on operating leverage, because by and large, our facilities are very well optimally utilized. However, there is also a time. So, for example, when it comes to the air capacity, we largely fly at night. At the same time, when it comes to the ground facilities, there are certain times during the day where the facilities will be utilized to the -- especially in the evenings and in the mornings.

So those peak hours at which the customers hand over the shipment and express delivery, they're already optimally utilized. So not very significant operating leverage based on fixed costs, even

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the capacity utilization already being good. So the improvement in the margins will be more of a function of yield improvement, as well as any cost improvement in terms of rationalizing the network design,

wherever the product makes, as well as the densities allows on a case -to-case at a location -to-location kind of level.

Dhruv: And so just one question on capex. So how should we think about your capex for FY '26 and for the next two years? Any significant capacity addition or freighter addition are you looking at?

Sagar Patil: Capex for us is a normal phenomenon in terms of given the large number of facilities that we have and as they come up for either renewal or they come to a level where there is a need to add capacities, we keep on adding across the locations. As far as air network is concerned, we keep on evaluating different modes of network not only for the number of aircraft but also almost on a regular basis as to how many sectors we need to fly, how many flights.

So, I mean that's a continuous exercise and depending on how the economics develops in future, we can always be looking at maneuvering our capacities be it addition or reduction or change of mix of the fleet.

Dhruv: But any number that you would want to share sir incrementally or it's going to be in the similar INR250 crores sort of INR250 crores to INR60 crores sort of that zone .

Sagar Patil: I think it's a similar kind of nature. We don't have any -- because even after we added two major facilities in Delhi, it's not that our capex has gone up very significantly. If at all the addition happens more of the ROU asset lease assets level, the capex is even for autos is not very significant if you add for a few facilities.

So the capex will be in the similar kind of range unless we find some opportunity to add anything significant currently, I mean, we'll always update the stakeholders whenever we have those kind of plans. But as of now it's the normal capex that will continue.

Alok : We'll take next question from Mr. Vipul .

Vipul: Am I audible?

Sagar Patil: Yes, Vipul.

Vipul: Okay. So on your slide number 19, you have this operating cost per kilometer. These three metrics you have mentioned in the left hand corner. So can you give those figures? Is it possible to share those?

Sagar Patil: This you are talking about the investor presentation?

Vipul: Yes, sir.

Tushar Gunderia : So what is the question, please?

Vipul: I want all those three figures.

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Tushar Gunderia : We have already uploaded investor presentation actually today. It is available on the website. So if there is anything you can always call me, Vipul.

Vipul: No. No. You have just mentioned but you have not put the numbers.

Tushar Gunderia: Numbers? So we have put, Vipul.

Sagar Patil: Numbers are mentioned in the presentation.

Tushar Gunderia: You can go through it and if there is anything you can always call me. Call me on my mobile.

Vipul: Okay, sir. Let me check.

Tushar Gunderia: Otherwise, please call me on my mobile. Or you can give me your number. I will call you.

Vipul: Sure, sir.

Alok: We'll take next question from Mr. Anshul Aggarwal. Please go ahead.

Anshul Aggarwal: Great. So question is on yields. So while, please correct me if I'm wrong, generally when surface grows faster than air, blended yields sort of blended realizations per kg sort of trend downwards.

But this quarter, despite surface continuing to growing faster than air, the blended realizations have slightly inched up. Is there something that we need to sort of build in as part of future momentum as well in yields, surface could sort of see an uptick or if you could just shed some light on this?

Sagar Patil: So when you say yield, you mean to say the margin percentage?

Anshul Aggarwal: No, per kg realizations on a blended basis.

Sagar Patil: Yes. So surface this time we had an increase in the number of shipments versus the number of.

So if you look at from a RPK point of view, realization per kg, there will be increase because we have more and more lig

hter shipments. That comes at a higher realization per kg. So that mixed within even surface would have the RPK to go up.

Anshul Aggarwal: Okay. So we have not taken any hikes or any change in pricing for surface or any product as

such?

Sagar Patil: So not in general in the market, but customer to customer case, we do keep tracking the customer profitability and wherever we see either for a customer or even for a customer within a certain lane, if there is a need for price increase, those actions would keep on happening throughout the year. But no specific big bang price increase as such besides our GPI that we have.

Anshul Aggarwal: GPI would come in from January, the coming year, right? January calendar year 2026. Alright. Second question that I had was any color on uptick in utilizations in the new freighters or Guwahati as a center? Are we seeing more of express business happening from Guwahati versus the direct port to port deliveries that were sort of doing in the previous few quarters?

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Sagar Patil: Yes. So the new freighters, they cater to not only Guwahati, but has been merged in our All India Network. Yes, we introduced or added one sector that is in terms of Guwahati. So especially after the last year, sometime in August, September, post September 24, the utilization has even after adding the new aircrafts has come back to the normal level of 85 plus percentage on a volumetric way.

These volumes into Guwahati have been at optimum utilization again in the range of 85% to 90%. Volumes from Guwahati to the rest of India has also gone up not optimum, it will be, I mean, not full, but more than 50%, 50% to 60% is what with the core products is what I'm talking about. But what we track is the overall network utilization or aircraft utilization, which has been at an optimum level, more than 85%.

Anshul Aggarwal: Got it. Just one last question on B2B business. Any particular reason why the growth has been so muted in B2B business and any particular call outs that you would want to share with regards to strategy in the B2C business? Why has the growth sort of accelerated in B2C, whereas in B2B, which is predominantly sort of a bread and butter business, we are seeing such muted trends?

Sagar Patil: So B2C remains the growth driver and within B2B as well, surface keeps growing faster. Probably the improvement in the transit times with the GST, EVB related movements has also been making ground more efficient. So that is where for us also that has been the area or that has been the mode where we grow faster.

So when you combine B2B as a mix of both surface and air, where air is a higher realization in the pricing, whereas ground is a lower realization in pricing. When the ground grows faster versus air, the blended mix of the two would seem as if B2B is growing slower than the B2C. But it's more of a mix change that is also happening over there.

While from a percentage margin point of view, ground also remains as profitable as air, but as a mix in terms of yield per kg, it would show as if B2B is growing faster or slower as compared to B2C because of this change in the mode there.

Anshul Aggarwal: Sorry, I didn't quite get that. So when ground grows faster, does B2B grow faster or B2C grows faster?

Sagar Patil: Ground is also a B2B product. Our surface B2B is also a ground product. So B2B is a mix of documents as well as air B2B movements as well as the surface B2B. And within these three products, surface B2B has been growing faster. .

Anshul Aggarwal: In that sense, did air degrow in the B2B business, in the current quarter? Because the overall B2B growth has just been 2.5%.

Sagar Patil: Yes. And within that, the surface has stood at 3.5%. Though the number of shipments has grown by 23%, the number of lighter shipments has gone up in surface B2B. So, the revenue growth is 3.5%

Anshul Aggarwal: For surface, got it. Yes. Thank you so much.
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Alok: We'll take next one from Krupa Shankar.

Krupa Shankar: Thank you for the follow-up, sir. One question. So, what we are picking up is that on the e-commerce side, the realization has increased per shipment. So, is that something which you've also seen over the last quarter or so?

Sagar Patil: Sorry, come again, over the last quarter?

Krupa Shankar: So, the price per shipment in e-commerce, what we are picking up is that for the industry, it has gone up on a YOY basis. Is that something which we are also seeing, given that growth in B2C, shipments have also been good. But if you look at overall shipments, it's been up 10%. So, have you seen an increase in realization on Y-o-Y basis in the e-commerce business?

Sagar Patil: So, if you are talking about versus last quarter, which is June '25.

Krupa Shankar: Yes.

Sagar Patil: We do not see any significant increase in the yield because our GPI cycle is typically during the year. And any change in the yield would be a function of more of customer or lane mix than the price increase.

Krupa Shankar: So, what I meant was last year, September quarter.

Sagar Patil: Okay. Last year, September quarter, the -- again, there would have been a GPI that would have been done in most of the customers. However, depending on the customer mix, the number may or may not show the same type of increase. So, effectively, I don't see a very big increase in the realization, though we would have done the GPI for the customer, the customer mix, so if they are -- if there are a smaller trade lane or a lower price customer grows faster, then the overall yield may not show an increase at the product level.

Alok: We'll take a couple of questions from the chat. Also, one question is on the GST cut impact. So, have we seen any visible improvement in the volume of cargo after the GST cut? And do we see some really material improvement coming in Q 3 because of that?

Sagar Patil: So we did see some uptick in the last 10 days of September. However, difficult to segregate whether it was on account of GST or it was on account of peak on account of the festive season coming in the early October. But yes, we did see increase.

Alok: Okay. And also on the aircraft utilization. So, at this stage, what would be the utilization levels be of the of the aircraft capacity, which we are having, including the old and the new ones?

Sagar Patil: So, in terms of capacity, it is a function of how many hours you fly. So, and that is where when I think last time also in -- there was a question with respect to the capacity quoted in the annual report remains same. So, what we think there has been a capacity of 500 plus tons and that remains in the height.

I mean, it has increased, but it is still between 500 tons and 600 tons as such. So, it's a function of how many sectors and how many hours you fly the aircraft. So even after adding those two

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aircraft, we have continued to show 500 plus tons because it has gone from 500 tons per day to 560 tons per day. But in -- it's not a physical capacity of the aircraft, but how much do you fly?

Alok: Got it. Sir, we'll take one question from Mr. Achal.

Achal: Yes. Sorry, I just got a little bit perplexed with this. You said B2B, B2C is 70 -30. Growth in B2C was 18% and B2B was 2.5%. These are revenue growth number or volume growth number, sir?

Sagar Patil: Revenue.

Achal: So if I do a rough math, I get a blended revenue growth of about 13%.

Sagar Patil: Blended revenue growth of 13%, this is for the quarter.

Achal: For the quarter. Sir, 18% into 70% and 2.5% into 30%.

Sagar Patil: You can do the math again. These revenue for B2C has gone up by 17.9% and 2.5% is the growth in B2B revenue and th

e blended is 6.6%.

Achal: Okay. My bad. Actually, I mixed it up. Okay. Sorry. So second question I had was with respect to the price, if you were to give us some indication in terms of for a same per kg shipment, how much would be air and how much would be surface typically for any particular leg or sector, if you could quantify?

Sagar Patil: It will be actually very subjective for the given weight break. So if you send a small shipment, then the RPK will be very, very high it will look like because over there the shipment is the service element of the cost goes up. It will not be appropriate to quote any number because the variation across weight break and across the sector will be very significant.

Achal: Right. No, I'm checking from the customer perspective. If he has to decide between whether he wants to do air or surface movement, what would be the cost difference from their perspective?

Sagar Patil: So for a customer, the shipment of 20 kilos, when it is sent on air, it may cost five times higher than when it is sent on ground.

Achal: Okay. Understood. But as you said with the improvement in the infrastructure, whether it is EV bills or GST or road infrastructure, etcetera, more and more cargo is being moved on road. So there is a yield pressure, but the cost is also low, but the percentage margin is similar. Have I understood right, sir?

Sagar Patil: Percentage of margin is similar and yes as the customers improve their own infrastructure or their ability to forecast, the need for utilizing a costly mode of transport will be less. So, we don't move as such, I would say cargo on air, it's more of air shipments which are more time critical than freight.

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Achal: Got it. Understood. And in terms of the competition, are you seeing further intensity actually increasing with respect to air or things are as they were, what they would say a year back on the air front?

Sagar Patil: We don't see a big change over there. We do have the advantage of having our own fleet, so we have a control on what we carry and how fast, I mean, we can carry it consistently without worrying about getting offloaded. So , from that point of view, there is a very significant advantage that adds to our credibility and that kind of structure remains in the industry.

Achal: Got it.

Sagar Patil: I don't see a big change.

Alok: Thanks so much. So we are almost at the end of the session. So , I'll just hand over the call to the management for any closing comments.

Tushar Gunderia: No, nothing specific from our end. So , if any of the investor would like to know any further details or clarifications, they are always welcome to approach Sagar or me and we'll get back to you.

Alok: Thank you.

Tushar Gunderia: Thank you for setting up this call and thank you all of you. And Mr. Vipul Jain, you can call me back.

Sagar Patil : Thank you.

Tushar Gunderia: Okay. Thank you.

Call: Feb 2026

February 13, 2026

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort

Mumbai – 400 001

Scrip Code - 526612 To,

National Stock Exchange of India Ltd

Exchange Plaza, C -1, Block G

Bandra Kurla Complex, Bandra East,

Mumbai – 400 051

NSE Symbol - BLUEDART

Sub: Transcript of analyst/ investors conference call - Disclosure under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015

Dear Sir/ Madam,

We refer to our intimation dated February 3, 2026, notifying on the schedule of 'Investors Call' organised through M/s. Motilal Oswal Financial Services Ltd. on February 9, 2026, to discuss the corporate performance for the quarter and nine months ended December 31, 2025 and audio recording of the same submitted on February 9, 2026.

Pursuant to requirements of law, please find enclosed herewith, transcript of the Investors call which is also made available on the Company's website viz; www.bluedart.com.

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For Blue Dart Express Ltd.

Tushar Gunderia

Head (Legal & Compliance) &

Company Secretary

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February 09, 2026

MANAGEMENT : MR. SAGAR PATIL -- CHIEF FINANCIAL OFFICER --
BLUE DART EXPRESS LIMITED

MR. TUSHAR GUNDERIA – HEAD –(LEGAL &
COMPLIANCE) & COMPANY SECRETARY -- BLUE
DART EXPRESS LIMITED

MODERATOR: MR. ALOK DEORA – MOTILAL OSWAL FINANCIAL
SERVICES

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Alok Deora: Good afternoon, everyone, and welcome to the interaction with the Senior Management of Blue Dart Express. So firstly, I would like to thank the Management for giving us opportunity to host the call. So today, we have with us Mr. Sagar Patil, CFO, and Mr. Tushar Gunderia, Head of Legal & Compliance and Company Secretary. I would now hand over the call to the management for some opening comments, and then we can take the Q&A. Thank you, and over to you, sir.

Tushar Gunderia : Hello, good afternoon, everybody. Thank you, Alok, and a very warm welcome to all of you. As you are aware, the Board of Directors of the company in its meeting held on 30th January 2026, approved the financial results of the company for the quarter and 9 months ended 31st December 2025, and the company declared its financial results for the quarter and 9 months ended 31st December '25, wherein the company posted revenue from operations of INR 16,161 million and profit after tax of INR 700 million for the quarter ended December 31 st, 2025.

Blue Dart's quarterly performance reflects resilient domestic demand with meaningful contributions from Tier 2 and Tier 3 markets and steady SME shipments activity, supported by strong execution discipline across the network. During the quarter, Blue Dart Express continued to invest selectively in strengthening its operational and customer -facing capabilities as part of its long -term capability building strategy .

The company operationalized its flagship green integrated hub at Pataudi, Haryana, enhancing linehaul connectivity, network efficiency and service reliability across North India. The results have already been uploaded on the stock exchange website and also posted on the company's website. I now hand over the call to Mr. Sagar Patil, CFO, for further proceedings. Thank you.

Sagar Patil: Yes. Good afternoon, all. So this is the quarter wherein we have closed with the growth of revenue at around 7% and also improvement in the profitability levels. There has been an exceptional item, as you would have noticed in our quarter results reported. So we seem to be on a -- continuing on the trajectory of steady growth with also improvement in profitability in last 2 quarters. So with that background, I would suggest we can start the Q&A session.

Alok Deora: So we'll take first question from Mr. Krupashankar.

Krupashankar : So sir, my first question would be more on bookkeeping question. Just wanted to get what would be your tonnage for the quarter as well as the details that you gave around parcels would be helpful ?

Sagar Patil: Yes, sure. So tonnage for the quarter is 374,884 tons. And number of shipments, 107.4 million.

Krupashankar : Okay. So clearly, the trend of shipments growth being faster than the tonnage growth is reflecting. I think tonnage...

Tushar Gunderia : Yes, Krupashankar, you can be a little louder ?

Krupashankar : Sure, sure. So what I was saying is that the trend of parcel growth has been faster than the tonnage growth. So just wanted to get a sense of what are the key growth areas? So has e-commerce continued to outperform the overall growth? And if so, what has been the growth rate over there?

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Sagar Patil: Yes. So e-commerce has continued to be the driver for both in terms of shipments as well as overall their share in terms of tonnage as such. And both at the e-com air as well as e-com light surface level. Nevertheless, e-com light surface has been growing -- continuing to grow at a much faster rate as compared to e-com air.

Krupashankar : Any numbers around what would be the contribution of B2C or e-commerce this quarter? And how has ground performed? Can you comment something on ground's overall tonnage growth this quarter?

Sagar Patil: So e-com has continued to be at around 30%, 31%

in this quarter of the overall revenue. And

ground also this quarter, slightly lower than is 28.6%. We typically say it's in the range of 30%.

So the share of ground -- when I say ground surface B2B is at around 28.6%, yes.

Krupashankar : So I think the ground growth this quarter has been relatively lower. Just want to get some sense, sir, because post the GST rate cut, we were hearing that the tonnage growth in ground was quite good. Your thoughts around that? And how do you see the ground piece going up, given that you have commissioned 2 large infrastructure over a period of 1.5 years. So your thoughts around these?

Sagar Patil: Yes. So ground as compared to e-com air and light surface that we saw, the surface is slightly slower. Again, in terms of the new facilities that we have, what we opened in Gurgaon, this is - besides growth, this is also largely in terms of consolidation of multiple facilities there. So not only for growth, but also a consolidation or replacement of the existing space.

Krupashankar : Got it, sir. And with respect to the trend going ahead, are you seeing north of teens sort of growth coming in ground because clearly, you're adding a lot of capacities in the ground infrastructure point of view. Just wanted to get some sense if that's something, which is a fair expectation given that the industry is growing at, let's say, about 12% to 15%?

Sagar Patil: yes, ground will continue to be the growth driver and the facility that we bring in, what we brought in, at Gurgaon has been a ground hub, which caters to both B2B surface as well as e-com light surface, so the light packages that we move on ground. So both these 2 products are expected to be the growth drivers.

Alok Deora: Sir, we had one question regarding the margins. So the margins have actually been pretty strong. So what has led to that? And whether that is there any one-off in that? Or would we see these kind of margins kind of continue going ahead?

Sagar Patil: The margins for this quarter were related to the festive period, though the festive period was split between the earlier quarter, that is September being also a strong month as well as October and November as well as December continued to be strong. So definitely, there would be a benefit of the light parcels moving in larger volumes. And yes, as I said, since this is going to be -- expected to be the growth driver, we will work towards keep maintaining or improving the margins.

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Alok Deora: Got it. So any guidance on what kind of volume growth we could see going forward? And also on the broad margin range, whether we are almost at this now stabilized margin or we'll see some further improvement from here?

Sagar Patil: So we will not be able to forecast. However, we'll work towards improving the margins further.

Alok Deora: And anything on the volume, sir?

Sagar Patil: Volumes, yes, the e-com light surface as well as surface have been the growth drivers, so while

the other products will also continue to grow. But largely, we see these growing faster than the other products.

Alok Deora: Got it. We have one question in the Q&A box, so I'll just read it out. If the B2C or the e-com is growing faster and the overall growth is single digit. So does it mean that the traditional business is kind of declining at a faster rate. And what will be the realization difference between the 2? And when will the e-com growth start making the overall growth look better.

Sagar Patil: The other products, which are traditional documents or air products, international or as well as e-com, they also continue to grow, however, at a lesser rate. So from the margin perspective, all the products more or less are on a comparable margin. So while the yield would be lower and that is where the growth would seem to be lower because in terms of -- in case of ground while

the percentage margin can be on the similar percentage levels, but because the yield is lower than air products, the growth over there in terms of -- as a revenue would seem to be lower as such.

Alok Deora: Got it. And sir, one more question in the chat window. So now we are seeing very strong growth coming from some of the peer sites also, like Delhivery has shown a very good number. Our number has also been pretty good. But there are some section of players who are not kind of showing much growth. So is the industry also moving towards some bit of consolidation and where the larger players are getting a higher market and the smaller players are kind of -- or mid-sized players have continued to kind of lose market share? Just your thoughts on that.

Sagar Patil: I think while we generally call this as a domestic or an express product, each product has its own strong holds product mix as well as the way we service our customers either in terms of capacity or service or the price levels and such. So per se, we'll not be able to compare any of the 2 competitors as apple-to-apple. Nevertheless, given some of the consolidation that has happened in the recent past, there will be .

I think, a better ability to avoid any price-related actions to acquire additional business or volumes. I think overall, given the consolidation that has happened, there would be a better opportunity to realize better price points to charge for the value being delivered.

Alok Deora: Sure. We have some more questions. I'll just read it out. So what's the capex number for this quarter? And what's the number packed for FY '27 for capex and which key areas, it is being targeted for? That's the question which we had.

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Sagar Patil: So largely, our capex is in the nature of either replacement or renewal or element of expansion in that. Again, with the accounting standards, the leased assets are also treated more like a capex .

But okay, keeping aside the lease part, our capex is typically in the range of maybe INR100 crores to INR150 crores, expected to remain in the same kind of range .

Again, largely towards expansion or replacement of the existing facilities, given that we are already present all across India. So it typically involves a large number of smaller or medium level facilities, which are being either upgraded or expanded or replaced.

Alok Deora: Got it. So actually, we had a follow-up question. When you had mentioned 28.6% for the quarter, was it only B2B or includes B2C also?

Sagar Patil: This was B2B only. Including B2C, it would be about 42% share of ground revenue, and air will be about 53%. So you can see that the share of ground is slowly increasing.

Alok Deora: Got it. I'll just take next question from Krupashankar.

Krupashankar : Just because you mentioned ground has reached about 42% and air is at 58%, just wanted to get a sense around the capacities, which were deployed in Guwahati for air, so it's an overarching question. Do you see the growth in air business to be flattish to 3% sort of over the medium term? And is that something which is likely? And your capacities can get underutilized. Is that some of a threat you believe can happen?

Sagar Patil: Not exactly related to question. See what happens in case of air, our capacity, we measure and monitor mainly in terms of the pallet utilization and not aircraft utilization, given that the aircrafts are supporting the existing express business, which fly essentially at night. So as an aircraft capacity, there is always possibility to increase by 100% if we start flying throughout the day. But that is not the case.

In our case, this is more of supporting the Express business, catering to the overnight movement of the shipment so that what we pick up in the evening can be delivered next day morning. And given the number of fleet size that we have and the network

that we have, there is an element of

flexibility that we can act on almost on a day-to-day basis, adding or removing a particular flight or at times particular sector.

So our pallet utilization remains at around 85% to 90% for a volumetric weight kind of level.

We also use a good amount of commercial passenger airline capacity, not only in our own 8 stations that we are in, but also more than 25 other locations across the country. So unless the

air volumes grow very significantly at a very higher level, we may not have to add any additional routes or runs for that matter.

However, on an ongoing basis, whether the growth in air is 3% or even it can go up to 15%, it can be very well handled through the commercial airliners. So the function of air growth is not essentially on an ongoing basis to do with the capacity utilization of the aircraft. But yes, last few quarters, we have seen that air volumes are growing at a slower pace also because we also have a very good efficient ground network.

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And to our existing customers, we are able to provide a choice between both air as well as ground depending on their urgency, the criticality of the shipments as well as the -- of course, when it comes to retail customers, what kind of promise they have for their customers on the portals.

Krupashankar : Got it, sir. Got it. And the price hikes, which you had taken starting January, just wanted to get a sense around what has been the effective pass-through? And do you see that you will be able to realize about 4% to 5% increase this year?

Sagar Patil: Yes. I mean, January price hike is part of this quarter. And then it will -- of course, sometimes takes some time to realize, but we'll get to see the clear picture at the end of this quarter.

Krupashankar : Understood, sir. So just wanted to get a directional sense, no hard numbers. I just wanted to see if customers are ready to take -- absorb increase in prices and how are the sentiments, especially after you've seen a good third quarter. So just wanted to gauge that sentiment from you.

Sagar Patil: Yes, yes. I mean it's still work in progress, I would say. It will span over the quarter. So yes, we'll see the results, the proof of the pudding when it's ready at the end of the quarter.

Tushar Gunderia : Krupashankar is an investor since last many years, right? Krupashankar?

Krupashankar : Yes, sir. I've been covering the stock for quite some time. Yes, 10 years.

Alok Deora: Yes. We'll take next question from Shivam Agarwal.

Shivam Agarwal : First of all, I would like to know, sir, you have mentioned in the ground B2B, you have a 28.6% market share and a 42% in the ground total consol market share. So I would like to know if B2C market is growing faster than the B2B and broad-based demand outlook in B2B and B2C market. Just wanted to know about this.

Sagar Patil: Yes. I mean the intention is to grow faster, both in surface, ground B2B as well as ground B2C.

And we do see that -- I mean, we have -- that our growth -- volume growth is in general higher than the industry growth that is being quoted in public domain as such. So again, the B2C market space is split between captive players and others, same way, surface B2B, it can be -- there is a fair amount of share also probably coming from unorganized sector. So it will be difficult to comment on how or how much we are gaining the market share or not. But yes, we are growing faster there.

Shivam Agarwal : Sir, just one last question. What's the demand outlook are you seeing in the B2B and B2C market?

Sagar Patil: How is the demand?

Shivam Agarwal : Demand outlook. What is the demand outlook in the B2C and the B2B market?

Sagar Patil: I mean we see in general customers growing. And how much we get out of that, again, a function of how much are we doing in terms of lane-wise, how do they see the pricing at a la

ne-to-lane

level, how much share of wallet does the customer play around. So based on how our business

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is panning out, in general, difficult to estimate as to how the demand is panning out, but we see a lot of positivity, customers also being very positive in terms of the growth outlook provided.

Alok Deora: Sir, we had some questions in the chat box. So one is -- so actually, first, we'll take from the audio only, then we can take the chat box. Yes, please go ahead, Vikram.

Vikram : Yes. hopefully I'm audible.

Sagar Patil: Yes, Vikram.

Vikram : Sir, how is the cargo daily capacity available to us and how much we are using that? And for only one competitors or other players. So if you can give some sense on that, how it is growing?

Are we seeing some mismatch over there, that would be helpful.

Sagar Patil: Daily capacity of air you mean to say?

Vikram : Yes, daily cargo capacity of other airlines?

Sagar Patil: See, daily cargo capacity, theoretical, given the number of hours we are flying and the theoretical capacity that we have, it would be moving between 450 to 550 tons per day, depending on which routes and which flights we operate. And as I said, it's quite flexible based on the day-to-day forecast of the flights as well as the capacity available. Again, between 20% to 40% of the revenue, we also fly on commercial airlines. So it's quite a flexible kind of model that we have. In terms of our ground capacity, it's completely variable. So the vehicles that are being plied on the road are quite optimum to the capacity.

Typically, we have a mix of both scheduled fleet as well as additional fleet. So depending on the -- so we do get an indication as to how many additional trucks on which routes we may have to fly for the day, a few hours in advance. So again, there is no unutilized capacity when it comes to the fleet capacity as such. Of course, there will be return load. So if a truck is going from, say, West to East, the trip which is coming back from East won't be 100% utilized, but then it is also important to get that vehicle back as well as the loads which are being picked up in East to come to the western part of India to meet the transit times or the customer promises. So that is as far as middle mile is concerned.

When it comes to the first mile, last mile being our hubs as well as the service centers or the pickup and delivery centers, given the large number, there would always be multiple cases of over and under capacity utilization depending on when we have put up and what is the growth trajectory that has been forecasted. But by and large, the machine is running at a close to optimum kind of level with a good amount of flexibility built in for any additions or additional loads to be serviced. So to give an example, our volumes go significantly higher in case of, say, the peak seasons, which is the second half of the year.

And given the optimum utilization of the existing facilities, we do take facilities for a temporary period of 2 or 3 months depending on how the festive or the peak season is expected to pan out during the quarters. So there is no significant or unutilized capacity in general. The network as well as facilities are placed in a way that there is a close to optimum level that we operate at.

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Vikram : Okay. Got it, sir. Am I audible?

Sagar Patil: Yes.

Vikram : Okay. Sir, was there any positive impact on us what happened with IndiGo and other airlines cutting down their schedule?

Sagar Patil: Sorry, I didn't get the question. Can you be a little slower, there is a little bit of echo that is...

Vikram : Was the positive impact on us what happened to IndiGo and other airlines cutting down their schedule?

Sagar Patil: Positive impact of IndiGo, yes, there would have been cases where any scheduled flight, if the

schedule gets disrupted, then the customers would typically have contracts with different service providers. So they would also be quick enough to shift the load, but not that very significant to kind of to make a big difference for the quarter.

Alok Deora: [Operator Instructions] Sir, we'll take some pending questions from the chat. So now after several quarters, have we now seen the aircraft stabilized, the newly added 2 aircraft? Or is it still some bit of stabilization could further happen from here? If you can highlight on the capacity utilization, basically of existing and new aircrafts?

Sagar Patil: So when we added the aircraft, it's a small addition to the overall bigger network that we had. So it's not that these 2 aircraft got added and completely new network was -- I mean the sectors were added. They were merged in the entire big setup that we have, barring addition of Guwahati, which was more of, I would say, an extension of the network to see how the volumes kind of pan out.

So yes, in the initial period when we were moving our commercial loads that had increased in the year '21, '22, '23, they were absorbed in this aircraft. We also increased the -- I mean, as the new aircraft or the new schedule of all 8 aircraft stabilized, barring first 2, 3 months where we had a -- we took some time to catch up. But from September '24, I think, the utilization has been at a normalized level of 85% or so at a volumetric pallet utilization level.

Again, it's not that 8 aircraft, 6 plus 2, these are being plied on a day-to-day basis. There are cases where we do 5 plus 1 or 6 plus 1 or sometimes 6 plus 0, depending on when these aircraft go for either servicing or some maintenance or on a weekend or a holiday season, or wherever we see a dip in volumes forthcoming ahead of a week -- based on whatever reason it could be. So to answer your question shortly, yes, these aircraft is a part and parcel of the day to day flying of the network. At the same time, we have also been increasing our utilization or buying of the commercial air capacity. With the capacity also going up in general in market, we at times see opportunities where we may drop at times on some of the sectors and instead of using all the aircraft, we can also rely on the commercial airline wherever we either find the cost impact is either neutral or positive.

Alok Deora: We'll take the next question from Mr. Anshul Agrawal.

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Anshul Agrawal: Sir, first question, would you be able to give us the growth numbers for the products that we have? Any numbers would be helpful, say, what would be the ground, surface business have been or air or even if you can break that up as well, that will be pretty useful.

Sagar Patil: Normally, we don't, barring the couple of products, which are the main on the radar. So like I

mentioned, the e-commerce light surface would have grown by about 26% in terms of shipments or 25% in terms of revenue and surface at about 22% in terms of shipments. Otherwise, we don't generally report the numbers by products because the products are also at times when you say air or ground.

These do not necessarily move on air or ground, but it is more of a function of promised transit time to the customer. So we'll be incorrect to call them air or ground. These are all express or courier products as we report.

Anshul Agrawal: Sure. So what I was trying to understand was in surface light trend, B2C surface has grown faster and similar for air. Overall, air would have grown by how much? And same for surface? Would that classification or that bifurcation be available with us?

Sagar Patil: So that's what, calling them air and surface, at all products put together would not be appropriate.

That is why we do not differentiate or report the numbers by air and surface.

Anshul Agrawal: Okay. Second question, sir, that I had was on our margins,

I think a few quarters back, you had

mentioned that surface might be slightly dilutive in terms of margins versus air or the product-wise, would that hold true even for e-commerce versus traditional or B2B products?

Sagar Patil: Largely, the surface -- I mean, all the products, be it B2C or B2B, would carry similar level of margins, whether it is air -- carried on air or ground, in terms of percentage to revenue. But yes, per shipment, air would typically be higher because of the higher yield per kg that we get.

Anshul Agrawal: Understood. What I'm trying to understand, sir, now because of seasonality e-commerce volumes would have been higher in the current quarter, which typically would see some dip in Q4, whereas B2B would see some uptick in the next quarter. Would our margins get impacted because of this? Or we foresee margins to be fairly stable irrespective of the product. That is what I was trying to understand.

Sagar Patil: No specific impact because even during the peak season, while we incur higher costs because of certain temporary facilities that we hire, the increased volumes take care of it, so there is no significant impact. I mean, whatever you see in the quarterly margins, that would be similar across 3 products.

Alok Deora: [Operator Instructions] Sir, few questions there in the chat box. So sir, one is on the price hike which you have taken. So you briefly indicated that it's in process. But how much on a blended basis do we really expect to come through from the 9% to 12% price hike, which we have announced in October. So effective January, that was the price hike, right, so it's almost 1.5 months now. So as per your assessment and discussions with the customers, what's the blended price increase you could be targeting here?

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Sagar Patil: Difficult to quote the exact number because we do go to the customers in this range. Nevertheless, sometimes, the customers would trade higher volume for the price or sometimes the customers would also temporarily divert some of their business before coming back. So again, to regain that business, we may go back and renegotiate as such. So this process would go on for a few months sometimes for some big customers, etc.

Again, given the diverse, I would say, product types that we have, starting from small envelope of document to a 50 kg 100 kg per shipment kind of profile customer, there would be various other criteria, whether you look at rupees per shipment or rupees per kilo as well as different products as well as different customers as such, so very difficult to pinpoint. But yes, what we drive at an individual customer level to start with is 9% to 12%.

Alok Deora: Got it. And sir, one of the question is related to your comment during the call. So if ground has grown at more than 20% or so, and overall shipment growth is as per the volumes, which you gave is around 9%. So does that mean that the air has declined quite materially actually in this quarter on a Y-o-Y basis?

Sagar Patil: Not really. Air is more or less stable, I would say. It's positive, but not declined.

Alok Deora: Got it. Because if we just do the mathematics, it comes to a pretty muted growth for air if we just try to add the numbers.

Sagar Patil: Yes, but it's positive, it's not negative.

Alok Deora: Okay. And tonnage and shipment numbers, you've already kind of mentioned. And sir, just on the outsourcing bit. So some of the bigger peers have been commenting on how the in-sourcing of logistics is kind of now picked out and the customers and e-commerce companies would be more going for outsourcing of their logistics requirement. So just your thoughts on that, have you seen any change from some of those customers who had started in-sourcing or increase their in-sourcing and now again, moving back to giving a decent share to 3PL players.

Sagar Patil: I think our

share with those major players would not be very significant because we would typically service not so price-sensitive, but service sensitive products, which are of a premium category or so. So in the overall game, including the in-source player, our share would be much

smaller as such. And a large part of our customers would be more of B2C or the brands, et c. Not something very significant that I can talk about.

Alok Deora: Got it. Sir, one question, again, was on the margins. So several quarters back at one of these calls, I mean the team used to mention about margins can reach a range of like 12% to 13% on the upside. So does that number still hold or it could do even better than that considering how we are able to now scale up the margins and once the aircraft has stabilized and growth is also coming back?

So do you think what could be the peak margin? I'm not really asking for any specific number, but what could be the broad range, if you could indicate or broad number where we could see these margins have potential upside there?

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Sagar Patil: Yes, we can target that level of margin, but see the 12%, 13% that we saw, post -COVID impact that we have seen. But the way we are also trying to devise or improve the margins, not impossible to get to those levels of margin in the medium to long term, I would say.

Alok Deora: Got it. So I think, yes, I think we are largely done with the questions. We'll just take one last question from the chat window only. So it's again related to some sort of guidance only. But if you just ignore the number, but in air and ground, what could be the growth outlook? Can air still do 8% to 10%, which has not been the case for this quarter at least?

So can air grow at around 8%, 9%, which you have been mentioning in a normalized scenario that it can grow at around that level? And what about the ground growth? Since we are on a low base, we have grown around 22%. So can this 20% plus growth continue for some period at least?

Sagar Patil: It can. I mean we are one of the major players in air when it comes to express products. And given the recent flip that we are getting on the economy, on the tariff fronts and all, I think it always -- it is possible. But then can't really comment or commit about any percentages that can come in.

Alok Deora: Sorry, just one follow-up on that. So this GST cut, which had happened, have you seen any big impact due to that? And do we really see that positive impact continuing? Or was it restricted to largely this quarter only?

Sagar Patil: We saw both positive and negative impact of GST cuts, like in September while we build the resources for first couple of weeks till 22nd of September, we saw a muted movement. But at the same time, the last quarter -- or last week of September, we saw the volumes increasing. To an extent, it continued in October.

From our industry or the volume, the customer that we see, we have not seen very significant continuation of that impact. It might be there for the larger FTL kind of movements or the industries where we are not servicing as much. But otherwise, I mean, we don't see significant impact continuing after maybe a couple of months.

Alok Deora: Got it. So I think those were the questions, sir. I would just like to hand over the call to you for any closing comments.

Sagar Patil: Thank you all for your questions and comments. As I mentioned, this is -- I mean ours is a business where we continue to work with a stable network, not very significant ups and downs.

The idea is to improve the business while growing kind of organically. And we expect the process of improvement will continue, and hope to improve the numbers better in the coming quarters. That's all from our side. Thank you.

Alok Deora: Thank you. Thank you so much.

Tushar Gunderia : Alok, thank you so much for arranging the call. Thank

you, investors.

Alok Deora: Thank you. Thanks, everyone, for joining. Thank you.

Call: May 2026

May 18, 2026

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort
Mumbai – 400 001
Scrip Code - 526612

National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
Bandra Kurla Complex, Bandra East,
Mumbai – 400 051
NSE Symbol - BLUEDART
Sub: Transcript of Earnings Call - Disclosure under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015

Dear Sir/ Madam,

We refer to our intimation dated May 9 , 2026, notifying on the schedule of ' Earnings Call' organised through M/s. Motilal Oswal Financial Services Ltd. on May 13 , 2026, to discuss the corporate performance of the Company for the Quarter and Financial Year ended March 31, 202 6 and audio recording of the same submitted on May 13 , 2026.

Pursuant to requirements of law, please find enclosed herewith, transcript of the Earnings Call which is also made available on the Company's website viz; www.bluedart.com .

Kindly take the same on your record s.

Thanking you,

Yours faithfully,
For Blue Dart Express Ltd.

Tushar Gunderia
Head (Legal & Compliance) &
Company Secretary

"Blue Dart Express Limited
Earnings Conference Call "
May 13, 202 6

MANAGEMENT : MR. SAGAR PATIL – CHIEF FINANCIAL OFFICER –
BLUE DART EXPRESS LIMITED
MR. TUSHAR GUNDERIA – HEAD (LEGAL &
COMPLIANCE) AND COMPANY SECRETARY – BLUE
DART EXPRESS LIMITED

MODERATOR : MR. ALOK DEORA – MOTILAL OSWAL FINANCIAL SERVICES

Alok Deora : So, good afternoon , everyone and welcome to the interaction with the senior management of Blue Dart Express. So firstly, I would like to thank the management for giving us the opportunity to host the call. So today, we have with us Mr. Sagar Patil , CFO; and Mr. Tushar Gunderia , Head of Legal Compliance and Company Secretary, Blue Dart Express.

I would now hand over the call to the management for some opening comments, and then we can take up the Q&A. Thank you, and over to you, Sir.

Tushar Gunderia: Yes. Thank you so much, Alok, and good afternoon, everybody. A very warm welcome to all of you. As you are aware, the Board of Directors of the company at its meeting held on 9th May 2026, approved the financial results of the company for the quarter and financial year ended 31st March 2026.

The Company reported revenue from operations of INR 6,141 crores compared to INR 5,720 crores in financial year 2024-25 and profit after tax for the year stood at INR 240 crores. For the quarter ended 31st March 2026, revenue from operations stood at INR 1,533 crores, while profit after tax stood at INR 43 crores.

In a fiscal year shaped by challenging customer expectations and changing customer expectations, continued growth in digital commerce, strong domestic consumption and a dynamic operating environment, Blue Dart Express delivered year -on-year revenue growth supported by sustained momentum across e -commerce and B2B Surface Express solutions. The Company continued to strengthen its integrated air and ground network, enhance operational efficiency and expand solutions aligned to the needs of business across India.

The year also saw a dynamic cost and regulatory environment, including the implementation of the wage code and related changes across labor and security frameworks. Blue Dart remained focused on compliance, employees' welfare, productivity enhancement and network efficiency, at the same time, continuing to protect service quality and customer commitments. The results have already been uploaded on the Stock Exchange website and has also been posted on the website of the Company.

I now hand over the call to Mr. Sagar Patil , our CFO, for further proceedings. Thank you.

Sagar Patil: Thank you, Tushar. Good afternoon, all. So , we have closed this financial year with about 7% growth in revenue for the year and as well as a similar percentage increase in the PBT before the one-off that we had of exceptional item on account of Labor Code . This as far as the quarter is concerned, we have a similar growth, which is about 7% rather 8% plus in the revenue, while there is a drop of about 17% in the comparable PBT before exceptional items for the quarter. There is no exceptional item for this quarter.

So, the Company has continued its steady growth trajectory in the times where the product profile, seasonality, a number of variables that act not only with the customers but also in the external factors. So, the Company continues its profitable journey with, of course, mandate to improve the profitability of Blue Dart.

So with that, I would request to open the floor for questions. Thanks.

Alok Deora : Sure. Thank you so much for the opening comments. So we'll start with the Q&A. So anyone who has any question can please raise your hand or post it in the chat box below. So we'll get started. So first question, we'll take from Mr. Krupashankar. Please go ahead.

Krupashankar: So, Sir, first bookkeeping questions of what would have been the tonnage for the quarter and for the full year, Sir, if you can share that first?

Sagar Patil: So tonnage for the quarter is 359,913 tons for the quarter.

Krupashankar: Got it. So for the year, I think it sums up to close to about 1,439,000 round about, right?

Sagar Patil: Yes.

Krupashankar: Okay. So roughly about 7% growth in the overall tonnage, which you mentioned. Just wanted to get a sense, Sir, so

now this quartersorry, also on the parcels, total parcels for the...

Sagar Patil: Parcels for the quarter, we were 96.17 million. And for the year, 403.98 million.

Krupashankar: Got it, Sir.

Sagar Patil: Yes, just to extend because you gave insight about the weight, growth for the year is about 7%, 7.1%. For the quarter, it is 4.6%.

Krupashankar: Got it. So Sir, just getting a sense this quarter around, you did see a good growth coming in, in e-commerce piece across the industry. For us, how did you see the e -commerce piece evolving B2C part of it? And overall, also in Ground Express, what would have been the growth generally?

Sagar Patil: E-commerce, especially e -commerce on ground continues to be our growth driver, including the surface on ground as such. While the e -commerce on air has been steady, not very much too much growth over there. But yes, e -commerce and ground remain the drivers for growth.

Krupashankar: So, what I wanted to know is more on growth rates in the respective segments because overall, the growth rate has been about 8% for the quarter and we did see that you had taken certain hikes

from January onwards. But volume -wise, again, tonnage -wise, it's been fairly similar to your overall revenue growth as well. Just wanted to get a sense around if I were to further break it down, is it because the ground and ground e-commerce proportion has gone up, which is why our realization are looking flattish?

Sagar Patil: In terms of yield per kilo, yes, when it comes to ground, while the margins may be comparable, but when it comes to per kilo or per shipment realization, ground is lower than the air.

Krupashankar: Yes but we were able to pass or rather implement to a certain degree the price hikes which you have taken from January onwards. Is my understanding correct? And to what extent has this result showcased the extent of increase in realization because of the hikes which you have announced earlier?

Sagar Patil: Yes. So we did GPI from 1st of January, and it has been a little better than what we had last year as such. So it has provided a positive impact, helping us to mitigate the impact of the year-on-year inflation levels as such.

Krupashankar: Any percentage you want to share, Sir?

Sagar Patil: Very difficult to quote a specific percentage because it would be on the products as well as the underlying business channels would not be comparable as such. So...

Krupashankar: No, no. I was looking at it from a blended basis, while I understand what .. I'll try to explain more on why I'm asking this specific thing, Sir, because we understand that the underlying mix is the key reason why the realization is optically looking flattish.

So just wanted to see if there is an absolute pass-through of close to about 3% to 4%, that would have been absorbed because of the mix changes. So, if you can share the mix of B2C versus B2B or ground and air, that will be really helpful in assessing how ..what sort of implementation has come through ?

Sagar Patil: Yes, it would be better than 3% to 4% is what I can say. Again, across the product, it would be different. Again, the price increases, while largely we announced in the beginning of the year, certain customers would typically take some time.

So, in the first half of the year, month-on-month, the number only improves, especially some key customers would take a month or 2 more to again renegotiate or negotiate. So, the ultimate realization of profit would be more than 4%, the price increase. But again, it will depend on product to product.

Krupashankar: Okay. And is it fair to assume, Sir, last question from my side. Just is it fair to assume that the margin ..sequential decline in margin, especially on EBITDA side of things, is primarily because of this mix? And would it be possible to give what would be the growth in air in this quarter and this financial year and growth in ground th

is year and this quarter and this financial year?

Sagar Patil: So from the product mix perspective, typically, as you have seen, the shipments have grown slower. So that means our smaller products have grown slower as compared to the heavier products. So our smaller products will range from documents to air e-commerce as well as surface e-commerce. So as I mentioned in one of the earlier calls, the heavier the shipment, it becomes more in the nature of freight as such.

So that's where the margin realization can be lower, whereas smaller the portion, the realization of service, the time definite or the time criticality improves. So that is where the service element being better, the price ...not price, but the margin realization becomes better. So yes, ground continues to grow faster, more than ...there is an internal announcement happening. I'll just put on a mute for...

Alok Deora : We'll take next question from Achal.

Sagar Patil: Just one moment. Sorry for that. There was some internal announcement happening.

Alok Deora : No problem. We can take next question from Achal.

Achal: Sir, if you could ...sorry, I missed the initial part. If you could just remind us in terms of the air versus ground, what has been the mix air versus surface for FY 2026?

Sagar Patil: The mix has been between air and ground, 60 :40.

Achal: 60% is air and 40% ground, Sir, FY 2026?

Sagar Patil: Yes, yes.

Achal: And this is in value or volume terms, Sir?

Sagar Patil: Value, revenue.

Achal: And how would that be in terms of volume?

Sagar Patil: we don't provide the breakup for the shipments of kilos between air and ground, being the sensitive information. But typically, in air, the number of shipments will be higher, whereas in ground or the share of the shipments, whereas in ground being heavier loads, the number of kilos will be higher. The weights will be high.

Achal: Understood. And typically, what is the price difference between ground for the like-to-like distance? The air would be 3x the price of ground. Would that be a fair assumption?

Sagar Patil: Again, the price will be a function of whether you're sending 0.5 kilo or, say, 30 kilo shipment.

Achal: On a per kg basis, I mean, I'm saying for the same product.

Sagar Patil: Yes. In terms of the per kg, I would say, costing from a middle mile point of view, the ratio can be 1:5.

Achal: 1:5. Okay. Understood, Sir, if you could help us in terms of B2B and B2C for FY 2026, what has been the mix for us?

Sagar Patil: It means from a revenue point of view, 70 :30, 70.3% in B2B and 29.7%. So since both the lines are growing, one in surface, other one in the surface B2C, this ratio has been pretty plus or minus 2% or 3% quarter -on-quarter.

Achal: So, this 70 :30 is for FY 2026 Sir or fourth quarter, you're saying?

Sagar Patil: Fourth quarter is this 71% to 29%, so pretty stable from a revenue point of view.

Achal: Understood. And just a clarification in terms of the market share, if you could call out what would be our market share in the respective segment for air and the surface? Just a ballpark number.

Sagar Patil: We'll not have updated numbers. Typically, market share comes with a certain lag. And again, it's a perceptive number. So, I don't have readily or recent number for quoting as such.

Achal: But what would be the last number you recall like for FY 2025 or...

Sagar Patil: For documents, we have seen the market share being 70% plus. Again, this is about the organized and express service providers, not entire industry that may have different types of players as such. Again, when we talk about air and ground, these are the products that we have defined by transit time and not necessarily mode of transport.

It's more of the ...so even if there is something going from, say, Mumbai to Pune, if it is air product, it will have a separate faster, smaller vehicle that will move on priority, whereas if it is

s

a ground product, there will be difference of a few hours, if not a day, even between that kind of lane.

But for us, it's an air network, not going on air. Essentially, this air by air, we mean door -to-door, multimodal kind of transport where first mile, last mile will be road, big or small and middle mile in many cases, will be air. So that's very loosely, we call it as air for discussion, but we do not really treat it as a segmented part of the business.

Achal: Fair point. Just to clarify, B2C, 29.7% for FY 2026, does this include the e -com, the bulk of the e-com business here?

Sagar Patil: Yes, it is largely e -com business.

Achal: So B2C is largely e -com..

Sagar Patil: Yes. It's onlyrather it is only e -com, Achal.

Achal: Okay. Understood. Understood. And Sir, just a question on e -com business. Historically, we've been...like what is the mix for e -com business for FY 2026? Sorry, I forgot to ask that first. FY 2026, e -com revenue mix?

Sagar Patil: So between air and surface, it would be like 17% to 12% ...17%: 12% out of this 29.7%.

Achal: Okay. So when you say B2C, it's actually e -com business?

Sagar Patil: Yes, yes.

Achal: Okay. Understood. And in terms of the freighter utilization, if you could guide, Sir?

Sagar Patil: So it continues to be at around 85% on a pallet utilization level. We use a good amount of commercial air capacity as well. And we tend to fly the flights only when we have good load, which is there in most of the week days. Yes. So it remains at 85%. 85% why because there are also positioning flights. So that takes it down. But for the main sectors, it would be well above 90% - 95%.

Achal: Understood. And in terms of the margins, how do we see margins? I mean we have swung between 13.5% to 17.5% in last 4 quarters. So how do we look at this margin? Is from an annual perspective, 15% - 15.5% what we have delivered in the last 2 years is the number we can pencil in? Or you think it can ...or what are the margin drivers from here on?

Sagar Patil: You're talking about stand -alone margins, right?

Achal: Consolidated margins,.

Sagar Patil: Consolidated margin...

Achal: EBITDA margin, yes.

Sagar Patil: Below that EBITDA before depreciation. So far as depreciation is a major part of having a big setup of air as well as on the ground that we have. Yes, the quarter -on-quarter comes with variations with peak season kicking in typically in second half of the year.

So we...our focus is normally to ensure a year -on-year yearly margin. So while we try to operate at an efficiency when the loads are low, the focus is on also building up capacity in case of the peak loads, wherein the additional volumes also does pay for that cost increase during the temporary period that we look at.

And then after that peak is over, then also the focus is on, again, optimizing because revenuesthe loads also do not immediately come down in some pockets with some customers, there are again volume of surges that come in the month of December, January. So the function ...I mean, the business is function of balancing air and ground, B2C and B2B as well as the big packages and small packages or documents, cross utilizing the capacities efficiently and keep on flexing that capacity.

So the focus is largely on a yearly number on quarter -on-quarter, there can be ups and downs depending on how we build up the resources and how the volumes for different products or even

different customers come in because different customers will have different margin levels depending on their product mix or the lane mix also for that matter.

Alok Deora : Yes. So, there are some more questions. So Sir, one question which has come in the chat was on ATF pricing. If you can just highlight what's the impact of ATF movement and whether we have passed it on? Just some color on that.

Sagar Patil: Yes. So while ATF prices started going up in the month of March, till

end of March, because we

have fuel surcharge that is announced at the beginning of the month, our March fuel surcharge didn't go up significantly. Our purchase prices are also typically agreed in the beginning of the month. So for the quarter, we didn't have any significant impact from pure ATF and Brent point of view, while there were some cost impact in terms of the availability of local fleet or at times manpower also in that month.

So the impact in the financials will come starting from April. As you know, we have a fuel surcharge mechanism where any increase or drop in Brent is largely compensated or neutralized with the...between ATF and fuel surcharge. So far as ATF is moving in tandem with Brent and of course, with the currency fluctuation also, we have surcharge for both fuel as well as currency in our commercial. So to an extent, those...that volatility is neutralized largely.

Alok Deora : Okay. So you basically are not looking at any impact coming in because of the ATF price movement in the first quarter?

Sagar Patil: No.

Alok Deora : Got it.

Sagar Patil: You're going to say first quarter of calendar year in the first...

Alok Deora : No, financial year, April to June.

Sagar Patil: Yes. Financial year, there will be impact. But from a profitability point of view, it is largely neutralized.

Alok Deora : Got it. And also one question was on the volume growth. Now what kind of volume growth we are looking in this financial year, FY 2027, considering the growth which we have done in FY2026 and considering looking at the market scenario, if you can just indicate what sort of growth we could look at in the air side as well as on the ground side?

Sagar Patil: Without really giving color of forward -looking statement, but this is a business which is largely a network business distributed all across India. So any significant upsurge or even shortfall in margin can impact either service quality or the profitability either way. If there is a big increase in volume, it might be seen as profitable, but then service quality impact also can be there.

So we mainly look at optimizing the capacities with respect to the demand that comes from the customers. And then we tend to be ...to balance between what volumes we can ask from the customers versus what price we can get at. So the approach is to more balance to ensure the profitability in absolute terms.

Alok Deora : Got it. Just one follow -up on that. Actually, so ground, you mentioned it's around 40% now, which used to be around, say, 30%, 32% a few quarters back. So now with the ground share increasing and the target would be more like, say, 48%, 50%, right? So do we see the growth actually coming in much better now because ground share will be much higher, which is the fast-growing segment?

Sagar Patil: Yes. I mean the ground is the growth engine for us and the share of ground has been going up. However, with ground, largely the costs are also variable. I mean all the middle mile, the lanes all are variable. Even the first mile, last mile are largely variable.

We work with a very large range of vendors all across there. So unlike air, where once you have investment in place in assets, the incremental rate of return is better. That is not the case with ground. So yes, while ground isremains the growth engine, it may not result in a volume increase there, may not result in a very dramatic increase in the profitability.

Alok Deora : Got it. We'll take a follow -up from Krupashankar.

Krupashankar: So Sir, just questioning back on what you just commented. You have added a couple of infrastructure with respect to new hubs on the ground side of things. And given the recency of the addition, there would have been certain overhead expenses on the ground side of things. Now if you're expecting the ramp -up, the margin profile should improve in tandem with the utilization of those hubs. So why are you saying th

at the profitability improvement may not be to the higher extent?

Sagar Patil: So the capacities that we added, and there is a big facility we have started last year in Gurgaon, near Delhi. Now to an extent, this is „yes, this will take care of next maybe up to 9 years of growth in that lane, but it's one of the lanes, one of the cities. Secondly, this facility was a combination of not only growth, but also consolidation of number of facilities. So it's not that it's a one big investment from ...overall from a Company point of view.

Within the overall business, this is still a small spot of growth in that particular region comes with consolidation. So yes, there will be capacity available that will get utilized over the next few years. And incidentally, there also, we have a phase -wise approach where the entire

commitment has not been done in 1 go. There will be phase commitment in 2 phases. So it's not one big investment put in over there. Also, as far as ground is concerned, our facilities are express facilities, not warehousing kind of facilities.

So the turnover of volumes there is quite significant. So it's not a very big fixed cost that has been added that will pay off in the long term. In the overall number of kilos tons that we handle, this will not be even 5% or 10% of the all country volumes even for that one big investment that we have put in place as such. So no ..I mean, of course, it will have a positive impact, but not as significant that it can make a big change in the overall company profitability.

Krupashankar: Got it. Second question was on the current ongoing challenges on the West Asia crisis. Sir, we do understand that post -COVID, you had carried out a few charters to specific destinations primarily because of the need which has arise. And given the discrepancy which has come in on shipping side of things, are you seeing charter options opening up ? And would you be taking it up? Or would it be in the purview of DHL?

Sagar Patil: No. So we ..it's up to us as Blue Dart. And if there are such opportunities, so far, we don't see a big increase. The domestic charters keep on happening with a few customers ..I mean, repeating and sometimes onetime charter.

So, we may not see that ...as of now, at least we don't have that big indication of new opportunities coming for charters because the passenger airlines also are ...I mean, it's moving internationally. So, while it was a good, I would say, enabler or help in the COVID period, as of now, we don't see any indication while, of course, we keep on exploring those pieces.

Alok Deora : We'll take next question from Shivam.

Shivam : Sir, just wanted to know what has impacted the EBITDA margin this quarter? Is the volume change mix have impacted the EBITDA margin or something else?

Sagar Patil: Yes. So one would be that...

Shivam : As you said that because of the heavier volume...

Sagar Patil: Yes.

Shivam: Sorry Sir, you continue please.

Sagar Patil: One reason would be that. And also, there would beI mean, there is nothing as one single item that is significant. We did face, I would say, some increase in the cost of local vehicle hiring, especially in the month of March, where fuel -related apprehensions were coming in some parts of the city. So we had to really also hire from market. So to some extent, there was increase in costs there. We also have invested in some of our functions, front -end functions like sales and some quality -related functions .

So sometime during the last year. So as compared to last year same quarter, it would look like a higher employee cost impact as well. So INR 2 crores here, INR 3 crores here, all combined put together are totaling up to about INR 10 crores, INR 15 crores, but there is no exceptional or extraordinary item that is impacted. It's more of a timing that has come in this quarter as compared to the earlier quarter. But yes, you can also be said right

where the smaller growth in

the shipments versus weight will impact to an extent, the realized profitability for a quarter.

Alok Deora : So, we'll take one question from the chat box. So, is the higher freight cost also leading to customers choosing non -express shipments versus our offerings? Any color on that, Sir?

Sagar Patil: It can sometimes happen. Like for e -com, we provide services for bothoptions for both by air as well as by ground. So sometimes the customers cansame customer who is giving us both on air as well as ground can also at times reallocate based on their priorities or the nature of shipment, how discretionary or critical is from that time point of view.

And again, as the ground becomes more and more efficient, the difference between air and ground can be not more than, say, 24 or at almost 48 hours depending on the lane. So as the customers become better enabled to plan for to manage their flow of the shipments across the country, they willthey are also able to flex to choose between good at ground or good at air for that matter. So yes, that can also have an impact there.

Alok Deora : Got it. We'll take one question from the queue from Anshul Agrawal .

Anshul Agrawal: Just a bookkeeping question. Our capex has shot up in FY 2026. I believe this is on the back of the ground hubs that we sort of added to our network. Are there any similar plans to add or do some heavy capex in the coming year?

Sagar Patil: So if you look at the consol numbers, our capex for the year is almost INR 360 crores, whereas standalone , it is INR 120 crores. In consol, out of INR 360 crores, INR 200 crores is mainly coming from aircraft, which is in the nature of engine or aircraft maintenance. These are the servicing or check, C check, D check, B check that we do, which can add to the efficiency or usability or cycles of aircraft beyond the year.

So it is booked as capex and then it is depreciated over the period of utilization. So barring that INR 120 crores, yes, there will be element of the ground facility. But again, it will not be that very significant, not more than 30% of this total capex that you are talking about, not even as much. And in terms of the fresh, yes, we do have plans to strengthen the capacities in different parts of the country, be it Mumbai or South, to an extent is East we did in the last few years. North also, we have added in the last couple of years.

So for us, I mean, this capex is also more like a part of opex. So if you find year-on-year, the capex amount will be similar to the depreciation amount that we have, if you exclude the ROU asset part of it as such. But capex can come as a big spurt in the capex. I mean, as far as aircraft is concerned, but it is not aircraft. This can be engine or some major components as a part of the regular maintenance of the aircraft.

Anshul Agrawal: Got it, Sir. So just a follow-up on that. So this INR 200 crores of aircraft maintenance servicing engine, this would be recurring in nature. Is that assumption correct? Would this repeat in, say, 1 or 2 years again?

Sagar Patil: Yes, so it can be INR 100 crores in 1 year or maybe another INR 200 crores in another year. So typically, INR 100 crores to INR 150 crores every year, even in ...without any new capacity addition in aircraft, this will be a part of capital expenditure.

Anshul Agrawal: Correct. And since ground continues to grow faster than air, a similar number in ground capex can be assumed? The one that we have done in the current year?

Sagar Patil: Yes. So in stand-alone entity, the capex of INR 120 crores as normal capex and ROU asset of INR 400 crores, this type of ...so largely, when you add the ground facilities, major addition is in terms of the lease assets. So ROU we'll find more and normal capex will be a relatively smaller number. And even this number of INR 120 crores can be as good as annual capex or o

pex capex

that will keep on coming.

Anshul Agrawal: Got it, Sir. Any comment on ...we've given a guidance of maintaining the PBT margins of around ...again between 7% and 8%. And I think we are lagging that guidance by some distance.

Any color on ...or any guidance on when we should think about reaching this?

Sagar Patil: As soon as possible, that's what we'll track. But otherwise, any specific guidance will be like forward-looking. But yes, the effort is always to maximize in the peak and optimize in the other quarters in order to ensure a bit as better number as possible for the year.

Alok Deora: We'll take next question from Ankita.

Ankita: Sir, I missed, have you shared the shipment and tonnage data number for the fourth quarter?

Sagar Patil: Yes, you can note down quickly. Shipments 96.17 million and tonnage 359,913 tons.

Ankita: 359,913?

Sagar Patil: Yes, 360,000.

Ankita: Okay. Okay. Got it. Secondly, Sir, how has been the volume growth in air and surface for the full year FY 2026?

Sagar Patil: The rates have gone up by about 8.8% and in ground 6.9%.

Ankita: 6.9%.

Sagar Patil: Again, these are not necessarily air as a mode. Air is more of a multimodal, so some of it can also go on road. Some of it will go on commercial airline and also some of it will go on BZ. So air and ground is what we loosely use internally for our calling our products, which are transit time based, but do not necessarily in the segmented or the main mode of transportation there.

Ankita: Got it. Sir, has the surface volume growth slowed down from what we have seen in FY 2025 earlier? Has this growth rate come off for us? 7% growth that you're seeing on surface, is this slower than what we have witnessed in FY 2025?

Sagar Patil: I think would be slower because we have the customer composition there has undergone some change. The shipment per kg for ground surface hasI think, has come down as compared to earlier years, the rate of growth.

Ankita: Okay. So means we are handling more lower weight cargo, which means we would that is also one of the reasons why our B2C shipments have gone up, means we are handling more lower weight, maybe e-commerce shipment on surface, which is the reason why overall growth would have been slow?

Sagar Patil: So the B2B movement of e-commerce, I mean, not e-com as a last-mile delivery for the individual buyers from the...

Ankita: Got it.

Sagar Patil: But more of a store to store or warehouse to store, warehouse to cloud store kind of movement that would have gone up at a smaller weight break level.

Ankita: Weight breakeven, correct. Got it. Okay. And you see this trend to continue or to reverse?

Sagar Patil: I can't say. I mean, on ground, typically, unlike wherewhen you move smaller shipments, the cost of handling also becomes higher. So unless there is a better RPK, we may or may not be very keen on unless we get a better realization over there. So we'll be looking very critically on this part for the individual customers or at trade level. Soand weI mean, we keep on optimizing, continuously looking at the customers' profitability as well as their lane level profitability.

So if there is a need to optimize theI mean there is no definite plan in terms of managing the KPS, but it's more dependent on the profitability, the trade has involved as such. So this can't be necessarily to be a trend. The effort will also be to build up more kilos because that improves the efficiency. The handling cost per shipment typically will beper kilo will be lower as compared to heavier shipment load.

Ankita: Got it. In terms of profitability, given that X of your network increase cost, has your segmental

profitability in both air and surface has been maintained or has it gone down?

Sagar Patil: So, we don't do segmented results. But yes, internally, when we have our own subjective way of our internal rules for alloc

ations, the profitability typically will change across those individual products also significantly given the seasonality's that we have.

Some of the network or most part of the network, both first mile as well as middle mile, first mile, last mile and middle mile are shared depending on whether some middle mile gets shared, depending on whether it is air or ground, first mile, last mile get s shared depending on whether it is a maybe parcel or a lighter parcel or document.

So, depending on the flavor of even month for that matter, the margins can go significantly up and down. As far as full year averaged out number is concerned, we see the profitability is more or less in tandem with each other and moving in tandem with the ove rall profitability, no different variation across either the segment type or the product type.

Ankita: Okay. Got it. Sir, last two questions. On B2C segment, how much percentage of our volumes comes from large platforms? And how much would be coming from individual D2C customers?

And second is how much percentage of our air cargo is moved on our own freighters versus other commercial airline belly space?

Sagar Patil: Very small percentage from large platform. Largely, our customer base is consisting of either D2C or sometimes aggregators. Again, at an individual level, customerssingle customer would not have a significant share of business. Customers are also do use us very, I would say, where it matters in terms of ensuring the service quality there. What was the second question?

Ankita: How much percentage of air cargo is moved on our own freighters versus other commercial airline belly space?

Sagar Patil: Yes. Almost one third of the air load would go on commercial. Again, it's a mix of both the lanes where we operate our own aircraft. But at the same time, there are 25 -odd additional airports where we don't fly, but we carry on the commercial airlines. So overall, about two third of the volumes are managed by on our own airlines, aircraft and one third is with the commercial airlines. Commercial air plus, I would say, road. But yes, commercial is the major part of it.

Alok Deora : Sir, we'll take just last question from Kushi.

Kushi: Just wanted to get some clarity on the capex . You mentioned that around INR 150 crores – INR 100 crores to INR 150 crores is the aircraft kind of the maintenance or the engine capex that you have to keep doing on a recurring basis. And on the ground, somewhere around INR 120 crores, which is the current year figure would be a year -on-year basis. Is that correct?

Sagar Patil: Yes,so INR 120 crores that I mentioned is stand -alone. So this will include both our IT capex as well as the others, I mean, when the accounts come in, you'll get the more complete breakup.

But yes, INR 150 crores is, you can say, averaged out number for the current fleet, which is more like an annual capex .

Kushi: Okay. Any other specific capex plans that are being planned for FY 2027? Any specific segment that we are targeting for additional capex ?

Sagar Patil: No, not as a segment or a new line of business as of now. But then this is largely in automation, so putting up sorters or MHE, material handling equipment and also IT -related spend, both on the....largely on, of course, the hardware and some part of on building the applications, etc. So no expansion -related capex , but these are more in the nature of renewal replacement and to some extent, expansion in line with the organic growth in business.

Alok Deora : Yes. So those were the key questions. So, I would just hand over the call back to you for any closing comments, and then we can close the call.

Tushar Gunderia: Nothing specific, but thank you so much. I hope we have been able to answer whatever the questions investors had. And our endeavor would be always to have this periodic conversation with the investors to have more disclosures. Thank you.

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ok Deora : Thank you so much.

Tushar Gunderia: Thank you so much, Alok. Thank you for coming. Thank you all.